STRATEGIST

STRATEGY & CONSULTING CLUB OF MDI

CONSULTING CASE BOOK

2022 – 2023

MDI GURGAON | Management Development Institute

Preface

Consulting Case Book, Strategist, MDI Gurgaon.

First Edition: July 2021.
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Content

Content

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Consulting Primer

Consulting Overview

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1. What is Consulting?

Consulting means being "**engaged in the business of giving expert advice and recommending solutions to people working in specific fields.**" Typical focus areas of consulting include business strategy, project and product management, organizational processes, operations management, and technology enablement.

2. What do Consultants do?

Consultants help the businesses address its challenges, identify and leverage opportunities. Projects are typically carried out in teams and can focus on a variety of areas, including **strategy** and **implementation**. Consultants act as a bridge between complicated client contexts and the knowledge prowess of the firm. The activities that consultants perform include (but are not limited to) **project planning**, **developing initial hypotheses**, **interviewing** experts, clients and customers, **market sizing**, providing **recommendation** to clients and helping them in their **implementation journeys**.

3. What does a Consulting Internship look like?

- Interns are likely to be on-boarded to an active client engagement
- Interns could be involved in the following activities –
  - Research (Primary and Secondary) and Data Collation
  - Data Analysis and Visualization
  - Preparing Internal and External Client Deliverables
  - Stakeholder Management
  - Documentation, Reporting, and other Ad-hoc workstreams including Presentations, Coordination, and Support

4. What are the Qualities and Skills of a good Consultant?

Obvious Ones

- Quantitative Aptitude
- Problem Solving Skills
- Communication Abilities
- Team Player
- Structured Thinking

Non-Obvious Ones

- Flexibility in switching between bird's eye and deep dive views
- Ability to deviate from the norm – out of the box thinking
- Being impactful and to persevere
- Networking – to develop & expand

5. What is the difference between Management Consulting and Strategy Consulting?

Management Consulting is an overarching term that includes **recommending** and **providing services** to increase overall performance and competitive position of the client. *Strategy Consulting* a **subset of Management Consulting** where consultants provide industry-specific insights and actionable **strategies** to deal with individual business and management challenges. The strategy phase is usually in the start of a consulting project which includes working at executive levels. It is typically followed by the actual implementation and impact analysis phases.

Tip: Take the opportunity to prepare decks, conduct analyses and make presentations during B-school competitions and academic activities to fine tune yourself!

Mutually Exclusive Collectively Exhaustive (MECE)

Concept

MECE stands for “**mutually exclusive, collectively exhaustive**”. It is an approach that helps structure thoughts with maximum clarity and completeness. *“Mutually Exclusive”* means that one idea/thought does not overlap with the other. For example, a number can either be odd or even. *“Collectively Exhaustive”* means that several components together, complete a larger idea/thought. A MECE approach ensures that all analyses are robust and complete. For example, when you say there are two types of beverages – Alcoholic and Non-Alcoholic, you are covering all types of beverages.

MECE follows a top-down approach of problem solving. It is applied when you intend to disaggregate a larger idea/problem into its sub facets – essentially, all of consulting!

Mutually
Exclusive → **Disjoint**

Collectively
Exhaustive → **Complete**

Tip: While segmenting, try to ensure that the number of segments is neither less than 2 nor more than 5 (3 or 4 is ideal)

MECE Example for Supply Chain Analysis

To identify potential issues in an organization’s supply chain, we need to segment supply chain operations such that these segments (components) are **distinct** (ME) and **together, cover the entire supply chain** (CE). The following is a good MECE segmentation of a typical supply chain:

- Stakeholder Management – Vendors, Suppliers, and Distributors
- Inventory and Warehouse Management
- Production and Quality Management
- Logistics Management – In-bound and Out-bound

Non MECE Example for Customer Segmentation

A smartphone manufacturer segments its customer base as follows, while working on a produce launch strategy:

- Business Users
- Gen Z Users
- Rural Users

This segmentation is neither mutually exclusive nor collectively exhaustive (non-MECE)

Not Mutually Exclusive: Business Users can be Gen Z Users, while they may also be Rural Users.

Not Collectively Exhaustive: The segmentation is not complete as it does not include Urban Housewives, for example.

It is important to have a good understanding of MECE principles as this idea sits at the base of many other concepts discussed further.

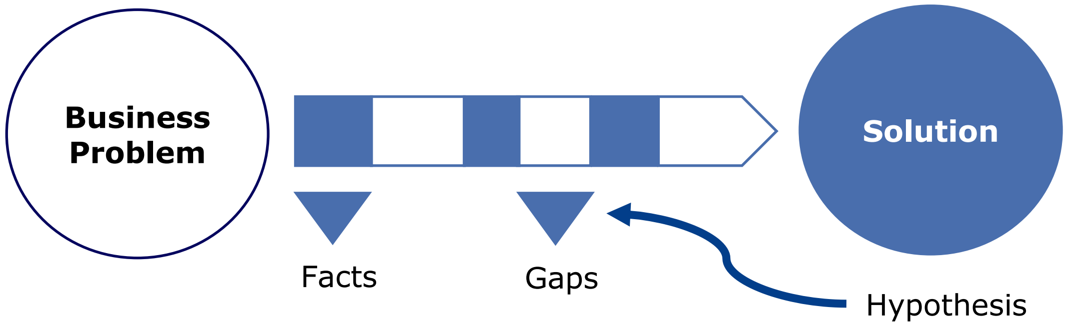
Other Frequently Used Concepts

Initial Hypothesis based Problem Solving

Once the problem is structured leveraging MECE ideas, Initial Hypothesis (IH) is used. Initial Hypothesis is the roadmap (although hastily sketched) for arriving at the solution. IH could be arrived at based on the previous experiences/projects and fact findings. IH acts as a baseline for further research.

3-step process to proceed with Initial Hypothesis

Once the IH is verified, you can then move deeper in the analysis to focus on one (or multiple) area(s) the IH was pointing to. If it turns out to be wrong, you would have acquired ample knowledge to arrive at the correct hypothesis.



80/20 Rule – The Pareto Principle (Rule)

According to 80/20 rule (also known as the **Pareto Rule**), 20% of the efforts/products/services/ideas result in the 80% of the results/profits/overall outcomes. In business, it is used to identify the big fish and helps consultants filter through noise and identify high impact areas. This is an important tool that helps the consultants develop preliminary analysis and initial hypothesis.

Below are few examples where the 80/20 rule has been applied:

- 20% of the holding in a portfolio is responsible for 80% of the portfolio's growth
- 80% of the profits come from 20% of the customers
- 80% of the pollution originates from 20% of all factories

Other Rules

- **Don't Boil the Ocean:** Timebox your research because there is a lot of data available and most of it is not relevant to the problem.
- **Be Elevator Test Ready:** Be thorough and precise with the solution so that you can explain it to the client in under 30 seconds if you find yourself on an elevator with them!
- **Pluck the Low Hanging Fruits:** During a complex problem analysis, go for the easy wins and make quick initial progress with minimal effort, before addressing other complex challenges at hand.

Tip: To read more about these concepts, along with examples, please refer to the book ***The McKinsey Way*** by ETHAN M. RASIEL

Business Concepts and Ideas

The 3C-P Framework

3C-P

Customers

- Identifying the Customer?
  - ✓ Customer Segments and Personas
  - ✓ Compare current customer metrics with the past
- Customer Needs
- Price Sensitivity and Willingness to Pay
- Bargaining Powers

Company

- Core Competencies – Business Line, Products and Services
- Vertical Capabilities – Sourcing and Selling
- Capital Allocation – Sore Activities, R&D, CSR
- Financial Situation and Key Metrics (Ratios)
- Organizational Structure and Culture

Competition

- Number and Market Share of Competitors
- Industry Structure, Trends, Behaviour, and Best Practices
- Minimum Viable Product (MVP) and Unique Selling Propositions (USPs) of competitors and the company
- Power of Suppliers and Distributors
- Regulations & Governance

Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle

The 4P Framework

4P

Product

- Product Specifications
- Product Positioning
- Product Differentiation – Blue Ocean, Red Ocean, or Whitespace
- Power of Substitutes
- Brand Equity of the Product – risk of brand dilution
- Product Lifecycle

Price

- Price Elasticity (sensitivity) of the product
- Target consumers and their willingness to pay
- Customers' perceived value of the product
- Customers' intention to switch and ease of switching
- Historical pricing & price of the substitutes

Place

- Distribution Channels (retail, wholesale, online, omnichannel)
- Alignment of channels with company's strategy and capabilities
- Role of each of the intermediaries in the value chain
- Company's control over its distribution channel

Promotion

- Objective of Promotion – message to consumers
- Promotion Strategy: Pull vs Push
- Metrics to identify the effectiveness of campaigns
- Building long term relationships with customers
- Barriers to communication
- Budget allocated to promotion

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Porter's Five Forces

Porter's Five Forces tool was created by Harvard Business School professor Michael E. Porter, to analyze an **industry's attractiveness** and likely **profitability**. The forces (as mentioned below) are used to assess market attractiveness both for **new entrants** and **existing companies/incumbents**. In general, the stronger the five forces are, the less attractive is the industry.

Each of Porter's Forces **increases** as the following factors become more prominent

Industry Rivalry

- Number of competitors
- Size of competitors
- High fixed cost
- Lower product differentiation
- Brand recognition
- Highly specialized assets
- Barriers to exit

Threat of Substitutes

- Availability of substitutes
- Low switching cost
- Relative benefits of substitutes
- Higher buyer's propensity to adopt/experiment with substitutes

Barriers to Entry

- Economies of scale
- High capital requirement
- Product differentiation
- Regulatory constraints
- Brand recognition
- Hard to access distribution channels
- High switching cost for customers

Buyer's Bargaining Power

- Less number of powerful buyers
- Lower switching cost for buyers
- Substitutes' availability
- Low product differentiation
- Buyers' ability to integrate backward
- High price elasticity

Supplier's Bargaining Power

- Contribution to quality
- Contribution to cost
- High in switching cost for the company
- Suppliers' threat to forward integration

Tip: Don't use Porter's Five Forces analysis as a forced approach to solving a specific case. Instead, you should resort to the forces with a bigger, more general framework (e.g., cost benefit analysis, market entry analysis and so on)

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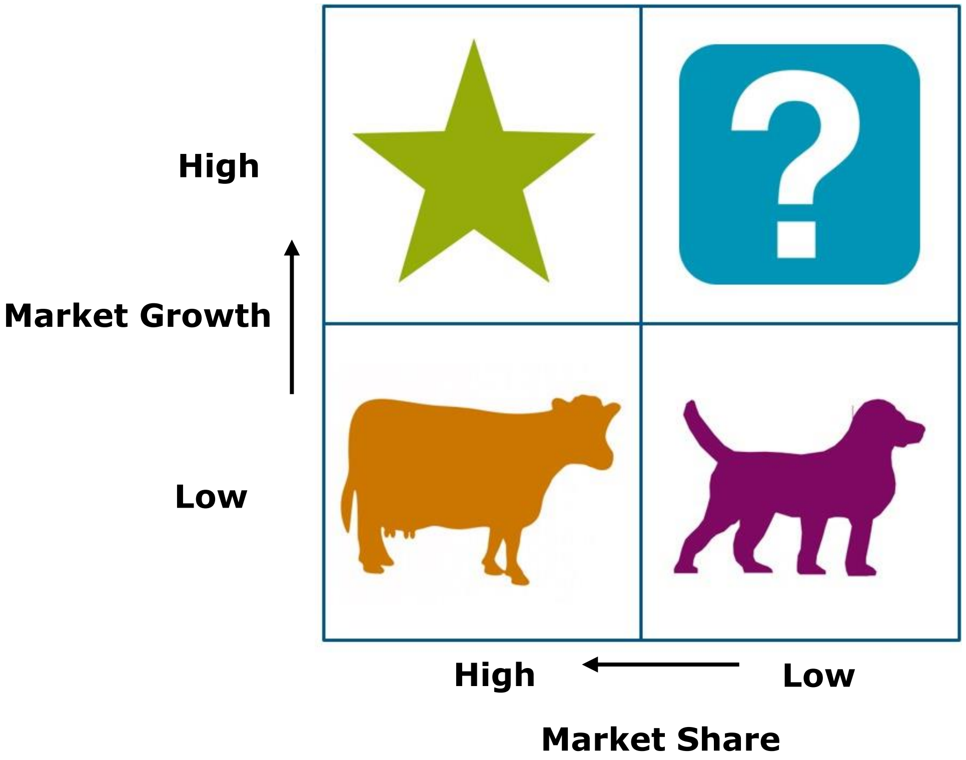
The BCG Matrix

Created by the Boston Consulting Group, the BCG matrix – also known as the **growth share matrix** – provides **a strategy for analyzing products according to their growth potential and relative market share**.



Tip: Use the BCG Matrix to analyze product portfolios and strategic decisions. The application can also be extended to cost analysis and new product development.

Matrix Element	Description	Strategy To Be Adopted/Action Plan
Stars	Monopolies and First to Market Products	Invest, Innovate, Improve
Cash Cows	Currently doing well with limited opportunities in the future	Strengthen and Leverage
Dogs/Pets	Weak in the markets and difficult to turn around	Liquidate and Exit
Question Marks	Uncertainties that can either becomes Stars or Dogs	Invest and push to Stars/Exit as Dogs

Example

Apple Inc. would classify the **iPhone** as a **Star**, **iWatch** and **Apple TV** as **Question Marks**, the **iPad** as a **Cash Cow**, and the **iPod** as a **Dog/Pet**.

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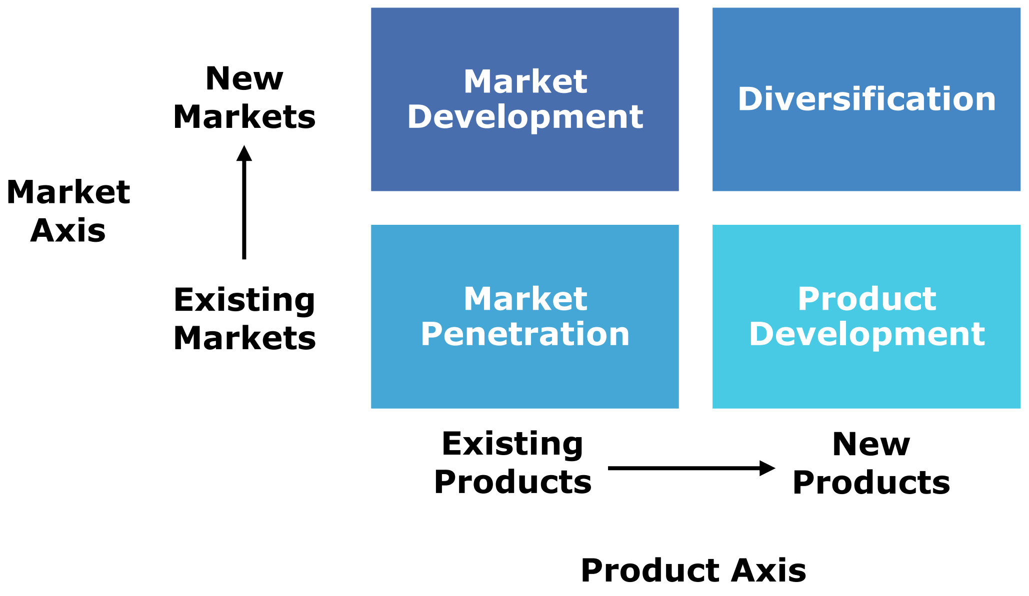
The Ansoff Matrix

The Ansoff Matrix, also known as the **product/market expansion grid**, helps lay out **strategies for organizational growth**. The matrix posits a cost – benefit tradeoff analysis highlighting **whether the company should focus on new products** or **on new markets**.



Within the Ansoff matrix, **moving up the market axis**, and **moving right on the product axis** is an indication of **increasing organizational risk**. **New Products** and **New Markets** are always considered uncertain and hence increase the associated strategic risks.

Matrix Element	Description	Strategy To Be Adopted/Action Plan
Market Penetration	Increasing sales volumes to existing customers	Price Cuts, Increased Promotion, Acquisitions
Market Development	Entering new markets and selling to new customers with existing products	New Market Entry (Domestic and International), Market and Customer Segmentation
Diversification	Identifying new lines of business	R&D, Investment, M&A (Related or Unrelated)
Product Development	Develop and introduce new products into existing markets and customer bases	R&D, Development, Collaboration and Partnerships, Inorganic Growth

Tip: Use the Ansoff Matrix to critically identify growth opportunities for the organization. Based on the organization's priorities, focus either on market or product strategies.

Industry Overview

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Fast Moving Consumer Goods (FMCG)

Value Chain

Product Development → **Procurement** → **Manufacturing** → **Transport & Logistics** → **Warehouse & Distribution** → **Consumer**

Product Development
Consumer insights & analytics, improving existing products, R&D

Procurement
Warehouses, cold storage and silos, Inventory Management

Manufacturing
Production planning and scheduling, efficiency, and quality management

Transport & Logistics
Transport optimization and fulfilment intelligence

Warehouse & Distribution
Location analytics, routing, and last mile delivery

Consumer
Retail outlets, Cash & Carry, supermarkets, and E-commerce

Drivers

KPIs

- Out of stock rate
- On-time delivery
- Avg. time to sell
- Cash-to-cash cycle time
- Supply chain cost vs sales
- On-shelf availability

Cost Drivers

- Inventory cost of production
- Storage costs
- Marketing & advertising
- Transportation Cost
- Labour cost for production

Growth Drivers

- Rising income levels
- Growth of e-commerce and digitalization
- Changing lifestyle
- Shifting economic power
- Premiumization
- Rising rural consumption

Porter's Five Forces

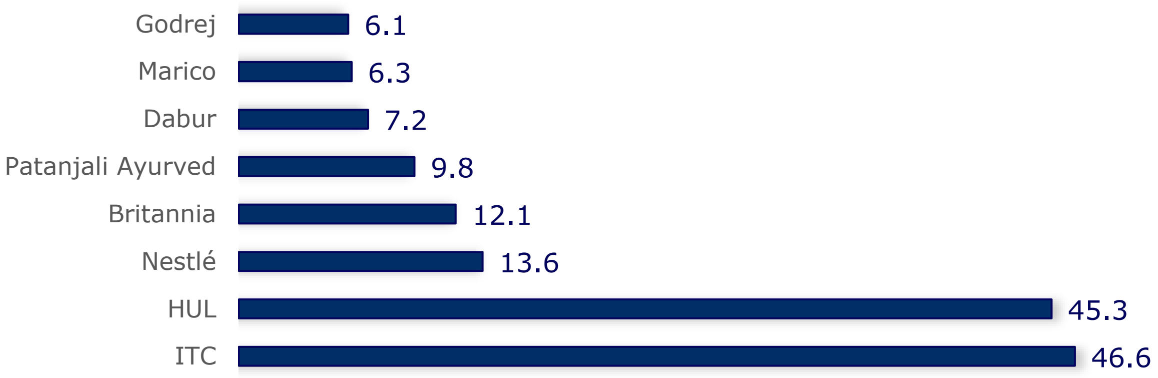
Force	Description/Analysis
Industry Competition **(High)**	▪ Private label brands that are priced at a discount to mainframe brands increase competition within the market ▪ Highly fragmented industry as more MNCs and disruptors are entering the market
Threat of Substitutes **(High)**	▪ Presence of multiple brands – local and global ▪ Narrow product differentiation across brands and products ▪ While not very evident, strong price wars impact the industry
Threat of New Entrants **(Medium)**	▪ Huge investments in setting up distribution networks and promoting brands ▪ Spending on advertisements is aggressive
Buyer's Bargaining Power **(High)**	▪ Low switching cost augments the customers' product shift tendencies ▪ Strong influence of marketing strategies ▪ Availability of same or similar alternatives
Supplier's Bargaining Power **(Low)**	▪ Big companies are capable of dictating the prices through local sourcing from a fragmented group of key commodity suppliers

Fast Moving Consumer Goods (FMCG)

Industry Statistics

- FMCG is the **4th largest sector** in the India (2020 Rev. $110 B)
- The urban segment accounts for **55%** while the rural segment is **45%**
- Rural FMCG market is expected to grow at a **CAGR of 14%** till 2025. FMCG accounts for **50% of total rural spending**
- FMCG sector expanded by 16% which was primarily driven by high prices and low bases even as volume growth wasn't very robust
- **D2C channel** is expected to grow by **15-20%** in the next 5 years
- FMCG has 3 major segments. The market share for each are – Household & Personal Care – **50%,** Healthcare – **31%**, Food & Beverages – **19%**

Major Players (Net Sales in 1000 Crores – FY 21)



Industry Trends

- **E-Commerce & FMCG Start-ups**: Helped ride the second COVID wave in India. E-commerce contributed **>10%** to the total FMCG sales. New start-ups are capitalizing on the millennial needs with more adaptability
- **Rural Demand:** A good monsoon season in 2021 and positive government action have ensured a strong growth for rural markets as well
- **Aware Consumers**: 40% of the Indian consumers are researching brand and product choices before buying
- **Competition in Retail Shelf Space:** Companies have expanded the number of categories per outlet (**assortment width**), and optimized the number of variants and associated quantities in stock (**assortment depth**)
- **Newer Categories:** Companies are investing majorly in health, men's wellness and instant food products, as customers awareness rises rapidly

Themes of Omni-channel Retail Strategy

Capability	Benefits
Single view of product	Create single repository of product related data
Single view of inventory	Enable strategic placement of inventory across the supply chain to meet expected demand
Single view of customer	Ensure targeted messaging and offerings
Seamless customer experience	Enable capturing customers' orders consistently across channels and provide order visibility
Convenience and Personalization	Leverage analytics and ensure consistent communication with customers across channels
Digitally empowered store staff	Enable convergence of digital and store experience driven by associate engagement and enabled by store connectivity

Banking and Financial Services

Value Chain

Front Office → **Middle Office** → **Back Office**

Front Office	Middle Office	Back Office
Sales order creation; Trade order management; Order execution; Portfolio management; Market research	Risk management; compliance; client reporting; regulatory reporting; billing; reconciliation	Asset services, Fund accounting, Portfolio accounting; Security setup & pricing; Trade settlement

Products

Funding
- Deposit
- Securitization
- Credits

Investment
- Credits
- Securities

Services
- Account Management
- Asset Management
- Custodian
- Issuance/IPO

Transactions

- Payment
- Trading
- Clearing & Settlement

Drivers

KPIs
- Assets Under Management
- Volume Of Accounts
- AUM Per employee
- Net Interest Margin
- CASA
- GNPA/NNPA

Cost Drivers
- Cost of Borrowing
- Operating Expenses
- Risk management & compliance cost
- Provisions & write-offs
- Marketing expenses

Growth Drivers
- Digital Transformation
- Data & Analytics
- Customer Experience
- Disruptive Technologies
- Cyber Security
- Geopolitical shifts
- M&A

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ PSU banks control 77.3% of the banking sector ▪ Rivalry is much aggressive in metropolitan areas ▪ Issuing of new licenses will increase competition in rural areas over long term
Threat of Substitutes **(Low)**	▪ For deposit, substitutes are investment in gold, real estate, equity etc.; ▪ For advances, substitutes are bonds, IPOs and FPOs
Threat of New Entrants **(Low)**	▪ High entry barriers, as RBI (Central Bank) controls the issuance of licenses ▪ New licenses may reduce market share of public banks
Buyer's Bargaining Power **(Low)**	▪ High switching cost; Nascent debt market & volatile stock market, are less opted ▪ Internet penetration is however reducing the switching cost
Supplier's Bargaining Power **(Medium)**	▪ Largely, customers prefer banks for its reliability ▪ Gradually, customers have hedged investments by embracing other riskier avenues

Banking and Financial Services

Industry Statistics

12	22	46	56	1485
Public Sector Banks	Private Sector Banks	Foreign Banks	Regional Rural Banks	Urban Cooperative Banks

- As of September 2021, the total number of **ATMs** in India was 213,145
- UPI transactions recorded **$935 Billion** worth of payments for 2021 with PhonePe leading the way with a market share of **46%**
- By 2025, digital payments in India would collectively account for **71.7%** of overall payments volume

Industry Trends

- **Omnichannel banking** experience is crucial to customer centric service. Services like **e-KYC** improve customer convenience.
- Banks are rolling out **Account Aggregator** system to consolidate customer financial data in one place
- **Buy Now Pay Later** is emerging as the fastest growing e-commerce digital payment method fuelled by the growing adoption of e-commerce and fintech
- **Neobanks** are emerging as a new-age digital-only banking service provider as they are targeting retail customers and MSMEs
- **API Banking** is enabling banks & FinTech to innovate & facilitate solutions to meet customers' digital needs, thus creating new revenue streams
- Fintech players are expanding to new segments apart from their core segments thereby becoming **Super Apps**

Indian Banking and Financial Services Industry Classification

RBI

Commercial Bank	Specialized Bank	Institutional Banks	NBFCs	Cooperative Banks
Nationalized Banks	Land Mortgage	IFCI	Asset Finance	Primary Credit Societies
SBI & its Associates	Rural Credit	SFC's	Investment	Central Cooperative Banks
Private Sector	Industrial Development	IRBI	Loan	State Cooperative Banks
Foreign Banks	Housing Finance		Infrastructure Finance	
RRBs	EXIM bank		Infrastructure Debt Fund	
Small Banks	NABARD		Micro Finance Institutions	
Payment Banks	SIDBI			

Top 5 India Banks by Market Share (Deposits and Credits)

Banks	State Bank of India	HDFC Bank	ICICI Bank	Axis Bank	Kotak Mahindra Bank	India Total (Rupees)
Deposits	23.9%	8.5%	5.7%	4.7%	1.9%	**149.34 Trillion**
Credits	22.5%	9.6%	6.3%	5.5%	2.1%	**107.75 Trillion**

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Automotive

Value Chain

Inbound Logistics → Operations → Outbound Logistics → Sales and Marketing → Service

1) **Inbound Logistics**: Raw Material handling, Raw material distribution across manufacturing units, Supplier Relations
2) **Operations:** Manufacturing (Machining, Assembling and Testing), Manufacturing unit setup, Quality Control
3) **Outbound Logistics:** Final Inspection, Warehousing, Distribution
4) **Sales & Marketing**: Pricing, Promotion, Advertisement, Channel selection
5) **Service:** Repair and maintenance, Warranty, Setting up service centres – Leading to customer retention and brand recognition

Drivers

KPIs

- Sales
- EBITDA
- Inventory Turnover
- Avg. Downtime
- Cycle Time
- AP/AR

Cost Drivers

- Raw Material
- Direct Labour
- Logistics
- R&D
- SG&A
- Dealer Margin
- Marketing and Advertising

Growth Drivers

- Rural Demand
- Government Support
- Easy Financing
- EV Potential & FAME Scheme
- Rising Income

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Presence of large-scale incumbents ▪ Strong brands such as Maruti Suzuki, Hero, Bajaj in their respective domains ▪ Highly price sensitive market
Threat of Substitutes **(Moderate)**	▪ Rising fuel prices ▪ Availability of cheap and beneficial public transport ▪ Growth in the shared mobility provided by players such as Uber and Ola
Threat of New Entrants **(Low to Moderate)**	▪ Huge capital investment ▪ Economies of scale and distribution network achieved by the incumbents ▪ Brand identity & established reputation ▪ Price sensitive market
Buyer's Bargaining Power **(Moderate)**	▪ Low product differentiation ▪ Low switching cost ▪ Availability of multiple options ▪ However, the industry remains marginally powerful due to high customer to producer ratio
Supplier's Bargaining Power **(Low)**	▪ Huge number of local suppliers leading to a stiff competition ▪ Low switching cost for the OEMs ▪ But high-cost contribution to cost and quality

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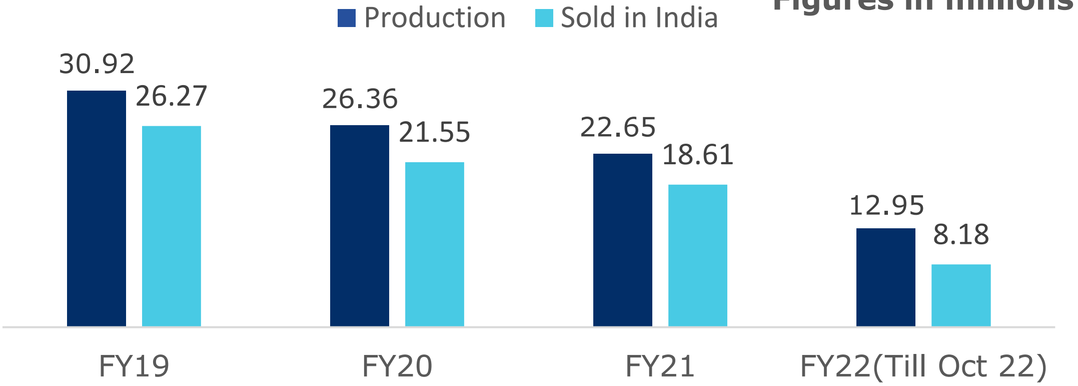
Automotive

Industry Statistics

Figures in millions



- Industry Structure – 2 wheelers (81.2%), Passenger Vehicles (14.6%), Commercial vehicles (3.1%) and Three wheelers (1.2%)

Electric Vehicle Expected Penetration in India

Segment	Sub-Segment	EV Penetration %	
		2025	2030
2 Wheelers	Scooters	15-25%	50-70%
	Motorcycles	1-2%	10-20%
	Overall	7-10%	25-35%
3 Wheelers	**Overall**	35-45%	65-75%
4 Wheelers – PV	Personal	1-3%	10-15%
	Commercial	5-10%	20-30%
Buses	STUs	15-25%	25-40%

Industry Trends

- IOC and other public sector oil firms will set up **22,000 EV charging stations by 2027**
- The country's first govt approved **vehicle scrappage center** at Noida has been opened by MS and Toyota with a **capacity of 22,000 ELVs**
- GoI is planning to make **flex-fuel engines** mandatory for car manufacturers
- US-based clean energy and mobility products start-up, Power Global will invest to set up a **lithium-ion battery manufacturing unit** in India
- India has become a major **Original Equipment Manufacturer(OEM)** for numerous small-engine companies

Major Players (with Market Share)

Two Wheelers	Passenger Vehicles	Commercial Vehicles	Three Wheelers
Hero MotoCorp **34.5%**	Maruti Suzuki **49.4%**	Tata Motors **42.3%**	Bajaj Auto **50.6%**
Honda Motor **24.8%**	Hyundai **23%**	M&M **27.5%**	Piaggio **29%**
TVS **15.2%**	Tata Motors **6.7%**	Ashok Leyland **16.3%**	M&M **9.5%**
Bajaj Auto **12.5%**	Mahindra **5.9%**	VECV **6.2%**	Atul Auto **7.1%**

Information Technology

Value Chain

Operational Setup → Customer Acquisition → Customer Need Analysis → Design and Develop → After Sale Service

(1) Infrastructure Setup, Capability Development, Employee Operations

(2) Customer Pitches, Client Acquisitions, Cross Selling, Value Realization

(3) Requirements Analysis, Augmentation, Feature Translation, Methodology

(4) Product/Service Development, Testing & Validation, Delivery & Deployment

(5) Update Handling, Technology Support, Relationship Management and Recurring Sales/Purchase

Drivers

KPIs

- Total Contract Value
- Customer Lifetime Value
- Annual/Monthly Recurring Revenues (ARR/MRR)
- Revenue and Cost Growth Rate
- Product/Service KPIs
- Net Promoter Score

Cost Drivers

- Employee Costs
- Infrastructure Costs
- SGA Costs
- Customer Acquisition Costs
- Licensing Costs
- Overheads

Growth Drivers

- Global Demand
- Policy Support
- Talent Pool
- Infrastructure
- Domestic Consumption

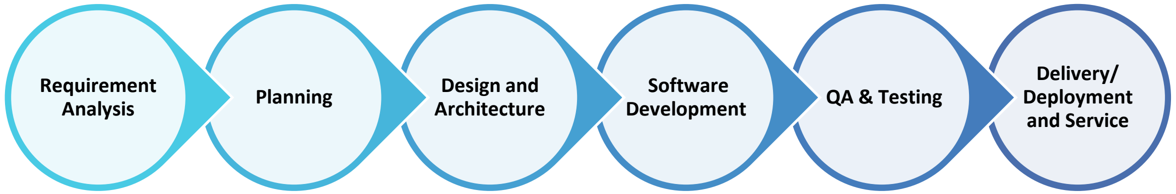
Porter's Five Forces

Force	Description/Analysis
Industry Competition **(Very High)**	▪ Traditional IT Services – Fierce Competition ▪ Next Gen Services – Strong Competition ▪ Industry Commoditization ▪ Minimal Differentiation
Threat of Substitutes **(Low)**	▪ Technology (IT) is integral to organizations today and not replaceable ▪ Organizations' internal IT capabilities can be real threats to the service segment
Threat of New Entrants **(Moderate)**	▪ Traditional services are commoditized and threat of new entrants is very low ▪ Disruptive areas are still open to change due to low entry barriers
Buyer's Bargaining Power **(High)**	▪ Due to availability of alternatives, buyers have large bargaining power for both traditional and niche (SMAC) services.
Supplier's Bargaining Power **(Low)**	▪ With low differentiation and marginal value addition (if any) the suppliers have little to offer and consequently little to bargain over. ▪ However niche products and service providers may still have higher bargaining capabilities

Information Technology

SDLC - Processes

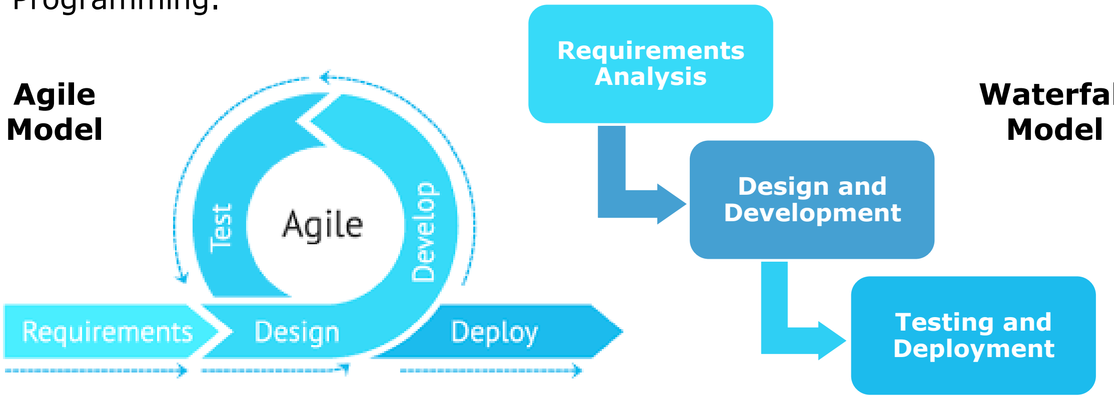
The **Software Development Life Cycle** (**SDLC**) refers to a methodology with clearly defined processes for creating **high-quality software solutions**. The general SDLC flow is represented below.



- **Requirements Analysis:** This stage of the SDLC process deals with understanding the requirements of the clients, taking in inputs from all stakeholders and translating them into software features.
- **Planning:** The planning stage seeks to answers questions of what needs to be done and how. Selection of methodologies happens at this stage of the SDLC.
- **Design and Architecture:** High level design and technical architecture of the solution is developed in conjecture with architects and experts.
- **Development:** The actual developmental work of writing code and integrating it.
- **QA & Testing:** Code and functionality testing, NFR (Non-functional requirements) and FEMA (Foreign Exchange Management Act) analysis, and quality assurance.
- **Delivery/Deployment:** Cutover/deployment of the software and/or delivery to the client and service maintenance.

Software Development Methodologies

Waterfall and **Agile** are two of the most popularly used methodologies in the software development and management possesses. The Waterfall method is a traditional **unidirectional flow method** while Agile is a more **adaptive** and **outcome-oriented incremental process** with implementations such as **Scrum**, **Kanban**, **Lean, Scrumban**, and Extreme Programming.



Organizations' (Non-Tech) Internal IT Value Chain

(1) Drive the **IT portfolio** to **business needs** and **innovation targets**

(2) Address **accurate business** in a timely fashion – the **what** and **when**

(3) **Catalogue**, **fulfil**, **deliver**, and **manage service** and **product usage**

(4) Anticipate and proactively resolve customer facing **production issues**

Information Technology

Industry Statistics

Market Segment	Size and Revenue Contribution
IT Services	US $97.0B, ~52.74%
Business Process Management	US $38.0B, ~20.67%
Software Products	US $34.4B, ~18.70%
Hardware Products	US $14.5B, ~7.88%

- The Indian IT industry contributed about **8%** to India's current GDP; an increase in the share after 2 years of declining share value
- Artificial Intelligence will **boost the** Indian **growth rate** by **1.3%** by 2035
- **IT Services** have contributed the most to India's export revenue at **54%** with equal contributions from BPM and Software for the remaining.
- **62%** of the **$145 Billion** Indian exports (by value) go to USA with UK at a distant second (~20%)
- India's IT spending will cross **$100 Billion in 2022** with maximum focus on Devices, IT and Communication services
- Public end-user cloud-based spending in India will cross **$5 Billion in 2022** (**> 25% increase over 2021**)
- India's digital economy is expected to rise to **$1 Trillion** by 2025

Industry Trends

- **Telemedicine**, **Telehealth**, **Remote Monitoring Systems** and **Clinical Information Systems** would lead the charge in IT services demand globally
- **Software Technology Parks in India** (STPI) are exploring the FinTech domain to explore cross-border collaboration (FinBlue) and strengthening the start-up ecosystem (IIT Bombay)
- **Infosys, Wipro, TCS, HCL Tech** have increased their hiring numbers for FY '22 as compared to FY '21 with overall hiring activity seeing a 43 % increase YoY as on Oct' 21
- With increasing demand for cloud-based services, there has been a boost in the **hyper-scale data centres investments** with it expected to rise at a CAGR of ~5% till 2025
- AI, geospatial systems, drones, semi-conductors were recognized as **sunrise sectors** in the Budget 2022 by the FM.
- Japanese investments in the Indian IT industry have increased fourfold in the past 5 years

Major Players

IT Services
- TCS
- Infosys
- HCL
- Wipro

BPM/CRM
- SAP Labs
- Oracle
- Salesforce

H/W Prod
- HP and HPE
- Dell
- IBM

S/W Prod
- Google
- Microsoft

Pharmaceuticals

Value Chain

R&D → APIs Chemicals → Mfg. & Packaging → Storage & Shipping → Marketing & Distribution

(1) **R&D:** Research, Pre-clinical Trials, Clinical Trials, Approval, Government Mandates, Regulation and Price Control

(2) **Active Pharmaceutical Ingredients (APIs)/Chemicals**: Procurement, Suppliers, Inventory Management, and Cold Storage Units

(3) **Manufacturing & Packaging:** Manufacturing Infrastructure, Technology, License to Produce, Production Planning and Scheduling, Packaging, and Quality Control

(4) **Storage & Shipping:** Warehousing, Distribution Network, and Out-bound Logistics

(5) **Marketing & Distribution:** Sales Force, Channels, Stockists, Strategy

Drivers

KPIs

- R&D expenses for new drugs
- Number of new drugs
- TAKT time
- Phase 1/2/3 survival rate

Cost Drivers

- R&D
- Sales and Distribution
- Manufacturing
- Capital Cost

Growth Drivers

- Healthcare & technology convergence
- Rising exports
- Low production cost
- Strategic alliances
- Biotechnology
- Growing urbanization

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Presence of large-scale & established players as well as numerous small players ▪ Trend of M&A deals absorption of small players by large players – leading to consolidation ▪ Technological advancement in biotechnology & generics – leading to rapid development of niche markets and players
Threat of Substitutes **(Medium)**	▪ Production of generic drugs once the patents expire is not profitable ▪ Alternative medicines & treatments such as Ayurveda and Homeopathy are popular ▪ Emergence of biotech/genomic industries
Threat of New Entrants **(Low)**	▪ Huge up-front costs in R&D, manufacturing, talent and technology know-how ▪ Strong government regulations & complicated process of approvals ▪ High risk of no ROI if the company fails
Buyer's Bargaining Power **(Medium)**	▪ Hospitals & other health organizations which buy in bulk, possess certain bargaining power ▪ High power of manufactures to dictate price until patent expires balances this skew ▪ High cost of switching for dealerships
Supplier's Bargaining Power **(Low)**	▪ Several suppliers are willing to supply raw materials, limiting their bargaining prowess ▪ Lower switching cost for manufacturers ▪ Threat lowered owing to backward integration

Pharmaceuticals

Industry Statistics

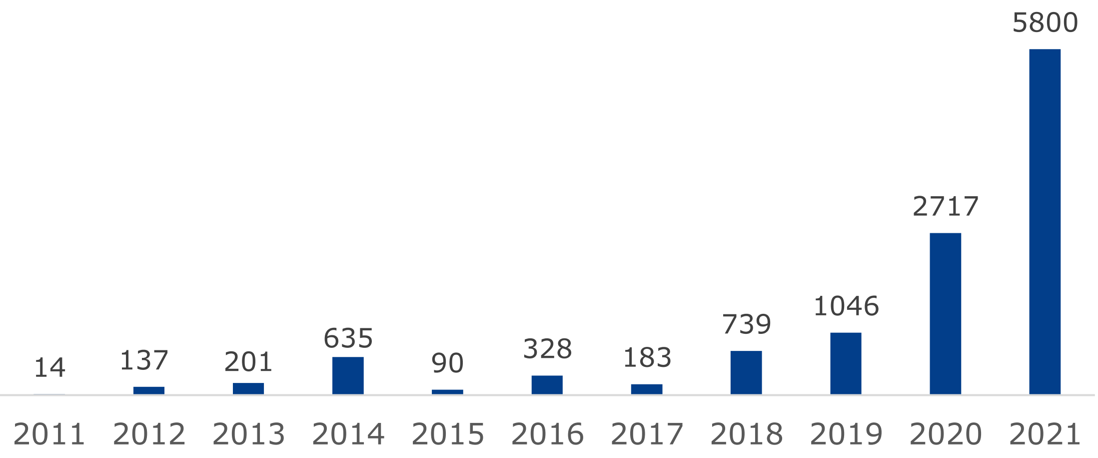
- Indian pharmaceutical industry is expected to grow at a **CAGR 12%** to reach **US $ 130 Billion** by 2030
- India's 2021 Turnover : **US $ 42 Billion**, comprising US $ 24.43 Billion as the domestic turnover and US $ 17.57 as the turnover exports
- The Indian pharma industry has **grown 10 times** in the last two decades driven by its strength in the global generics space
- The Indian pharmaceutical industry supplies over 60% of global vaccine demands and 40% of generic demands in the US
- Biggest export destination for Indian pharma product is North America (32.1%), followed by Africa (17.96%), and European Union (15.70%)
- Indian API Market to surpass **$34.9B** by 2028 growing at **CAGR of 8.3%**
- India relies on imports to meet roughly **two-thirds** of its intermediates and more than **one-fifth** of its API requirements.

Industry Trends

- Companies are investing in R&D to explore opportunities in biosimilars and NCEs, and expand beyond the generics
- Companies are trying to achieve cost leadership via **vertical integration**
- High M&A activity in the **biotech/genomics** space
- Government **easing the regulatory norms** for pharmaceuticals will greatly boost foreign brands & new startups willing to expand into India
- GoI is planning to set up **mega bulk drug parks** in order to reduce the industry's dependency on raw material imports (APIs in particular)
- Growth in the number of lifestyle diseases in India is likely to boost the sale of drugs in this segment.

Investment Trend in Pharmaceuticals

PE/VC Investments in pharmaceuticals – 2011 to 2021 (YTD Nov) in US $m



Even though there has been an increasing trend in PE/VC investment in Pharmaceuticals, it constituted **only about 3% (US$6.2 b)** of the total PE/VC investments during the period from 2010 to 2020.

Major Players in India

- Sun Pharma
- Aurobindo Pharm
- Lupin
- Cipla
- Cadila Health
- Alembic Pharma
- Dr Reddy's Lab
- Glenmark
- Divis Labs

STRATEGIST
STRATEGY & CONSULTING CLUB OF MDI

Telecommunication

Value Chain

Physical Infrastructure and Network Operators → Device Manufacturers → Service and Content Provider → End Users

(1) **Physical Infrastructure:** Tower Setup and Operations Deployment, Infrastructure Sharing, Switches, Routers, and Firewalls, Integration, and Deployment. Service Portfolio – Voice, Data, Hybrid, and OTT. SIM Operations, Network Protocols, QoS, and Regulatory Compliance

(2) **Device Manufacturers:** Wireless Technologies and On Device Capabilities, Other Wired and Wireless Devices (IoT/Wearable)

(3) **Service and Content Providers:** Social Media, Messaging Services, Audio and Video Content, and OTT Services

(4) **End Users:** Data and Voice, Recharge Plans, Usage Patterns, Promotion & Engagement Portfolio, and Customer Care Centres

Drivers

KPIs

- Average Revenue Per User
- Acquisition Cost
- Minutes of Usage
- Network Operating Cost
- Churn
- Tele Density
- Availability and Utilization

Cost Drivers

- Spectrum Auctions
- Commission Charges
- Network Investments
- Op-Ex
- Customer Costs

Growth Drivers

- Growing Demand
- Mobile Penetration
- The Rise of OTT
- Content Democratization
- FDI Relaxation

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Fiercely competed industry with a few players ▪ Both private and state owned entities exist ▪ Predatory Pricing has augmented competition
Threat of Substitutes **(Moderate)**	▪ Mobile and Telecom connectivity is not replaceable and hence enjoys dominance ▪ However, cable TV and satellite operators, and are developing their own telecom infrastructure rapidly
Threat of New Entrants **(Low)**	▪ High Entry Barriers – Investment and Regulation ▪ Well financed and well structured companies may pose serious threats (Jio, for example)
Buyer's Bargaining Power **(Very High)**	▪ With a variety of options and negligible switching costs, the buyers enjoy a distinctive advantage.
Supplier's Bargaining Power **(Very Low)**	▪ With an oligopolistic structure, the suppliers' freedom is hamstringed by competitors willing to offer similar services at lower price points.

Telecommunication

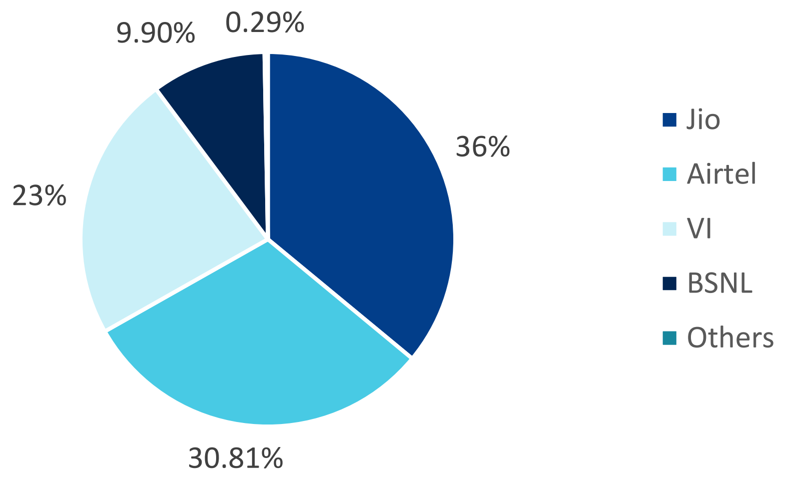
Industry Statistics

Market Segment	Notes
Mobile (Wireless)	**~98.3%** of the subscriber base; **10.6% CAGR**
Fixed Lines (Wireline)	**1.72%** of the user base – **commercial** & **public**
Internet Services	**560M** active **internet users** in FY 2020

- India is the **2nd largest telecom market globally**; **1st largest growing app market**; **2nd largest** number of telecom **subscriber base**
- Number of internet subscriptions stand at **~745M**, with a **~21% CAGR**
- Total usage of **wireless data** was nearly **23,00,000 TB** in FY ’20
- The **Total Smartphones Userbase** in India is about **444M** in FY ’ 21
- As of 2019, India held world’s highest data usage per smartphone, averaging **9.8 GB per month**. It is expected to double to **18 GB** by 2024

Major Players and Market Shares

Subscriber Market Share – Indian Telecom Service Providers (Dec ’21)



Industry Trends

- The **AGR** headlock, **spectrum** allocation processes, **regulatory** fraud, customer **rates**, and **QoS** will continue to be contentious issues
- **Reliance**’s re-entry into the telecom industry through **Jio** has rapidly changed industry dynamics. Both traditional and OTT services (video streaming, music, payments and shopping) are set to drive the industry
- With breakthroughs in **AVR** technologies, the growth of **IoT** and **wearable** technology, and **on-demand services**, telecom is gearing up to a **golden era**

Policy Support and Government Initiatives

- **Spectrum Assets** Expansion, **Infrastructure Enhancement**, and Increase **Technology Adoption**
- **FDI** cap increased to **100%** (from 74%) and **DoT** allocations worth **66,000 Crore** for FY 20 – 21 (a **184%** increase from the previous year)
- DoT to set-up **1 Million internet enabled service centres** under the **National E-Governance Plan**
- **100 Mbps** connectivity to **250,000 Gram Panchayats** under the **National Optical Fibre Network** (NOFN) project

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E-Commerce

Value Chain

Sourcing & Inbound Logistics	Inventory and Warehouse Operations	Sales and Marketing, Customer Engagement	Shipping & Delivery, After Sale Services

(1) Incoming inventory, supplier management, and channel control. B2B and co souring, modular shipping, mass customization propositions

(2) Inventory handling, warehouse operations, segregation, and packaging. Consolidation, pickup, and grouping. Inventory turn and availability

(3) Targeted marketing, dynamic content, promotion, payment, sales, engagement, unified experience, queries, and feedback

(4) Order handling, preparation, invoicing, assignment, dispatch, routing, and delivery. Omnichannel considerations and distribution partners (B2B). Customer experience, complaints and reviews

Drivers

KPIs

- Avg. Order Size
- Cart Abandonment Rate
- Revenue Per Visit
- Hit and Bounce Rate
- First Response Time
- Churn & Time on Site
- Session Duration and CTR

Cost Drivers

- Technology – Development & Maintenance Costs
- Marketing & Promotion Costs
- Inventory Costs
- Logistic Costs
- SGA Costs

Growth Drivers

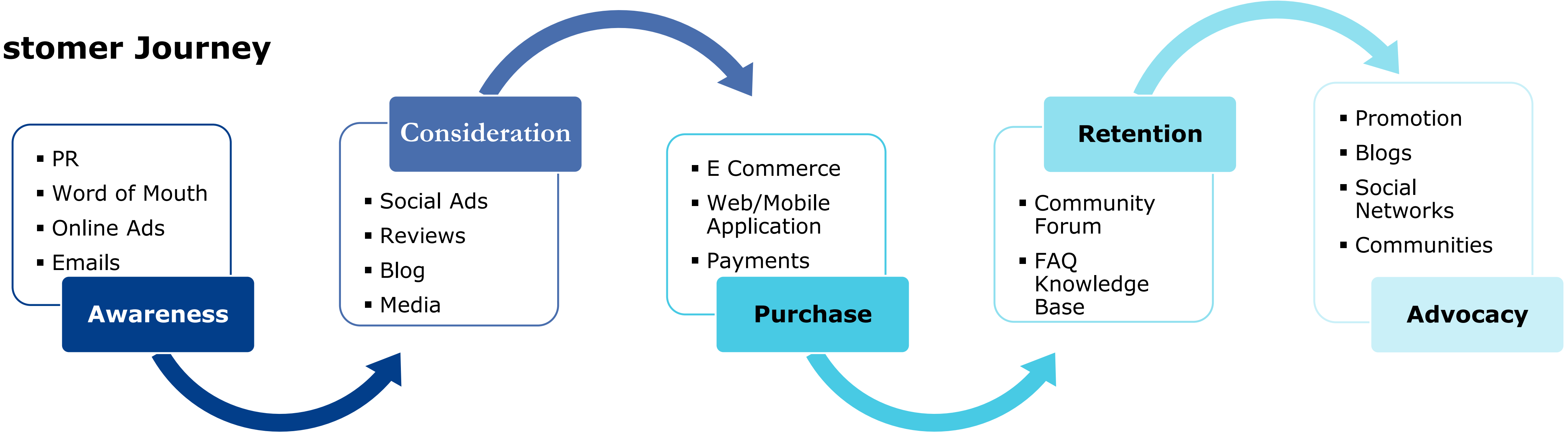
- Growing Demand
- Mobile Penetration
- Increased M&A
- Convenience, Cost and Variety
- Payment Digitalization (Wallets and UPI)

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Domestic and international Organizations ▪ Niche and all encompassing service providers ▪ Cross platform partnerships and integrations
Threat of Substitutes **(Moderately High)**	▪ Inhouse E-retail capabilities of manufacturers and producers ▪ Physical outlets and dedicated engagement and delivery centres
Threat of New Entrants **(Moderate)**	▪ Due to high initial investments and operational complexities, entry barriers are strong ▪ M&A activities and the growth of Super Apps may however pose a challenge to pureplay E commerce players
Buyer's Bargaining Power **(High)**	▪ With a multitude of options and low switching costs, buyers have a distinctive advantage
Supplier's Bargaining Power **(Moderate)**	▪ Brand decisions, high competition, and regulatory policies generally limit the aggregator's freedom of pricing and operational decisions

E-Commerce

Customer Journey



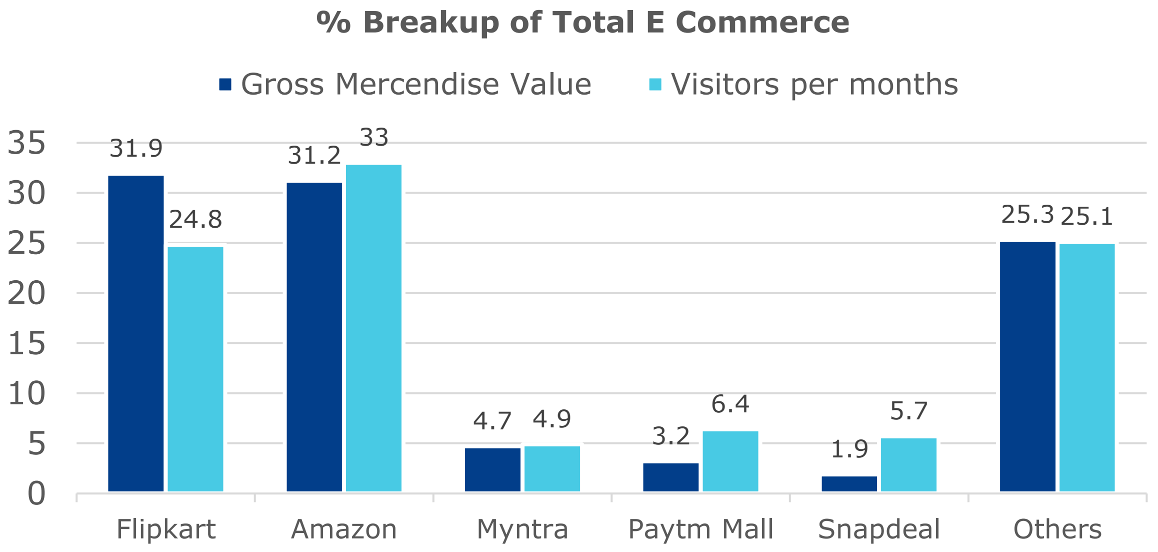
Stage	Points of Interaction	Organizational Goals
Awareness	Organic Search, Search Ads, PR Feature, Social Media	Information Dissemination, Building Trust, Justification
Consideration	Customization, Re-targeted Ads, Direct Sites, and Review Sites	Positioning, Narrative Development, Development of Interest
Purchase	Website/Mobile App, Email, Customer Care Centre	Timely Information, Selection, Follow Through, Cross Selling Customer Satisfaction, and Recall
Retention	Review Requests, Re-targeted Ads, Email, Communities	Suggestions and Feedback, Engagement, Stimulation
Advocacy	Chat Tools, References, Communities and Social Media	Customer Integration, Rewards, Customer Content

E-Commerce

Industry Statistics

- E-commerce users in India is expected to **rise by ~ 50%** in the next 4 years to reach **948 million users by 2025**
- E-commerce value in India is expected to rise to **$300 billion** by 2030 driven primarily by e-grocery
- B2B e-commerce value is expected to increase to more than **$1817 billion** by 2025

Major Players



Industry Trends

- With physical & digital experiences getting blurred, seamless omnichannel **digital** experience is ensuring a hyper-personalized experience for the customers
- **Consumer engagement over messaging platforms** like WhatsApp and Messenger ensure cheap, speedy and an always-on open line interactions for the businesses
- **Personalized shopping needs** through AI/ML and marketing integration are being expected by customers using e-commerce as a shopping medium.

Key Developments

- Avataar has raised funding to help develop in the shaping of consumer journeys with the 3D image of the product using their phone camera
- Flipkart has initiated a service-fee modelled programme to detect and create D2C brands on its platform
- Q-commerce has grown in the last year with Dunzo, BigBasket, Grofers etc. working with third party vendors to operate dark stores
- Digital Kendras are being set up by Amazon to facilitate MSMEs about the advantages of e-commerce

Aviation

Value Chain

Inbound Logistics → Operation → Outbound Logistics → Sales and Marketing → Services

(1) **Inbound Logistics:** Route Selection, Scheduling, Crew Scheduling, Passenger Service, Facilities Planning

(2) **Operations:** Ticket Counter, Aircraft Operation, On board Services, Ticketing, Baggage Handling

(3) **Outbound Logistics:** Baggage Handling, Flight Connection, Rentals and Hotel tie-ups

(4) **Sales & Marketing:** Advertising, Promotion, Travel Agent Program, Group Sales, Loyalty Programs, Digital Promotion

(5) **Service:** In-flight Hospitality, Lost Baggage, Complaints and Feedbacks

Drivers

KPIs

- Revenue passenger miles
- Available Seat Miles (ASM)
- Load factor
- Total cost per ASM

Cost Drivers

- Aircraft & Accessories
- Fuel
- Labor
- Maintenance
- Airport Fees
- Marketing

Growth Drivers

- Growing Demand
- Mobile Penetration
- Increased M&A
- Convenience, Cost, and Variety
- Payment Liberation (UPI)

Porter's Five Forces

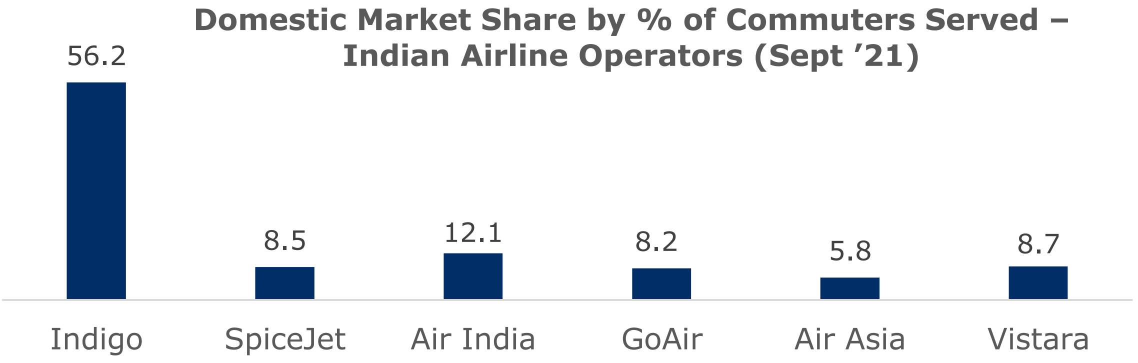
Force	Description/Analysis
Industry Competition **(High)**	▪ High no. of large competitors ▪ Low industry growth ▪ Low product differentiation and switching cost for the buyers ▪ High barriers to exit due to high fixed cost and asset specialization
Threat of Substitutes **(Low)**	▪ Substitutes available such as road, rail & water travel, depending upon the route in question and varies according to cost & benefit of the alternative but not preferred for long distances
Threat of New Entrants **(Low)**	▪ High initial capital requirements for buying & leasing planes and fixed cost for purchase & maintenance of slots ▪ Supply and demand side economies of scale ▪ Low product differentiation
Buyer's Bargaining Power **(Moderate)**	▪ High no. of buyers but mostly individuals with low financial muscle ▪ Low switching cost if multiple airlines fly the same route ▪ Highly price sensitive market leading to increase in low-cost carriers
Supplier's Bargaining Power **(High)**	▪ Low number of suppliers ▪ High supplier switching cost ▪ Lack of substitutes ▪ High contribution of Supplier to cost & quality

Aviation

Industry Statistics

- Air passenger traffic for FY '21 stood at **115.38 Million.** It was a **66.17% fall** from FY '20 statistics
- Air freight traffic for FY '21 stood at **2.47 Million** ton. It was a **25.70% fall** from FY '20 statistics
- The Indian airline travel market is estimated to grow 2X by FY '27 due to improving airport infrastructure and growing access to passports.
- IGI Airport in Delhi continues to lead as the busiest airport of India with 22.5 million passengers held in FY '21.

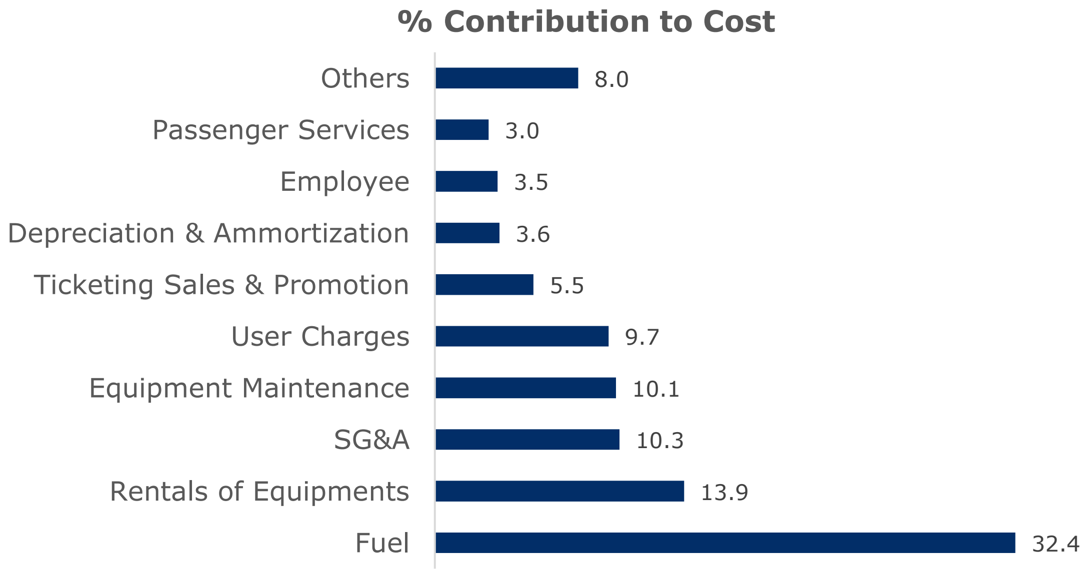
Major Players – Domestic Airline Operators



Industry Trends

- Higher aircraft movement in the country can be attributed to: Increasing and freight traffic, increasing airline operators and liberalized aviation policies
- The govt is planning to add **14 water aerodromes**, to boost sea-plane connectivity in the country
- Airport developmental projects are underway in N-E India with **Guwahati as an inter inter-regional hub** and **Agartala, Imphal and Dibrugarh as intra-regional hubs.**
- There is a greater use of **non-scheduled airlines** with the number boosting to 95 as of Oct' 2021
- **Akasa**, an ultra-low-cost carrier (ULCC) will be launched April 2022 with an initial investment of US $35 million
- **PPP model** has boosted private sector investments in airports. The GOI has approved expanding the existing 5 PPP airports to 15 airports

Cost Breakdown of Airline Operations



Insurance

Value Chain

Product Management
- Market Analysis
- Product profitability simulation
- Customer Segmentation

Sales & Distribution
- Distributor process
- Sales force planning & implementation
- Process improvement

New Business Underwriting
- Business Process Design
- Policy implementation

Claims
- Leakage
- Claims process improvement

Payments
- Payments system implementation & process improvement

Customer Service
- CRM & Call centre improvement
- Data driven marketing

Drivers

KPIs
- Revenue
- EBITDA
- Cost per claim
- Time to settle claim
- Retention ratio
- Underwriting speed
- Strike rate

Cost Drivers
- Insurance Product
- Information Technology
- Marketing
- Human Resources
- SG&A

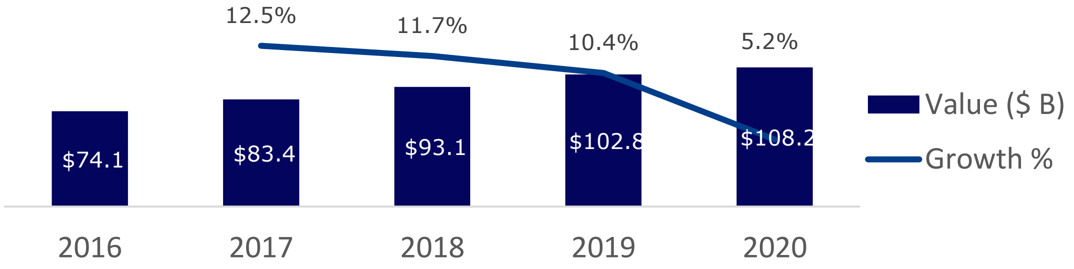
Growth Drivers
- Rural Demand
- Government Support
- Custom made micro insurance products
- Rising financial literacy
- Rising Income

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Presence of large-scale incumbents ▪ Strong brands such as HDFC Standard, SBI Life, ICICI Prudential ▪ Low exit barriers in the industry due to strong regulation
Threat of Substitutes **(Low)**	▪ No real substitutes for some products like motor insurance ▪ Cheaper alternatives like savings & investments offer low returns with high risks
Threat of New Entrants **(Moderate)**	▪ Huge capital investment ▪ Strict regulatory environment ▪ Brand identity & established reputation ▪ Foreign ownership cap in non-life insurance increased from 49% to 74%
Buyer's Bargaining Power **(Moderate)**	▪ High volume of customers reflects customer diversity which impacts bargaining power ▪ Large businesses hold higher power than individuals ▪ Low customer loyalty & high price sensitivity ▪ High switching costs for customers
Supplier's Bargaining Power **(Moderate)**	▪ Suppliers include ICT companies & re-insurers ▪ Large size & moderate number of suppliers ▪ Reinsurers possess proprietary knowledge

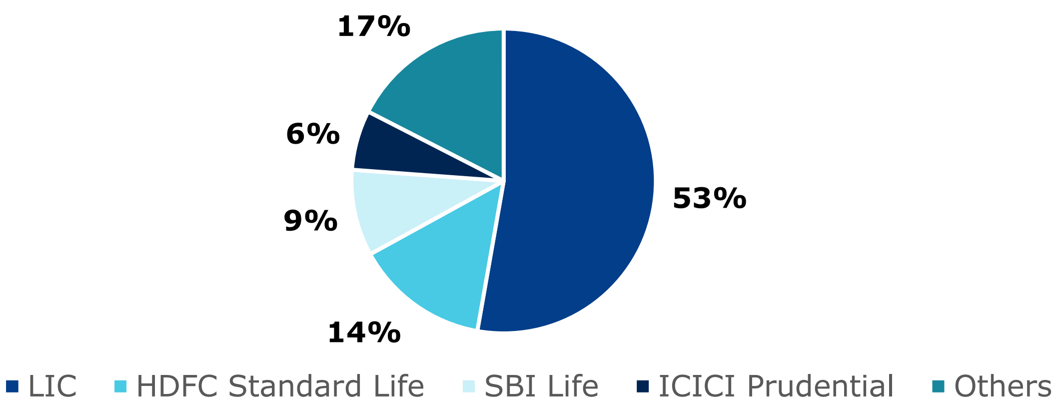
Insurance

Industry Statistics



- Life insurance is the largest segment contributing to **75.2%** of the market's total value in 2020
- Insurance penetration in India reached **4.2%** in FY21, with life insurance penetration at **3.2%** & non-life at **1%**
- Number of non-life insurance policies (i.e. general, motor, health etc.) in India reached **182M** in FY19

Major Players



Industry Trends

- Scope of IoT in Indian insurance market is expanding beyond telematics and customer risk assessment. There are **110+** InsurTech startups operating in India
- The share of we-aggregators within digital insurance has been on a rise & now accounts for **>30%** of digital insurance orientation
- **Drones** are being used in Farmer's insurance to collect data & calculate risk before issuing a policy, aiding in preventative maintenance, and assessing damage following a loss

Key Developments

- Government has increased FDI limit in Insurance companies from **49%** to **74%** post approving 100% FDI in Insurance intermediaries
- In June 2021, Indian government extended a **₹50 lakh insurance coverage** scheme for healthcare workers across India
- **Disinvestment of LIC India** to take place in FY2022 to help the government raise **₹25,000 crore**
- According to S&P Global, India became the **2nd largest insurance** technology market in Asia accounting to **35%** of the $3.66B Insurtech investments made in the country

Media and Entertainment

Value Chain

Content Creation → **Distribution** → **Consumption**

(1) Content Creation: Production & creation of content, Transformation of content from original format to distribution ready formats, Protection from illegitimate consumption, Enable different viewing modes. Includes: Artists, Podcasters, Sports, Studios, Journalists, Advertisers,

(2) Distribution: Facilitate content discovery by managing content metadata, Distribute content to a wide userbase. Includes: Print, Broadcasters, OTT, Social media.

(3) Consumption: End-user consumption, Authorise and authenticate users, Continuous monitoring to ensure performance, Obtain financial returns. End-users includes division by demographics and format

Drivers

KPIs

- CPC (Cost per click)
- Unique Reach
- ROI/ROAS
- CLV (Customer Lifetime Value)
- Sales Conversion
- Site Visits
- Viewable Impressions

Cost Drivers

- Content Creation
- Website Maintenance
- Platform Maintenance
- IT Systems
- Salaries
- Licensing & Copyrights

Growth Drivers

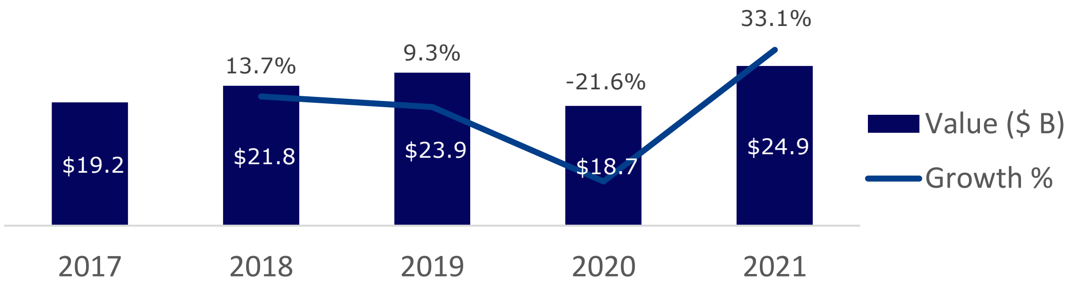
- Proprietary Content
- Affordable Subscription
- Personalisation
- Expanding Middle-Class
- Cheaper Internet

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(Moderate)**	▪ Public TV vs Subscription Services ▪ Print Media faces the issue of storage costs ▪ Ease of transferring assets reduces barriers to exit market
Threat of Substitutes **(High)**	▪ Online Piracy is a threat across platforms ▪ Legal Online alternatives to Cable TV ▪ In-house marketing departments ▪ Social media Advertising ▪ Cheaper alternatives with low switching costs
Threat of New Entrants **(Moderate)**	▪ Subscription tends to lock customer loyalty ▪ High differentiation & fixed costs ▪ Lower regulation & accessible distribution makes entry easier
Buyer's Bargaining Power **(Low)**	▪ Advertising agencies' clients (MNCs to Govts) have higher power due to its dispensability ▪ Patronage of brands reduce power in the publishing industry ▪ Shift from cinema to streaming services ▪ Yearly contracts of advertisers with Cable TV
Supplier's Bargaining Power **(Moderate)**	▪ Major events like Olympics & World-cups give more power than a new entertainment series ▪ Backward integration with production companies reduces their power

Media and Entertainment

Industry Statistics



- Television holds a significant share of the industry at **~50%** and is followed by Digital media; a distant second at **17%**
- Share of Online Gaming is expected to **double** in the upcoming two years
- Increase in the number of OTT subscribers have significantly boosted value in 2021, after a 20% fall in 2020.

Major Players

Television	Star India	ZEE Entertainment	Multi-Screen Media (Sony)
Print	Bennett, Coleman and Co	HT Media	Living Media India
Films	Yash Raj Films Studio	Eros Int'l Media	Red Chillies Entertainments
OTT	Disney+Hotstar	Eros Now	Amazon Prime
Gaming	Nazara	MPL	Dream11
Music Streaming	Gaana	JioSaavn	Wynk

Industry Trends

- Driven by the DTH market, the Television market penetration grew to **~70%** in India
- Key focus is on regional language consumption on OTT platforms with its share expected to rise **beyond 50%** of the total time spent by subscribers
- **>90%** of the advertisement spendings were towards TV(~40%), OTT(~30%) and Print(~20%). However, subscription revenues trumped advertising revenues.

Key Developments

- Indian Broadcasting Foundation (IBF) has been renamed as **Indian Broadcasting and Digital Foundation** (IDBF), in an effort to bring all digital players under a single roof
- To let viewers report on any broadcasted content, the Cable Television Network Rules were notified by the Union Ministry of Information and Broadcasting
- The government is working towards creating a **National Centre of Excellence for AVGC** (Animation, Visual Effects, Gaming and Comics)

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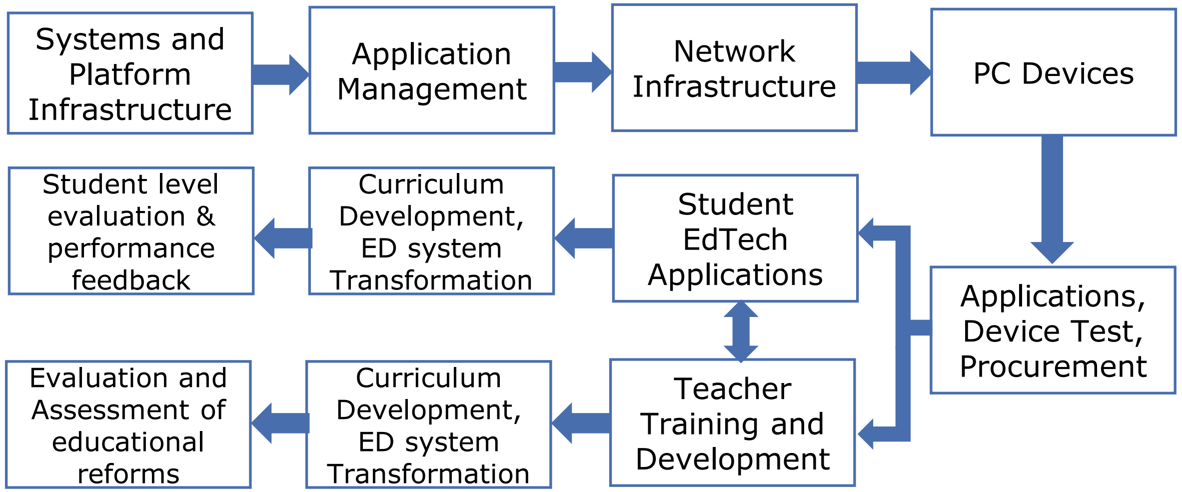
EdTech

Value Chain



Drivers

KPIs

- Churn Rate
- CAC (Customer Acquisition Cost)
- Conversion Rate
- CLV (Customer Lifetime Value)
- Runway
- Burnrate

Cost Drivers

- Content Creation and Adaptation
- Infrastructure Maintenance
- Tech Support
- Licensing & Copyrights
- Salaries

Growth Drivers

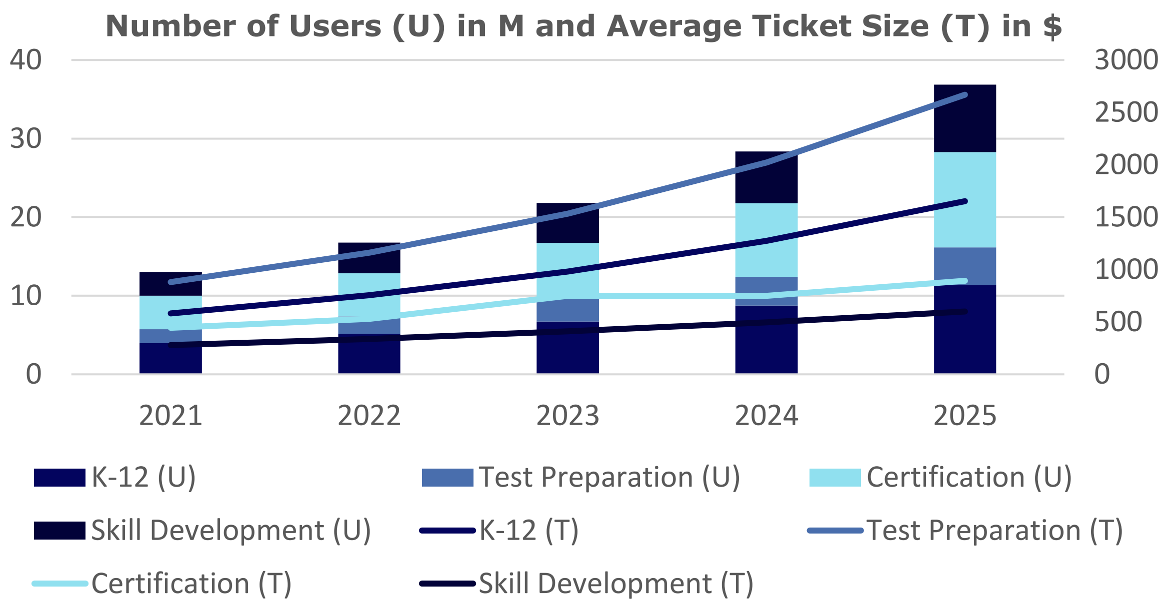
- Lower Cost
- Lack of educational infrastructure
- Digital friendly Govt. policies
- Course Demand
- Tech penetration
- Pandemic Lockdown

Porter's Five Forces

Force	Description/Analysis
Industry Competition **(High)**	▪ Freemium choices & short-term subscriptions ▪ Offerings with similar features use price-based competition
Threat of Substitutes **(Low)**	▪ Offline learning is adopting e-learning as a way to boost their services ▪ High degree of customization also available in online courses
Threat of New Entrants **(High)**	▪ Low investment costs in creation and hosting ▪ Few barriers to entry ▪ Proliferation of cloud hosting platforms ▪ Adoption of Saas
Buyer's Bargaining Power **(Low)**	▪ Individual buyers have to settle for lister prices ▪ Institutional buyers have some degree of bargaining power due to the customization and negotiation
Supplier's Bargaining Power **(Moderate)**	▪ Growing shortage of professional instructors ▪ Easy availability of content creators and software providers ▪ Monopoly of suppliers

EdTech

Industry Statistics



Major Players

Test Preparation	Vedantu*	Byju's*	Unacademy*
Certification	Eruditus*	UpGrad*	Coursera
K-12	Lead*	Lido	Stepapp
Skill Development	InterviewBit	Disprz	Edureka
Enterprise Solution	Classplus	Schoolguru	Foradian

* Unicorns in the EdTech Sector

Industry Trends

- EdTech has emerged as the **third-most funded** Indian start up sector with over $4.7B raised. Only e-commerce ($10.7B) and fintech ($8 B) attract more investments
- EdTech companies are focusing on **vernacular learning** to expand their user base
- Gamification of the process: incentive-based learning, level advancement badges etc. are being used to drive engagement

Key Developments

- To address the criticisms regarding functioning of the Ed-Tech organisations, IAMAI has announced the formation of **India EdTech Consortium (IEC)**, a self regulatory body of the industry stakeholders
- As per Budget 2022, **Digital universities** will be launched in all regional languages with a **'hub & spoke'** network
- Indian EdTech platforms are restructuring their business models: **Catering to niche domains, cloud-based platforms, B2B EdTech** to cater to a wider audience

Common Interview Questions

Case Based Questions

What are Case Interviews?

The case interview is a simulation of a real-life business problem that the interviewer, and the firm you're interviewing with, might have faced, is currently working on, or can potentially come across. The interviewee is put in the shoes of a consultant and is evaluated on his/her display of core consulting skills. Asking the right questions to seek information from the client (the interviewer, in this case), developing initial hypotheses, quantitative evaluation, brainstorming, and finally communicating the recommendations are some common aspects of both real-life consulting projects and a case interview.

What does the Interviewer look for?

- The approach you take while solving a problem/case
- How analytical, structured, and complete your thinking is
- Your usage of data to quantify your analyses and make final recommendations
- Your communication skills in conveying your ideas
- Your ability in suggesting actionable implementation (on-ground) strategies and evaluating them
- Your ability to handle curveballs and identify what areas to focus on and what to let go

Common Case Question Types

- **Profitability:** Identify the possible reasons behind profitability issues and provide recommendations on improving profitability
- **Market Entry:** Develop a strategy to expand into a new market; typically includes market sizing exercise to quantify the viable market
- **Merger & Acquisition:** Determine whether the client should purchase another business or sell an existing part of the company; due diligence and integration (vertical, mostly)
- **New Product Launch:** Identify whether the client should go ahead with a new product launch; the launch strategy and potential pitfalls
- **Pricing:** Arrive at a rational price range for a product or service based on its cost, value addition, and competitor's pricing

Evaluating Soft Skills

	1 Fit Questions	2 Behavioural Questions
	Very Frequent	**Moderately Frequent**
Rationale	a) Get to know the candidates b) Candidates' ability to drive a conversation c) Candidates' soft skills, interpersonal capabilities and overall personality d) Candidates' interest and fit for consulting and a role with the firm	a) How candidates deal with common situations b) Map role expectations with the candidates' experience c) Candidates' leadership qualities and the ability to work in teams and handle crises d) Candidates' ability in structured story-telling
Examples	a) Tell me a little about yourself. b) Walk me through your resume. c) Why would you like a career in consulting? d) Why do you think yourself to be a suitable candidate for the role? e) Why would you like to work with us? f) What are your strengths and weaknesses?	a) Describe a situation when you led a team. b) Tell me about a situation where you persuaded all stakeholders to achieve a common goal/result? c) What according to you is your biggest failure? What have you learnt from it? d) Tell me about an instance where you worked under pressure. How did you deal with the situation?

Points to Note

- ❑ Recollect critical previous experiences prior to the interview
- ❑ Learn about the firm's technical and functional expertise
- ❑ Give answers keeping in mind the key qualities of a consultant
- ❑ Answers should reflect honesty, positivity, curiosity & passion

Evaluating Hard Skills

	1 Conceptual Questions	2 Guesstimate Questions
	Less Frequent	**Very Frequent**
Rationale	a) Candidates' basic understanding of business processes b) Candidates' functional interests and capabilities c) Candidates' academic aptitude d) Candidates' industry knowledge e) Candidates' ability to apply theory to practice	a) Candidates' Mathematical Aptitude b) Candidates' ability to develop a structured approach c) How well the candidate understands & applies MECE d) Candidates' ability to sift through and select relevant data points from everything presented
Examples	a) Questions on financial ratios and their importance. b) BCG/Ansoff Matrices, Value Chains, Five Forces c) What is a 6 Sigma process? How would you implement it in consulting? d) Trends in a particular industry* e) General questions related to the industry of prior work experience*	a) Estimate the quantity of petrol used per day in Delhi. b) Estimate the number of petrol pumps in Bangalore. c) Estimate the number of Flights Arriving at KIA (Bangalore) Daily. d) Estimate the number of iPhones sold in a year. e) Estimate the annual revenue of a Poha stall outside IIT Delhi campus.

Points to Note

- ❑ Be thorough with the latest trends in major industries
- ❑ Be clear with basic ideas in business – fin., marketing & ops.
- ❑ Always give logical rationale for your decision in guesstimates
- ❑ Have basic numbers in your head – demographics, distributions

* Frequently asked

Frameworks and Cases

General Guidelines to Approach Case Interviews

General Flow of a Case Interview

Understanding the Case

- Listen to the case carefully and reiterate your understanding
- Ask high level question at this point to have better clarity (you can always ask specific questions as you move along in your analyses)
- Do not arrive at solutions and conclusions at this point

Developing a Framework

- Provide a roadmap to the interviewer before embarking on an in-depth analysis
- Every case is unique and no one perfect framework fits all – commonly used frameworks have been discussed further
- Leverage the MECE principle

Qualitative & Quantitative Analyses

- Structure your analyses well
- Probe for more information and data points through targeted questions
- Talk the interviewer through the calculations and analyses
- Perform sanity checks to avoid calculation errors

Recommendations & Closure

- Summarize the case in the end
- Final recommendation must be specific, feasible, and backed by supportive arguments
- Address the risks & next steps
- Don’t give recommendations that severely conflict the company’s vision and plan

Dos

- Concentrate on the issues that will create value for the client, and make sure you explain the reasons behind your choices
- Think before speaking; take some time to organize your thoughts and ideas
- Be transparent about your thought process, and think out loud
- Make quick and accurate calculations to swiftly form opinions and guide decisions – do not pore over numbers
- Engage with your interviewer and be yourself; conversational skills matter – practice them well through peer interviews

Don'ts

- Don’t rush into the analysis without developing an understanding of the problem at hand
- Don’t stick to a standard framework at all times; it may appear relevant but may not hold up after closer consideration
- Don’t defend your solution at all costs; consider the interviewer’s perspective carefully, and be accommodative
- Don’t assume that a case that sounds familiar, perhaps one discussed previously, would be best solved by the same approach; interviewers are experienced and can catch a rehearsed solution

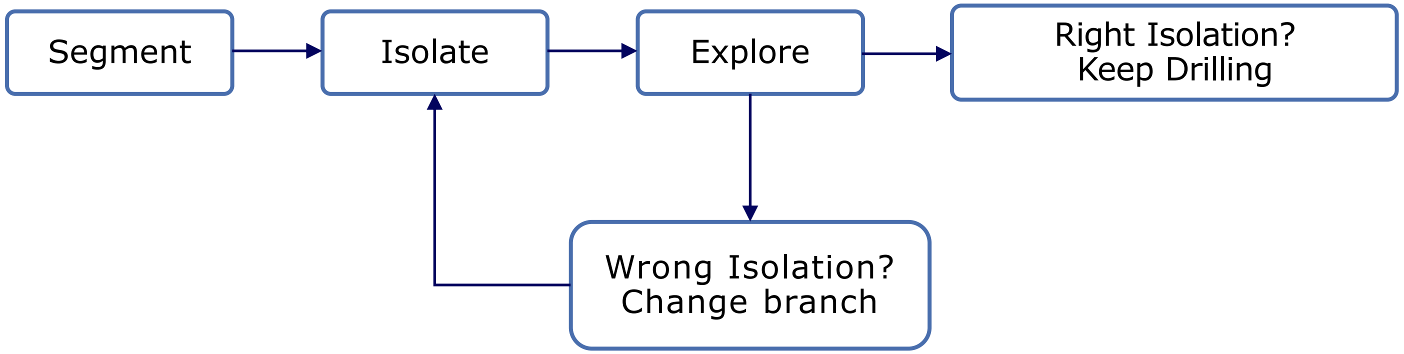
Profitability Framework

Approach

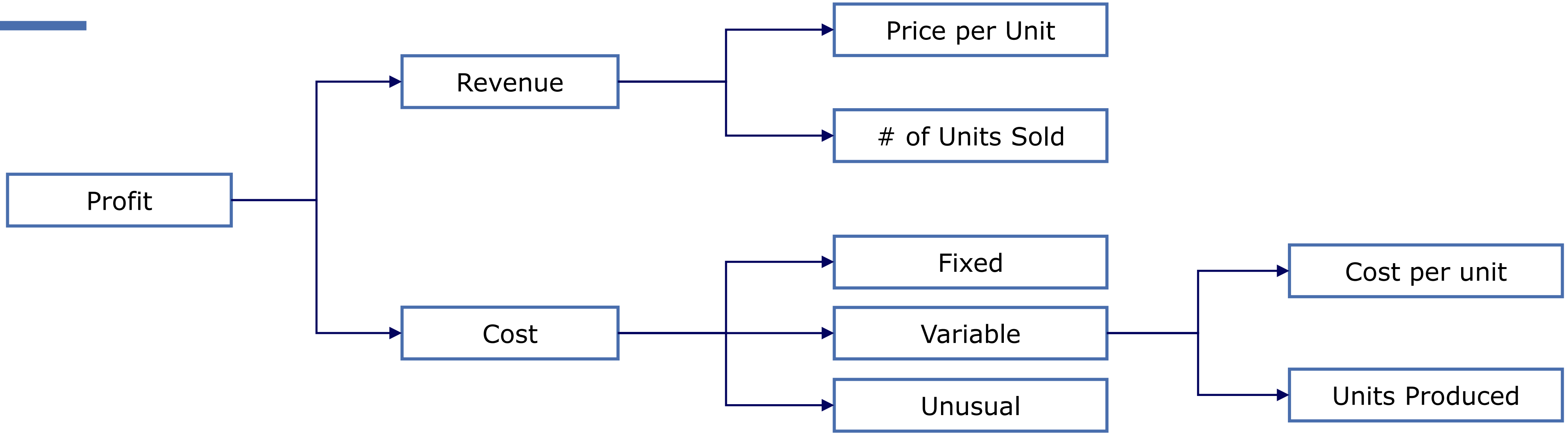
Segment: Segment the profits into revenue & cost; use the below framework for a drill down analysis

Isolate: Ask probing questions to isolate at each stage of branching; use eliminations to move forward

Explore: Explore the isolated branch to identify the root cause; drill down further if required



Framework



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Profitability Framework

High Level Analysis

- ❑ Reiterate the problem to have a clear understanding of the case
- ❑ Use the 3C-P framework to develop ideas about the customer, the company and its capabilities, the competitive landscape and product/product portfolio
- ❑ Understand the timelines and context better – Since when is the company facing these issues? Is it an industry wide trend or is it specific to the company?
- ❑ Identify if the case is talking about **profitability** or **profit**
  - Profit: Revenue - Cost
  - Profitability: Profit as proportion of sales

In Depth Analysis

- ❑ Split Profit into Revenues and Costs as per the framework and dig deeper into each driver
- ❑ **Revenue**
  - Changes in Price
    - ✓ Internal: Increased prices because of increased costs, Transfer pricing considerations
    - ✓ External: Price Wars, Increased Distributor Margins, Regulatory Price Caps, Customer Sentiments, Demand Supply Balance
  - Changes in Volume
    - ✓ Internal: Awareness, Accessibility, Availability, Affordability
    - ✓ External: Economic Cycle, Laws & Regulations, Competitors, Industry Trends, Geography
- ❑ **Cost**
- Clearly lay out the value chain to ensure you do not miss out on any factor
- Types of cost
  - ✓ Fixed: Depreciation, Salaries, Utility Expense, Insurance
  - ✓ Variable: Raw Material, Maintenance Expenses, Fuel Cost
  - ✓ Unusual: Write offs and Stranded Costs

Points to Note

- ❑ Fixed and variable cost based approach might not be MECE, leverage the value chain analysis in such cases
- ❑ Basic accounting principles of costing and allocations might come in handy while analysing costs in detail

Profitability Case 1: Ice Cream Manufacturer

Prompt: Your Client is a Mumbai based Ice-Cream manufacturer. They are struggling with their profitability and have approached you to analyze their problem. You need to identify the key issues and come up with recommendations.

Sure! I would like to start by understand more about the company. Is it only the manufacturer or the seller as well? Is it a franchise or an independent self run business? And what customers does it target?

It is an independent self run business. It is both in the manufacturing and selling business. The target customers can afford mid to premium price range products.

Is the problem specific to the client or is it an industry wide problem?

The problem is specific to the client.

Can I also have an idea about the timelines? Since when are we facing this issue?

The client has observed this issue since past 2 months.

Have there been any price cuts in the product categories?

No. The prices have remained the same.

Okay. My understanding is that there could be two aspects to the issue. One is the demand side that could be affecting the revenue and other is the cost side. Since ice cream has seasonal/cyclic demand, has the profitability issue come up due to these fluctuations? Are we looking at a low demand period?

No, the demand is as expected, like in the previous years. It is the peak of summer, so the demand is high.

Understood. Then it could be an issue with the rising cost of production. I would like to explore the costs. It could be fixed costs like rent of the store, cost of raw materials, cost of new utilities for manufacturing or salaries of the employees. Has any of these increased?

Before I tell you that, could you walk me through the value chain of our client?

Sure. The value chain for an ice cream manufacturer could be - Raw Material Procurement & Supplier >> Inbound Logistics >> Manufacturing >> Outbound Logistics >> Distributors >> Retailers >> Customers

That's good. How would you assess the demand for ice-cream?

We can use historical data to forecast the demand, accounting for variations.

And based on this forecast you would be placing your order to your suppliers. Where in the value chain do you think demand forecasting and placement of order would take place?

It would be at the beginning of the value chain.

Yes. It is at the beginning. Go ahead with your analysis.

From supply side, we can consider the issues like availability of raw materials, issues with inventory management, availability of vendors, and capabilities of employees to handle large customer base. The client could have also bought additional utilities for a forecasted rise in demand.

Manufacturing costs have remained the same and employees are able to handle the customer demand.

Okay. I would then start with inbound logistics and move ahead. The major raw material for ice cream is milk. Wrong demand forecast could lead to excess supply of milk. Since the milk has a short shelf life, there could be wastage of milk, leading to additional costs and decreased profits.

Alright. Can you think of other external reasons as why wastage of milk could be on the rise?

Profitability Case 1: Ice Cream Manufacturer

Other reasons could the transportation time of milk being hire – leading to bad product reaching the client. It’s also possible that there might be wastage arising out of spillage of milk if the inbound logistics are not robust.
Yes. You have arrived at the solution. Two months ago, the company had switched the milk vendor and it was taking more time for the milk to reach the destination and as a result, the milk was going bad, as you have rightly pointed out. Can you also tell me few KPIs to benchmark the operational capabilities of the client?
Sure. The KPIs could be delivery time, shipping time, shelf life of the product, order accuracy, and inventory turnover.
Okay. Thank you. We can close the case here.

Profitability Case 1: Summary

Case Facts

- Client specific problem since the past two months
- Demand is as per expectation for the current summer season
- Prices have remained the same
- Raw materials and manufacturing costs have remained stagnant
- Existing employees are able to handle the current demand
- Inbound transportation time has increased

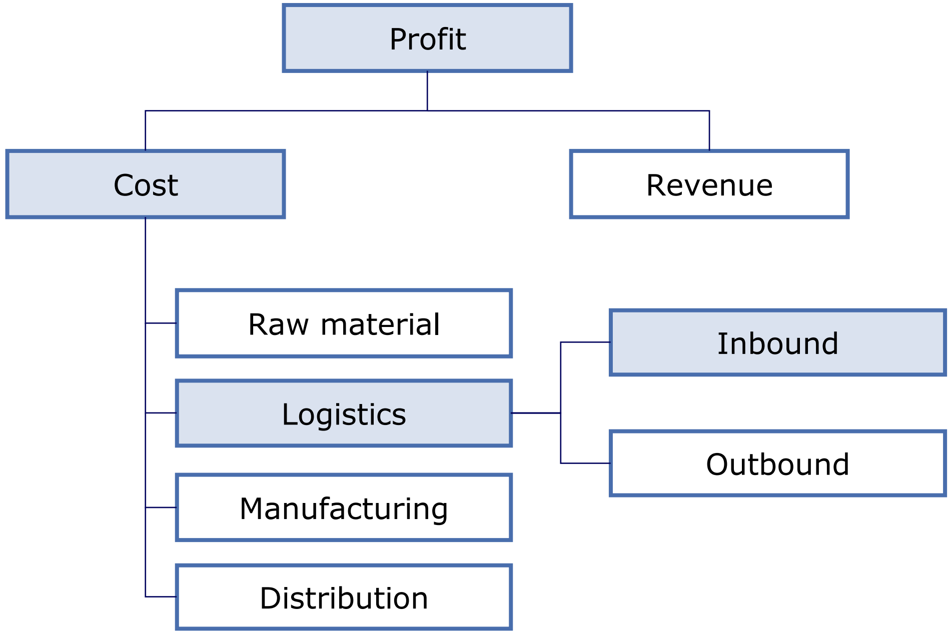
Pre-Requisite Knowledge to Solve the Case

- Value chain of an ice-cream manufacturing company
- Application of demand forecasting in the value chain
- Issues associated with supply side and inbound logistics for an ice-cream manufacturer

Conclusion and Recommendations

- Recent change of client’s logistic partner caused delay in delivering milk that resulted in wastage and in turn increase in costs
- Client should work with the delivery partner to analyse the reason of delay in delivery of milk – route, distance, efficiency of operations etc.
- In case the delivery partner is unable to prevent wastage, client should explore switching to a different partner which provides lower lead time in delivery of milk

Approach



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Profitability Case 2: Chemical Manufacturer

Prompt: Your Client is a chemical manufacturer company which produces chemical used in food preservation. The client has been observing decline in profits since the past 3 years. How can you help them identify the root cause & recommend next steps?

Okay. I would start with enquiring about the overall industry. How many competitors are there in the industry? What market share does the client hold? Is the problem of declining profits specific to the client or is it across the entire industry?

The client has increased their market share from 30% to 40% over the last 2 years. The number of competitors have been on a decline as the issue of declining profitability is across the entire industry.

Great! Profitability is defined as the difference of revenue and cost. I would focus on the revenue first.

Go ahead.

Revenue further can be split as average revenue per order multiplied by the volume of orders. Do we have any information about the change in these 2 metrics?

The revenue per order has declined whereas the total volume of orders have increased recently. The overall market including the client's business is on a downwards trend due to changing consumer behaviour.

Got it. So the entire market is declining but we are declining at a lower pace than the market, hence the rise in our market share as compared to competitors.

Yes. That is correct.

Alright, next I would like to understand about the costs. Have the costs changed for the client?

The costs have remained constant.

Okay. So lets go back to the revenue. You mentioned that the overall industry is on a decline due to changing consumer behaviour. Could this be due to the rising awareness of healthier food alternatives which has caused consumers to shift away from foods which use alternative preservatives?

Yes, that is correct.

Since the market is on a decline, what about the makers of such food? Have they also experienced a decline? If yes, have they been forced to lower prices?

Yes, the revenue of food manufacturers is also declining. Since they hold a strong leveraging power, they have been able to renegotiate a new contract with reduced prices of raw materials.

Okay. So due to renegotiated prices, the revenue per order of the client has declined and the costs have remained same. This has contributed to the decline in profitability.

That is correct. What would you recommend to the client?

So, my recommendations would be to analyse the costs first. If there is any possibility to further reduce costs, that would help the client increase their profitability. If not, the client should work with other competitors to renegotiate contract prices to raise prices of chemical products.
The client can also diversify their product portfolio and reduce the over-reliance on food preservatives industry. The client can look for synergies in other industries which require such chemicals and venture into those possibilities.

Profitability Case 2: Summary

Case Facts

- Client produces chemicals used for food preservation and has been facing declining profits in the last 3 years but growing market share in the last 2 years
- There is a decline in the number of competitors due to the decreasing profitability in the overall market
- Per order revenue has declined but the total volume of orders have increased but costs have remained same for the client
- Food manufacturers' revenue have also declined but due to their leveraging power, they could renegotiate lower prices of raw materials

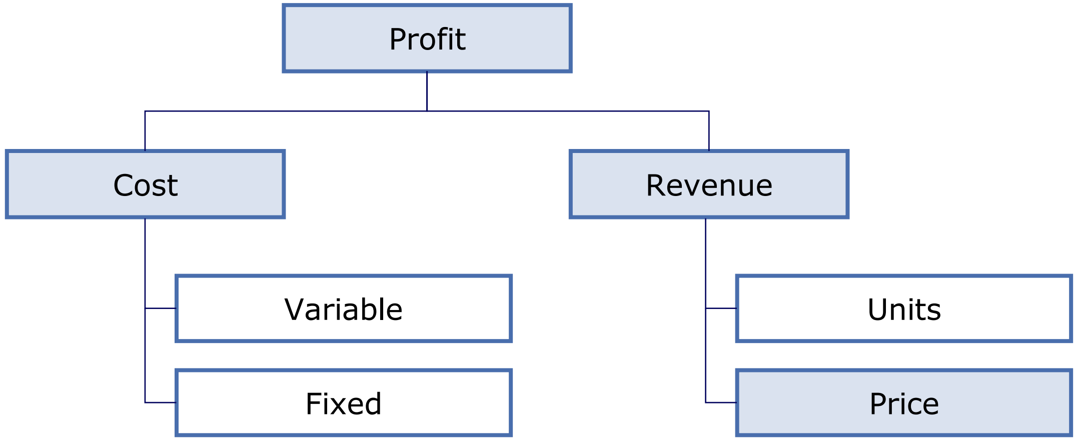
Pre-Requisite Knowledge to Solve the Case

- Relate the consumer behaviour change to decline in food preservation industry
- Identify alternatives to negate the consumer behaviour trend

Conclusion and Recommendations

- Due to increasing awareness of healthy food alternatives, industry performance has declined but client's decline rate is slower than the industry rate, hence the increase in market share
- Analyse costs for possibility of further reduction in prices
- Work with other competitors to renegotiate contract prices to raise prices of chemical products
- Diversification of their product portfolio and lookout for opportunities in other industries which require such chemicals

Approach



Profitability Case 3: Cooking Oil

Prompt: Your Client is India's major cooking oil processing and packaging company. It has observed a reduction in its operating profits. Can you find out why this is and come up with suitable recommendations.

Sure! I would like to start with few questions to get my understanding right. For how long has the client experienced declining profits?

The company has been seeing a decline since the past 6 months.

Okay. Have our competitors also faced a similar decline in profits? If yes, there could be external factors impacting the profits. Otherwise, it could be an issue specific to our client.

No, only our client is facing this issue.

And what other businesses is the client into? Are those businesses also impacted?

The client is also into other FMCG products. But let us focus on their cooking oil business and the potential problems they are facing.

Okay I will begin my analysis by breaking down profits for the business into its component parts: Revenues and Costs. Based on where the issue lies, I would like to look at various internal and external factors. Does this sound okay?

Yes, sure go ahead.

Have we noticed any declining trend in the revenue?

No. The sales have continued to grow but as sales have increased, the profits have declined steadily.

Okay. So there appears to be an issue with the cost. I will look at the steps in the value chain and narrow down the possible areas where the costs may be rising. For a cooking oil producing company, the value chain can be broken into raw material procurement, processing, packaging, storage, distribution and retail. Additionally, there will be logistics between these processes. Is there any step that I am missing and you would like me to focus on?

No, you've mostly got it covered. You can focus on the packaging aspect because traditionally, the producer has packaged the cooking oil in 1 litre packets. Recently, in response to demand from the market, the producer purchased a machine that packages the cooking oil in plastic gallons of 2 litres each.

Okay, this is interesting. The machine could be a one-time investment which should be recovered with time. However, as you mentioned, we are facing a steady decline in profits with the rise in sales. So, we might not be making profits on the packet of oil we are selling. The contribution margin could be negative. Can I know the price at which we are selling the 1 litre packet and the 2 litre gallon?

For 1 litre packet, the company is charging ₹150. For 2 litre gallon, the producer figured he would provide an incentive to buy by selling them at ₹270 per gallon.

How was the cost of the new equipment accounted for in the price?

The producer has raised the price from ₹120 to ₹150 for the one litre packet.

Okay but the increase in price have not impacted the sales. In fact, the sales have increased. What about cost of packaging? Does it cost the same to package the cooking oil in packet as it does in gallons?

Well, not really. For the gallon we use a superior quality and higher quantity of plastic. Also, we had to hire more experienced labour to operate the machine because it is more complicated than the packaging machine. We figured that because the demand was higher for the gallons – we would cover our costs through increased volume.

Profitability Case 3: Cooking Oil

How are we calculating the overhead costs?
All costs for the factory are added together and divided by the number of units produced.
This looks like an issue with cost allocation. The price of the plastic gallons should be higher due to higher costs of packaging. Now we need to see to what extent this is affecting the profits.
Sure. Go ahead with your assessment.
What is the split between sales of 2 litre gallon versus 1 litre packets?
From the time the 2-litre gallon has come into the market, people are preferring that over the packet. Of the overall sales volume, the 2-litre gallon’s contribution is 60%.
Even though it costs more to package in the gallons, yet the price is not higher on a per litre basis. In fact, it's lower. Therefore, more the 2-litre gallon we sell, the more would be the decline in profits.
Yes, that is an excellent observation. What do you recommend?
The price on per litre basis for the gallon packaging should be higher than that of packet packaging. The gallon packaging is providing additional value to the customer in terms of storage functionality and people would be willing to pay extra for the same. To arrive at the optimal price points, the company should revisit its cost allocation strategy. Evenly distributing the cost is not the right approach. They should perform activity-based costing and allocate the overheads and direct expenses to both the products separately.
Thank you for your recommendation. We can close the case here.

Profitability Case 3: Summary

Case Facts

- Client is India's major cooking oil processing and packaging company facing this specific issue since the past six months
- Sales have continued to grow but profits have declined
- Packet sizes change: 1L packet (₹150) to 2L gallons (₹270)
- Old Price of 1L packet = ₹120
- New equipment installed, experienced labour hired, costly raw materials used
- Overhead costs: Total costs in the factory / No . of unit produced
- 2-litre packet has contributed 60% of the sales volume

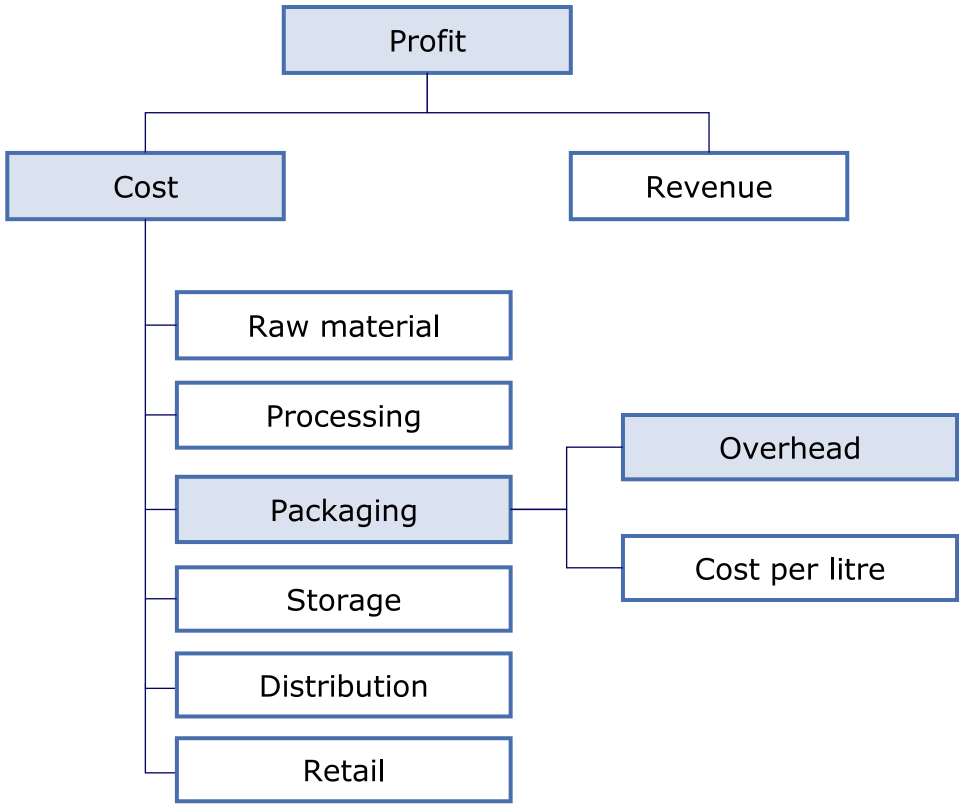
Pre-Requisite Knowledge to Solve the Case

- Value chain of a cooking-oil manufacturing company
- Cost allocation strategies

Conclusion and Recommendations

- The new prices are lower on a per litre basis given that packaging costs have increased. Hence the client is incurring a loss on every unit sold
- People would pay extra for the gallon packaging as it provides additional value to the customer. Hence its price on per litre basis should be higher than packet packaging's price.
- Revisit cost allocation strategy and allocate overheads and direct expenses to both packaging individually

Approach



Profitability Case 4: Chinese Footwear Retailer

Prompt: Your Client, CSM Sports, is a Chinese footwear retailer attempting to establish a profitable presence in the European market. Since they arrived six years ago, they have struggled to achieve their profitability goals. How can you help them identify the root cause and recommend next steps?

Sure! To reiterate my understanding of the case, a Chinese footwear company is struggling to achieve its profitability goals in the European Market and we have to find the reason for the same and advice on how to go about achieving the desired profitability results. Is my understanding correct?

Yes, absolutely.

I would like to understand more about the products the client sells.

Sports shoes are the client's major source of revenue. They also sell flip flops and sandals.

Where are these products manufactured?

They are manufactured in China itself.

Okay. How are the sport shoes priced? Are they premium products?

The footwear is sold in the European market at an average price of around €50. It is in line with the mid-tier competitors.

I would also like to understand the external factors a little. How is the footwear market doing and if there have been any disruptions in the industry/market?

The market is stable and in recent times there has not been any economic downturn. There hasn't been any disruption in the industry either.

Since we know the average price, I would first like to look at the revenue. Do we have information on how the footwear is sold? Is it sold in online or offline stores?

The footwear is sold only in the offline stores. There are six stores across different cities. Out of the six stores, 4 are located in the malls/supermarkets. The other two stores are flagship stores, located in prime locations with higher footfall. You can do market sizing for the footwear sales. You need not go into the details of the exact locations of these stores.
Average Sales in the Mall/Supermarket based Stores – 1000 items/day
Average Sales in the Flagship stores – 4000 items/day

Based on these data points we can calculate the yearly revenue for the company.
Total Revenue = 365*50*(4*1000 + 2*4000) = €219 Million

Ok, that's good. We already have a number for total yearly cost. It was €225 Million for the previous year. Can you look at the drivers for the cost and revenue one by one to identify the scope for improvement?

I would like to start my analysis with the costs. Per my understanding, manufacturing cost is one of the primary cost. Do we have information if manufacturing processes are efficient? Is there scope for improvement?

The company is manufacturing at the cheapest possible rate. What next?

How about the labour cost? Can we reduce that?

No. Labour in China is already cheap and cannot be reduced further. What next?

Next is the shipping cost. How are we shipping the products from China to Europe?

Currently we are shipping through air.

Can we look at alternative option like shipping through sea routes?

Yes, shipping through waterways will bring down the cost. However, that is not a concern for the company. Can you look at other costs?

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Profitability Case 4: Chinese Footwear Retailer

Yes. Next I would like to look at the rent. Since the flagship stores are located in prime locations, the rent must be high. Is this the case? If so, is it possible to shift them to different locations to reduce this fixed expense?

No that is not possible. Those are required for marketing purposes.

Talking about the mall stores, since the sales are lower can we get away with them and have more flagship stores?

No, the mall stores are strategically functioning with expansion plans. We have almost covered the cost. Let's see if we can do anything on the revenue front.

Okay, sure. Revenue consists of price and sales volume. Can we change our price? How price sensitive is the European customer?

No, the company does not want to change the price point. Increasing prices will reduce the sales, while reducing price will not solve the profitability issue.

Looking at the sales volumes, can we have online channels for increasing sales?

The company does not want to invest in online channel, at this point in time.

Alright. How does customer perceive our products? Do they consider them trendy? Since the company is based out of China, there is a possibility that it might not be producing at per the latest trends in Europe.

Yes, recently the company has identified that the European customers feel that the footwear colours are very basic and lack variety.

So this can be a primary reason for not meeting profitability goals. Product innovation needs to be looked at. Another important factor could be the in-store experience of customers. Can the staff be better trained to deal with customers.

They are already well trained. It is the product that needs work. You have nearly covered all the aspects. Can you summarize your findings and recommendations?

Sure. Currently the client is making an yearly loss of €6 Million. To address this, we looked at the costs and revenue. On cost side, I would recommend changing the shipping mode from air to water. Sea routes are less expensive and allow each shipment to carry larger product volumes compared air-routes.

On the revenue front, I would recommend rigorous customer study, R&D and product development. This would help the client increase its sales volume and achieve profitability. The client can also look at online selling and hope to reach a wider customer base.

Excellent! Thank you for your recommendations. We can close the case here.

Profitability Case 4: Summary

Case Facts

- Chinese footwear company is not able to achieve profitability goals in a stable European market while competing with mid-tier companies (€50)
- Only offline stores: Malls: 4 (1000/day), Flagship stores: 2 (4000/day)
- Total yearly cost: €225 Million
- Raw Materials, manufacturing, labour & retail costs are optimized
- Company doesn't want to reduce cost
- Footwear colours are basic and lack variety
- Well trained staff at the offline stores

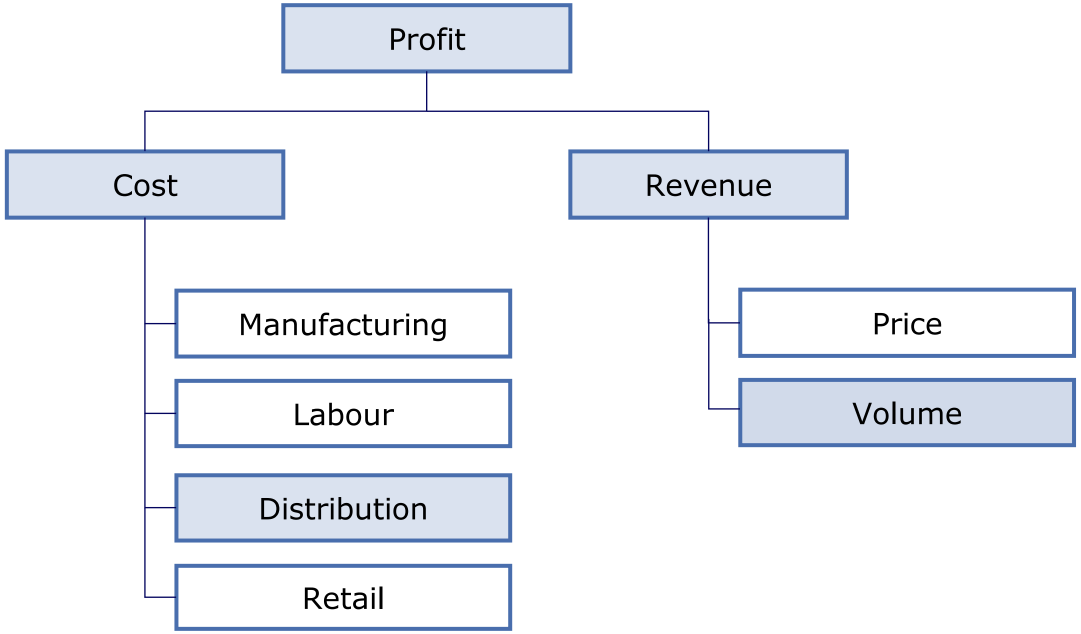
Pre-Requisite Knowledge to Solve the Case

- Cost drivers of footwear product
- Revenue components of the product
- External factors affecting cost and thus revenue affecting profitability

Conclusion and Recommendations

- Currently the client is incurring an annual loss of €6 Million
- On cost side, sea transport can be considered to reduce costs and increase capacities
- On revenue side, extensive customer research R&D and product development needs to be undertaken
- Online channels can be explored to increase customer base

Approach



Profitability Case 5: Ferry Transport Business

STRATEGIST
STRATEGY & CONSULTING CLUB OF MDI

Prompt: Your Client, department of Transport which operates Ferry Business in the Northern United States has been suffering from declining financial performance for some time. How can you help them identify the root cause & recommend next steps?

Sure! First I would like to understand a bit more about the Ferry transport industry. Does this business have any competitors? Also, who are our target customers?

Yes, so only the US department of Transport operates in this space. There are no competitors in this business. The main customers are commuters and tourists who use our service for transport & leisure.

I would like to understand more about the scale of the client's business.

Client's business is pretty huge. They operate 24 vessels across 18 terminals.

Thanks. Now moving to the main problem, I would like to understand what the client means by financial performance. Is the client referring to Revenue or margins here?

The client means margins but wouldn't the margin increase with rise in revenue?

Not necessarily. It may be a case that revenue is increasing but the costs may increase at a much higher rate than revenue which results in drop of profits.

Correct. Let's go back to the problem.

Since we are talking about profits, I would also like to break profits into 2 segments – Revenue & Costs. Do we have any information about any change in revenue or costs?

How would you calculate revenue?

Revenue can be calculated as the no. of trips multiplied by average revenue per trip or no. of customers multiplied by average revenue per customer.

Okay. Client's revenues have remained stable. Let's focus on the costs.

Sure. So costs can be broken down into fixed, variable and overhead costs. Do you want me to start with any one specific cost first?

Let's list down all associated costs as per these categories.

Fixed cost would include the cost of the ship, salary expenses & docking fees. Variable cost includes fuel expenses and overheads would include insurance, maintenance cost & administrative costs. Is there any other aspect which you want me to cover?

No. You have covered the costs well. I'll give you further information about the costs.
Total cost incurred by the client is $300M out of which 1/3rd is driven by fuel, $20M for docking fees and the client employs 2,000 employees who earn $60,000 per year. The remaining are left over overhead costs. Can you tell me the leading factor of costs here?

Sure. So, client's fuel expense is $100M annually
2,000*60,000= $120M annually expense is on salaries
$20M is spent on docking fees & the remaining $60M is spent on overheads
Hence, the biggest factor of costs is salaries followed by fuel expenses.

Let's look at salaries first. What would you recommend here?

With respect to the salaries, we should first perform a benchmarking exercise with other similar ferry transport firms around the world to identify the number of staff required to run the business. Based on the results, we would be able to identify if the client is overstaffed or not. Additionally, we can also perform a market research activity to identify if salaries paid by client are in line with market expectations or higher.

Profitability Case 5: Ferry Transport Business

Great. Let’s look at the fuel costs now. How would you reduce fuel cost?

Fuel costs would be calculated as the price of per litre of the fuel multiplied by the total fuel used. I assume that reducing the price of fuel is outside our control, so let’s focus on the fuel consumed.

Makes sense, go ahead.

Fuel consumed can be calculated as average fuel used per km multiplied by the total distance covered (in kms). In order to reduce the fuel consumption, we can check the route that is being followed currently. Taking a shorter route can reduce the distance and hence the cost. We can also check for any fault in the ship's engine which might be leading to inefficient fuel consumption. But all 24 ships having the same fault would be unlikely.

Correct. Any other way you can reduce this fuel cost?

I think we can also explore shifting to cheaper sources of energy through which we can reduce the dependency on fuel. This can be done by installing solar panels or switching to hybrid electric engines which would help save the costs.

What all factors would you consider before making a switch to a new energy source?

I would analyse 3 main factors: Affordability, Accessibility & Efficiency. Setting up electricity hybrid engines in all 24 ships would require huge capital & we would have to perform a cost benefit analysis to check the break even point of this investment. Additionally, we would also have to check that all 18 terminals where the client docks their ships has the support of electricity charging or not. At the end, the charging speed for the ship will also be very critical as well as very high charging times won’t help the client.

Anything else you would want to add here?

Yes, there would be added benefits of switching to renewable sources of energy such as electricity like good PR in the press. This would enable the client to expand their customer base by also attracting environment friendly people who earlier wouldn’t have opted for this ferry services.

Excellent! Thank you for your recommendations. We can close the case here.

Profitability Case 5: Summary

Case Facts

- Client is in the ferry business with declining margins & no competitors
- Operates 24 vessels in 18 terminals
- Revenues have remained stable
- Cost breakdown: Total cost = $300M of which Fuel = 1/3rd, Docking fees = $20M, Employment = 2,000 employees earning $60,000 annually, Rest = overheads

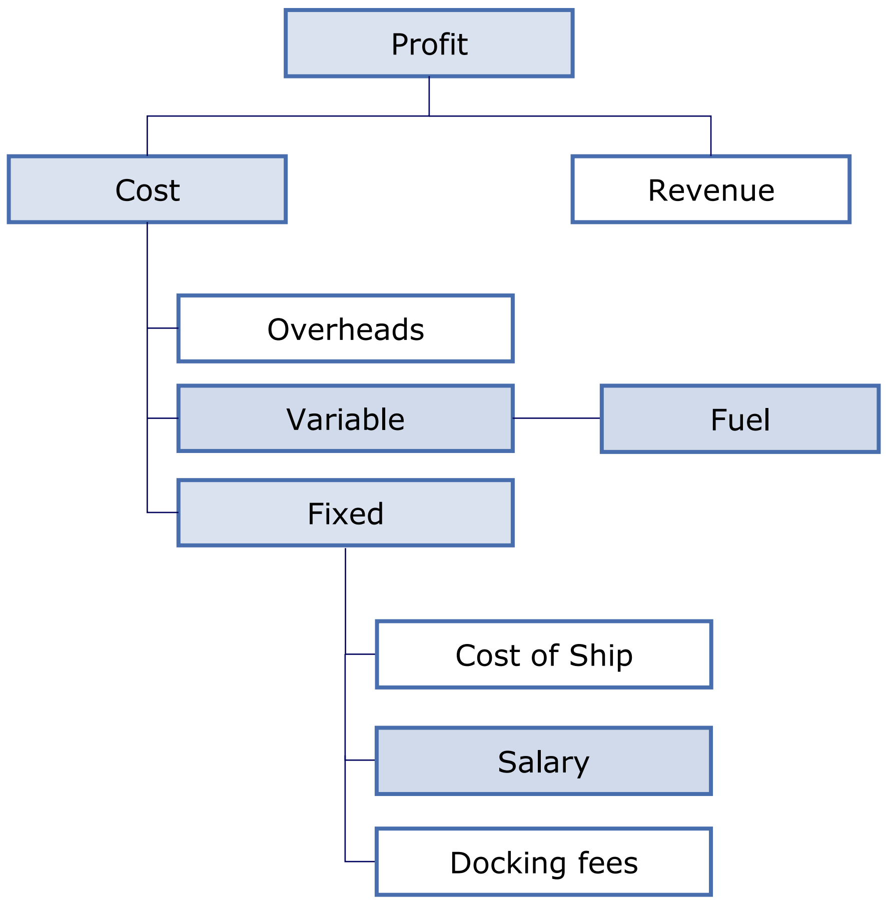
Pre-Requisite Knowledge to Solve the Case

- Cost components under each category
- Staffing and compensation benchmarking exercise
- Fuel management methodologies
- New energy choice parameters

Conclusion and Recommendations

- Perform a benchmarking exercise to know optimal staffing numbers
- Conduct a market research to know market expectations on salaries
- Choosing shorter alternative route and ensuring maximum efficiency of engines
- Exploring alternative choices of energy after careful analysis of affordability, accessibility and efficiency
- Ensuring good PR coverage to expand customer base

Approach



Profitability Case 6: Cycle Manufacturer

Prompt: Your Client, ABC Bikes Ltd is a Bikes manufacturer and has observed that their profits have declined over the past 12 months. How can you help them identify the root cause & recommend next steps?

First I would like to begin by understanding the business of ABC Bikes Ltd. In which geography do they operate? Do they sell only bikes?

ABC Bikes is a leading bikes manufacturer in India and they focus only on the bikes.

Through which channels does the client sell bikes?

Client sells bikes through 2 types of shops – their own exclusive stores and also standard bike stores.

Okay. Since the profitability is declining, I would break profitability into 2 components – revenue and costs. Does the client have any information about these two metrics changing in the last 6 months?

Revenue has decreased by 12% and costs have increased by 12%.

First lets focus on revenue. Revenue will be calculated as units multiplied by average price of the bike. What are the different types of bikes which the client sells? Have the prices of bikes increased?

The client sells 2 types of bikes: Sports & Standard. The details of both are as follows

Type	Price	2020 Units	2021 Units	Margin %
Sports	₹10,000	10,000	12,000	40%
Standard	₹4,000	100,000	80,000	30%

There has been no change in the price of bikes.

So, total revenue decreased by 12% i.e. ₹60M and total Margin dropped by 10% i.e. ₹16M.

Interestingly, both revenue and margins of the Sports bike have increased over this period and the entire drop is coming from the standard segment of bikes.

I would further like to probe the reason of decline in sales of standard bikes. This decline can be a supply or demand side drop. Does the client have any information on the same?

There is no issue with the supply from client side.

Okay. So, the reason for the demand decline can be clubbed into the following 2 buckets - attracting new customers & retaining existing customers.
Attracting new customers is done by marketing campaigns, promotional offers, improved distribution networks.
Retention can be attributed to the after sales services & product quality.
Does the client have any information on the same?

Yes, the problem was caused due to the recent marketing campaign launched by the company. The campaign was focused on promoting Sports bike and as a reason customers started associating ABC Bikes to only Sports bike. This caused a decline in the sales of standard bikes.
Let's now focus on the costs.

Sure. The cost can be divided into fixed & variable costs.
Does the client have any information on these costs?

What can be the different types of costs associated in this business?

Fixed costs would consist aspects such as rent, salaries, maintenance and variable costs would include raw materials, utilities etc.

Profitability Case 6: Cycle Manufacturer

Great! So fixed costs have remained same. The change is in the materials costs which has risen in the past 12 months.
Is this increase only selective for the client or across the industry?
The increase is throughout the industry due to global shortage of materials used in manufacturing of bikes.
Since the increase is across the entire industry, in the short term the client should wait for prices of raw materials to stabilise as this is outside their control. If the competitors increase cost to offset the rise in cost, then the client could also proceed in the same direction.
Great! Can you summarize the entire case and present your final recommendations?
Sure. So, we analysed the client's problem of decreasing profitability and narrowed down to decreasing revenue & rising costs as the core problems. Decrease in revenue is being caused due to the misaligned marketing campaign & the costs are rising due to global shortage of materials. As for my final recommendations, ABC Bikes must pause and reassess their ongoing marketing campaign and then come up with a new campaign through which they can shed the image of being a Sports bike only brand. Regarding the costs, the client must try to look for alternatives to source raw material. If the same is not possible, then in the long term the client might have to increase prices.
Okay. We are done here.

Profitability Case 6: Summary

Case Facts

- Client is a leading bike manufacturer in India
- Revenue decreased by 10% and costs increased by 12% with unchanged prices. Product performance as follows:

Type	Price	2020 Units	2021 Units	Margin %
Sports	₹10,000	10,000	12,000	40%
Basic	₹4,000	100,000	80,000	30%

- No supply-side issues from the client side
- Recent marketing campaign has associated brand with Sports bike only
- Unchanged fixed costs and industry wide increase in material costs

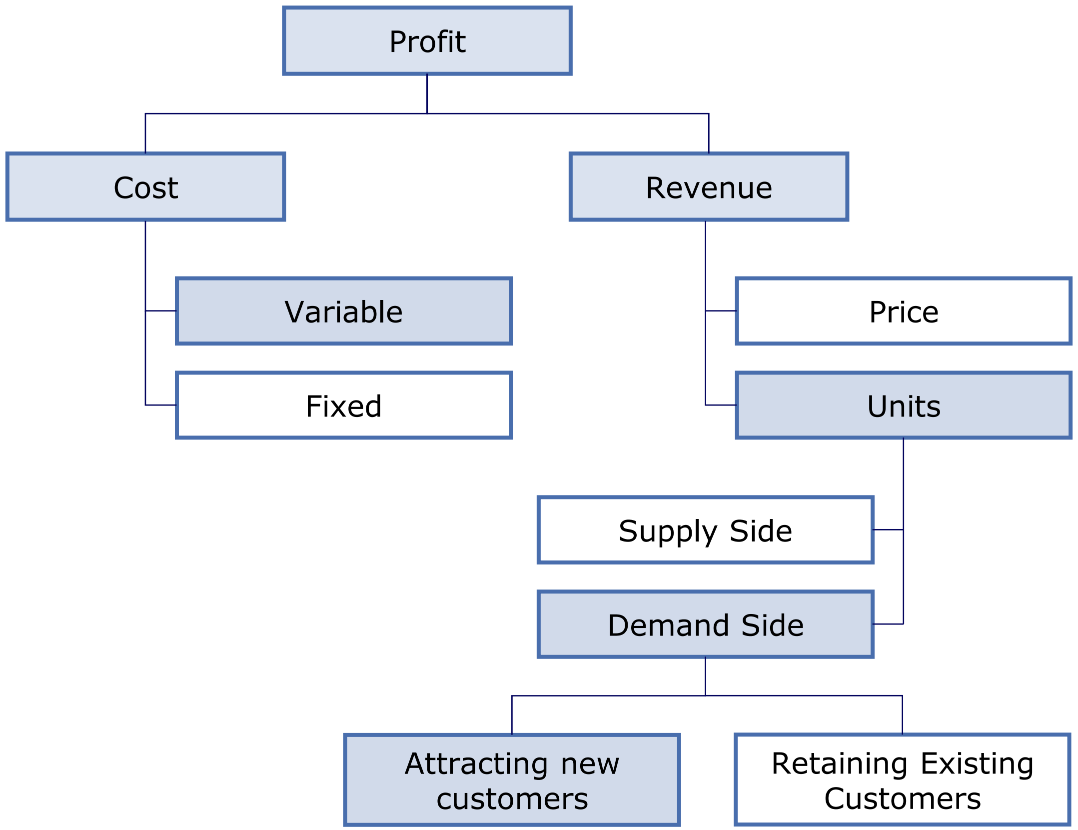
Pre-Requisite Knowledge to Solve the Case

- Demand decline analysis
- Costs associated with bike manufacturing

Conclusion and Recommendations

- Decreasing revenue, due to the misaligned marketing campaign and increasing costs, due to global shortage of materials were the main problems
- Introduce new marketing campaigns to bring down the association of brand with sports bike
- Alternative sources of raw materials if possible, else price rise for the long term

Approach



Market Entry Framework

Entry Considerations

Industry

- What is the overall market size? (Total Addressable Market - TAM)
- Is the market growing? Is it profitable?
- What are the Critical Success Factors? (CSF)
- Are there any barriers to entry?
- Are resources (raw materials, technology) and labour available?

Company

- Do we have the technical, financial, operational, sales & distribution capability to succeed in the new market?
- Are the benefits and positioning of our offerings in line with the needs of the target segment?
- Do we have the expertise to succeed in this market?

Competition

- Number, size, and capabilities of competitors?
- Size and market share of competitors?
- Is the competition reactive through price wars and ad spend?
- Do we have a sustainable advantage over our competitors?

Customer

- Who are our customers?
- Expected customer demand & the market share we can capture?
- What is the customer segmentation in the market?
- What is the overall customer behaviour and is it aligned with our offering? Are customers likely to switch to our brand?

Entry Processes

Entry Options

- Greenfield/Organic
- Mergers & Acquisition
- JV/Strategic Partnership

Operations

- Souring and Inbound Logistics
- Manufacturing & Labour
- Operating Regions and Serviceable Markets

Marketing

- Distribution Channels
- Target Customer Segments
- Marketing Mix (Product, Price, Promotion, Place) and Communication Strategy

Growth

- Long term Growth Plans and financial cost-benefit analysis
- Product Expansion
- Geography Expansion

Market Entry Case 1: E-Commerce

Prompt: Your Client is a US based E-commerce giant and as part of their expansion strategy, they are looking to enter the same business in the Philippines market. You are advising them on this activity. How should they go about it?

Just to reiterate the case understanding, our client is US based E-commerce giant, and they are looking to enter the same business in the Philippines market, and we have to advice them on how to go about it?

Yes, precisely.

Alright. I would like to begin by asking a couple of clarifying questions before I get into the analysis and recommendations.

1) What is our client's business model?
2) Why Philippines?
3) What are their objectives post entering this new market?

Well they are like any other E-commerce chain and have been in business for the last 15 years. Why Philippines, because the market has shown a tremendous growth of 40% in the last 2 years. However not all players have seen the same kind of growth. The primary objective is to breakeven in the first year & then grow in the subsequent years.

Alright, understood. I would break this problem into 3 parts. First, I would check if the entry into the Philippines market makes economical sense or not. Next, if it does, I would like to explore the different entry modes looking at our client capabilities and the country's dynamics. Finally, I would be looking at the go to market strategy for our client.

Alright, that sounds good. So you can begin with your first analysis then.

Sure. So, for assessing whether the entry makes business sense or not, I would like to look at the current market size of Philippines and also the competitive landscape. Do we have some data on that?

Yes, we do have some data related to that (Refer Annexure)

After performing the financial analysis it seems that it does make economic sense to enter the market.

Alright, that's good. You can proceed and discuss about the modes of entry.

So broadly we could look at 3 ways of entry. Standalone, Merger/Acquisition or a Joint Venture. Has the client performed some primary analysis related to the market dynamics of Philippines?

Yes. So based on the client's primary analysis there are two major barriers to entry. 1) Stiff Competition 2) Govt orders to levy more taxes on non-indigenous companies to give local firms greater operational flexibility.

Alright, that would make a standalone entry difficult to pursue, since we would be at a disadvantage compared to the existing firms and higher tax rates would eat into our profits. Moreover, the client does not have any experience of marketing in Philippines. Do we have data on the possibility of an acquisition or a JV?

Yes. Company PQR is not eager to go into any partnership. They have launched physical e-stores with cashless payments facility and goods takeaway capabilities. Company XYZ has not done much in terms of marketing. It had gained a lot of market share at the time of its advent in Philippines owing to the lower prices offered as compared to Company PQR. However, now they are bleeding money due to lower margins and are open to joint business options.

Alright, so based on the facts you provided it seems that going with company XYZ either through a Merger/Acquisition or JV route makes more sense. They have a strong position in the market with 40% market share but they are bleeding money at the same time and are open to a joint business opportunity. By partnering with XYZ, we can gain a significant market share right away and achieve the breakeven in the first year as we have planned.

Market Entry Case 1: E-Commerce

Alright, point taken. So, what should the go-to-market strategy for our client be?

Okay, sure.

1) First, as discussed, our client should go with either an M&A or a JV based strategy. Company XYZ is an ideal partner for this.
2) Figure out what the consumer needs are and if customers are experiencing any problems/gaps with the existing players' capabilities. The client needs to focus on addressing these pain points.
3) We can market using similar strategies as Company XYZ had done 4 years ago. Leverage 15 years of experience in the business while marketing.
4) Innovate in terms of offerings which are different and better than Company XYZ and any other offerings of any other companies. Market that innovation strongly.
5) Perform cost benefit analysis of opening e-stores similar to those of Company PQR and if it makes sense then subsequently open the stores to grow in the later years.

Alright, good. So, what are your final recommendations for our client, based on all the analyses done so far?

1) Based on the cost-benefit analyses, it is clear that our client will break even within the first year. So the client should go ahead with the launch (as financial break-even is one of the top objectives).
2) Further we looked at various mode of entries and conclude that going with a joint business operating model with the company XYZ is the best possible option at hand. There we would need to further look at integration challenges and other gaps that could arise.
3) Finally, talking about the go-to-market strategy, our client should leverage their 15 years of E-commerce business experience and innovate in terms of offerings so as to gain competitive advantage over PQR and other players.

Okay that's good. We can end the case discussion here. Thank you.

Market Entry Case 1: E-Commerce

Annexure 1

Potential Market Size

Philippines has a population of about of 100 Million and an internet penetration of 60%

Market Size of the competitors in the industry

Competition	Market Size (in revenue terms)	Competitor Origin	Operation duration in Philippines	Remarks
PQR	60%	Philippines	8 years	Rise in Profits
XYZ	40%	China	4 years (Total 12)	Decline in Profits

Revenue & Profit margin of the competition in this industry

Competition	Annual revenue ($)	Avg. Profit margin (Last year)
PQR	600 Million	30%
XYZ	400 Million	20%

The overall market (in revenue terms) is expected to **grow by 40% in the next year**. And the client is expecting to capture **20% market share** this year

Price of products across all goods segments has been same for both competitors. For a start, the client can operate with a minimum of **20% profit margin**. Fixed investment cost for the client is **$50 Million.**

Candidate's Calculations

Since the current market size in terms of revenues is $ 1000 Million and it is expected to increase by 40% in the next year.

Therefore, total revenue for the next year => 1000 x 1.4 = $ 1400 Million

Client's expected market share = 20%

Client's expected revenue in the next year = 1400 x 20% = $ 280 Million

Now to calculate the breakeven :

Fixed cost = $ 50 Million

Variable cost (Considering 20% profit margin) = 280 x (100% - 20%)

= $ 224 Million

Total Cost = Fixed cost + Variable Cost

= $ 50 Million + $ 224 Million

= $ 274 Million

Since the **Total Revenue is greater than the Total Cost in the first year**, the client would be able to achieve breakeven in the first year itself.

Market Entry Case 1: Summary

Case Facts

- Client is a 15 year old US-based e-commerce giant, and they are looking to enter the Philippines market with the primary objective to breakeven in the first year & then grow in the subsequent years
- Current market size & competitive landscape in Philippines: Annexure 1
- Barriers to entry: 1) Stiff Competition 2) Excess tax for non-indigenous companies
- Company PQR: Uninterested to go into any partnership
- Company XYZ: Gained market share owing to the lower prices. But, they are bleeding money due to lower margins and are open to joint business options.

Pre-Requisite Knowledge to Solve the Case

- Cost vs Revenue analysis
- Go-to-marketing strategy in the e-commerce segment

Conclusion and Recommendations

- Based on the cost-benefit analyses, since the client will break even within the first year it should go ahead with the launch as a joint business operating model with the company XYZ
- Invest in innovation and marketing of new product offerings
- Analyse cost-benefit relationship for the possibility of opening e-stores to grow in the future years

Approach

Entry Considerations

Industry
- Total Addressable Market
- Barriers to entry

Company
- Revenue vs Cost Analysis
- Experience in the field

Competition
- Number, Size, Market Share

Customer
- Address customer pain points

Entry Processes

Entry Options
- Merger & Acquisition
- JV/Strategic Partnership

Operations

Marketing
- Similar strategy as XYZ
- 15 years experience

Growth
- Product Innovation
- E-commerce expansion

Market Entry Case 2: Luxury Yacht Manufacturer

Prompt: Your Client is an Italy based multi billion-dollar luxury yacht manufacturer. Their business is majorly based in Italy, but they are seeing a decline in profitability over the past 3 years. The client has been planning to enter a new market for a while and now with this profitability problem, they have decided to enter one of the following countries: Netherlands, France, or Taiwan. The client would like you to evaluate which of these countries it should enter. How would you assist them with this exercise?

Just to reiterate the case understanding, our client is an Italy based luxury yacht giant and they are looking to enter a new market – either Netherlands, France or Taiwan owing to a decline in profitability in their domestic market, and we have to advice them on how to go about it?

Yes, that's right. Please proceed.

Alright. I would like to have a few clarifications first.

1) Why are our client seeing a decline in profitability in the Italian market? 2) What is the basis for choosing these 3 specific countries? 3) What are their objectives post entering this new market?

Well as far as the decline in profitability is concerned,

1. The overall economic downturn in Italy has caused the luxury yacht market to shrink from €4B to €2.5B over the last five years.
2. Italy implemented a new tax on luxury boats 2 years ago that has increased the costs for the client.

Each of the 3 proposed countries has a huge market for luxury yachts, similar to that of Italy, and they show good growth prospects.

Coming to objectives, there are no fixed objectives, the client just wants to increase their overall revenue as well as profitability.

Alright, understood. I would like to analyse the three potential markets both from a quantitative as well as qualitative point of view. Quantitively speaking, I would like to analyse the market size as well as potential revenues that our client could generate in these 3 markets, and on the qualitative front I would like to analyse these 3 markets in terms of barriers to entry and the competitive landscape.

Alright, that sounds good. Go on!

Do we have any data on the market size in these 3 countries, the growth potential and what percentage the client is likely to capture?

Yes, we do have some data on this. (Refer Annexure 1)

So upon calculating the revenue over 3 years we see that France has the biggest luxury yacht market (€3B), the client's potential market share is highest in the Netherlands, and the overall revenues are highest in France (€1.73B).

Alright, that's good. So would you recommend that the client enter the France market then?

Not yet, now since we are done with the economical analysis, I would like to analyse the market entry scenario based on the qualitative aspects.

Yes, sure. Go ahead.

Alright, so I would break down the qualitative analysis in 3 aspects for each of the target countries.

1) I would analyse any barriers to entry from regulatory and legal points of view.
2) I would like to look at the competitive landscape and map out the players.
3) I would analyse the labour market in each of the countries, since the auto industry requires both highly skilled as well as cheap semi-skilled labour

Market Entry Case 2: Luxury Yacht Manufacturer

Alright, that's good enough for now. Do you have anything else to add?

Well, our primary analysis tells us that the client should enter the French luxury yacht market for two main reasons: first, the client's potential revenues in France are higher than either of the other two countries.

Next, on the qualitative side, we can also look at geographical factors like - Taiwan is geographically isolated from Italy, increasing operational complexity and adding to costs. Cultural imbalance is a challenge too. So, at this point if I were to make a recommendation, the client should target the French market.

And once if we have established that entering France makes the most sense, then we could look at various modes of entry and how operational efficiency can be established.

That's a very good analysis. Alright, I think we can stop the case here. Well done!

Annexure 1

Market	Luxury Yacht Market Size	3 year CAGR predictions	Potential Market share	Increase in market share/yr. (Absolute)
Netherlands	€2B	5%	15%	5%
France	€3B	10%	10%	7%
Taiwan	€2B	10%	10%	6%

Candidate's Calculations

Market	Market Size * Growth Rate * Potential Market Share	Revenue (3 years)
Netherlands	€2B * 15% + €2B * 1.05 * 20% + €2B X 1.05 * 1.05 * 25%	€1.271B
France	€3B * 10% + €3B * 1.10 * 17% + €3B * 1.10 * 1.10 * 24%	€1.732B
Taiwan	€2B * 10% + €2B * 1.10 * 16% + €2B * 1.10 * 1.10 * 22%	€1.084B

Market Entry Case 2: Summary

Case Facts

- Client is an Italy based luxury yacht giant and they are looking to enter a new market – either Netherlands, France or Taiwan owing to a decline in profitability in their domestic market, and we have to advice them on how to go about it to increase overall revenue & profitability
- Reasons for decline in profitability: 1) Shrinkage of luxury yacht market due to economic decline 2) New tax on luxury boats; thus higher costs
- Reasons for target choices: Each of the them have a similar market size for luxury yachts to that of Italy, & show good growth prospects
- Market Statistics of the 3 countries: Annexure 1

Pre-Requisite Knowledge to Solve the Case

- Revenue calculations from existing statistics and projections
- Qualitative analysis for market entry

Conclusion and Recommendations

- The client should focus on France as the target market because of two primary reasons:
  1) Higher revenue potential from France than the other two countries
  2) Qualitative analysis reveals that the geographical isolation of Taiwan from Italy would mean operational inefficiencies and cultural imbalance

Approach

Entry Considerations

Industry
- Total Addressable Market
- Barriers to entry
- Market growth forecast

Company
- Revenue projections
- Experience in the field

Competition
- Potential Market Share
- Market Share projections

Customer
- Customer market share that can be captured

Market Entry Case 3: Li-Ion Batteries

Prompt: Your Client is an Indian renewable energy company that primarily operates in Solar and Wind Energy. They are the fastest growing private player in this market and to further expand their portfolio they are thinking of entering the Li-ion battery business. Should they enter this business and if yes, how should they go about it?

Just to clarify my understanding of the case, our client is an Indian renewable energy company that primarily operates in Solar and Wind energy. They are the fastest growing private player in this market & they are thinking of entering the Li-ion battery business. So, we need to advise them on whether they should they enter this business or not?

Yes. And also if they do decide to enter, then how should they do about that.

Alright, understood. I would like to begin by asking a few clarifying questions

1) What is the client's current business model?
2) Why are they thinking of entering the Li-ion battery business ?
3) What are their objectives & success criteria post entering this new market?

Our client builds, owns and operates utility scale solar and wind projects that generate energy for commercial and industrial customers. As far as diversifying into the Li-ion business is concerned, our client believes that Li-ion storage solutions are the future with high integration capabilities with EVs. Their objective is to gain considerable market share (at least 20%) in the next 5 years.

Alright, understood. So, to begin with I would to like to understand more about the current Li-ion market in India. There, I would look at the areas where Li-ion batteries are being used, market size, market growth and competitive landscape. Further, after assessing whether this is a good market to enter or not, I would like to explore the various modes of entry and see which would make the most sense in order to achieve the targets set by our client. Does this sound right to you? Or would you like me to explore any more domains?

Alright, that sounds good. We can proceed with this.

As I understand, in India Li-ion batteries are primarily used in EVs and as a storage solution for renewables energy such as wind & solar. Do we have data regarding the current market size of Li-ion batteries in India and its growth rate?

Yes, you're right and we do have some data regarding that. I would like you to calculate the addressable market size of Li-ion for the year 2021 based on the following data. (Refer Annexure 1)

As per my calculation, the addressable market size for the year 2021 is approximately US $ 4.7 Billion & 39 GWH. (Refer to Annexure 2 for candidate's calculation)

The growth prospects looks promising. The renewable energy market is expected to grow by 10% Y-o-Y and the expected growth in the share of EV mix is 75%. Therefore, this look like a promising market to enter and if our client can strategically enter and expand in this market, it could turn out to be a profitable venture in the long run.

Alright, now that we have established the addressable market size and proposed that the client should enter the Li-ion battery market, what would the client strategy be for this exercise?

To analyse different entry strategies, I would like to know more about the current capabilities of our client in the battery space and what part of value chain they are looking to enter?

Market Entry Case 3: Li-Ion Batteries

Our client does not have any know-how related to Li-ion battery business as of now, and Li-ion batteries being a relatively complex business in terms of technology capabilities required, our client is looking to enter the final battery pack assembly stage of the value chain to start with, and not the cell manufacturing or RM formulation business.

Has our client performed any market study to assess the entry strategies in terms of a greenfield venture or strategic alliances/JVs?

Yes, based on the primary analysis done by our client we have two observations:

1. If they decide to enter the market organically, it will take 3 years to develop the expertise and then 1 year after that to set up an assembly plant.
2. If they decide to enter the market through an acquisition or a strategic alliance, they can essentially hit the ground running based upon the partnership.

Okay. According to me, there are 3 ways the client could enter this new business.

Option 1 – Enter organically through developing own expertise and manufacturing plant. This is going to have a long gestation period for the business.

Option 2 - They can acquire a company with the required expertise & capabilities and hit the ground running after the deal finalization.

Option 3 - They could go through with Joint Venture and look for a partner having the technical know-how, with our client providing their expertise in renewables and a strong brand name in the market.

Right. What are the advantages and risks associated with each of these options?

Sure, so we can discuss these three options one by one and see which one makes the most sense.

Option 1 (Organic Growth): The client would have the most control over their operations and better understanding of the on-ground issues. But, because it would take our client 4 years to start selling in the market, it could lead to a substantial market share loss, as we had seen previously that the market is growing rapidly.

Option 2 (Acquisition): The client would get the head start by leveraging the target's capabilities, knowledge and supplier base and would be able to enter the market right away, thus reducing the risk of losing the market share. But initial capital cost might be high, and there are possibilities of a buying the liabilities of the target company. Other risks associated M&A are also significant.

Option 3 (Joint Venture): The client could join hands with an international player with technical expertise on Li-ion batteries and save on the 3 years development time. But, acquiring the technology and recalibrating it to the Indian market would require time and capability building exercises. Moreover, there are possibilities of conflicts in operation, and growth would be slower compared to the acquisition route.

That is a comprehensive analysis. Which option would you recommend?

Looking at the potential and growth prospects of the Li-ion battery business, waiting for another 3-4 years and losing out on the market would not be advisable. Our client should therefore go with the acquisition route in my opinion.

And what should be the go-to-market strategy and what would the roadmap look like for next 10 years if the client decides to go through the acquisition route?

Going with the acquisition route, it could take one year to look for a potential target, finalize the deal, and implement it. The client could then start the production. For the initial 4-5 years, they should leverage their own expertise in the renewable energy sector, being the leaders, and focus primarily on renewable integration to gain market share and a competitive advantage. At the same time, since we have seen massive growth in the 2 & 3 wheeler EV segment in recent times, the client could focus on providing battery solution for that segment.

After gaining enough market share and brand recognition in 5 years or so, the client should expand their portfolio and enter into other applications such as the 4 Wheeler market, telecom, IOT devices an so on.

Finally in the long run, the client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well.

That's a very good analysis. Alright, I think we can stop the case here. Well done!

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Market Entry Case 3: Li-Ion Batteries

Annexure 1 – Key Data Points

Renewables integration market	
Large-scale renewable energy capacity in India as of January 2021 (GW)	150
Annual growth of renewable energy capacity starting January 2022	10%
Percentage of renewable energy capacity linked to 2-hour battery systems	10%
Per kWh rate of battery, capex, in 2021 (USD/kWh)	$120
Annual per kWh price reduction in battery capex	10%
Electric Vehicles market	
Number of automobiles manufactured in India	30 million
Percentage of automobiles that are 2 and 3-wheelers	80%
Percentage of automobiles that are 4-wheelers1	20%
Average battery size of 2 and 3-wheelers (kWh)	10 kWh
Average battery size of 4-wheelers (kWh)	35 kWh
Annual growth in the automobile manufacturing sector in India	3%
Percentage EV sales in 2021	2%
Annual growth of EV share of automobile mix	75%

Annexure 2 – Candidate's Calculations

Renewables integration market	**Unit**	**2021**
Renewable Energy Capacity	(GW)	150
Percentage of renewable energy capacity linked to 2-hour battery systems (10% of 150)	(GW)	15
Renewables' integration battery storage market size (15GW * 2Hr)	**(GWH)**	**30.00**
Per kWh rate of battery, capex, in 2021	(USD/kWh)	$120.00
Renewables' integration battery storage market size (30 GWH*120$/KWH)	**($)**	**$3,60,00,00,000**

Electric Vehicles market	**Unit**	**2021**
Number of automobiles manufactured in India	(million)	30
No. of 2 and 3-wheelers (80% of 30M)	(million)	24.00
No. of 4-wheelers (20% of 30M)	(million)	6.00
Share of EV in the automobile mix		2%
No. of EV 2 and 3 wheelers (2% of 24M)	(million)	0.48
No. of EV 4 wheelers (2% of 6M)	(million)	0.12
Battery storage market 2&3 wheelers (0.48M*10KWH)	(GWH)	4.80
Battery storage market 4 wheelers (0.12*35KWH)	(GWH)	4.20
Electric Vehicles' Battery storage market size	**(GWH)**	**9.00**
Per kWh rate of battery, capex, in 2021	(USD/kWh)	$120.00
Electric Vehicles' Battery storage market size	**($)**	**$1,08,00,00,000**

Total addressable market size	(GWH)	39.00
Total addressable market size	($)	$4,68,00,00,000

Market Entry Case 3: Summary

Case Facts

- Client builds, owns and operates utility scale solar and wind projects that generate energy for commercial and industrial customers.
- Client believes that Li-ion storage solutions are the future with high integration capabilities with EVs. Objective is to gain considerable market share (at least 20%) in the next 5 years.
- Addressable market size for the year 2021 is approximately US $ 4.7 Billion & 39 GWH.
- Renewable energy market is expected to grow by 10% Y-o-Y and the expected growth in the share of EV mix is 75%.

Pre-Requisite Knowledge to Solve the Case

- Various Market Entry Strategies
- Market Sizing Calculations

Conclusion and Recommendations

- Client should enter the market by acquiring a company with the required expertise & capabilities.
- For the initial years, they should leverage their own expertise in the renewable energy sector, and focus primarily on renewable integration to gain market share and a competitive advantage.
- Client should look at the possibility of backward integration and develop expertise in the cell manufacturing stage as well.

Approach

Entry Considerations

Industry
- Market Growth
- Market Status

Company
- Background, Motivation
- Capabilities, USP

Competition
- Market Position
- Competitor Capabilities

Customer
- Related product growth (EV)

Entry Processes

Entry Options
- Organic, JV, Acquisition
- Acquisition best option

Operations
- Gaining expertise
- Integration with business

Marketing

Growth
- Backward Integration
- Widen Applications

Market Entry Case 4: Industrial AC Manufacturer

Prompt: Your client is an industrial air conditioner manufacturer. Currently, the customer sells products throughout the United States. They've asked us to look at whether they should start taking overall plant air-conditioning contracts. Should the client go into this business or not?

Just to clarify my understanding of the case, the client is an industrial air conditioner manufacturer with plants across the country. They want to explore the proposal of taking over air conditioning contracts of mills and plants. I would like to understand the business and the idea a bit more. What does a plant air-conditioning contract mean?

The client currently manufactures and sells industrial heavy duty air conditioners. Their clients are majorly industrial goods plants and mills which uses these air conditioners to create human working conditions in their plants.

Some of these mills and plants need extra manpower and training to maintain air conditioning of their units. The client wants to take over these operations under maintenance contracts which gives them recurring constant revenue and scope for more units of their make to be purchased.

That clarifies the business model and proposal. Since the client is looking to run maintenance operations I would like to understand the operational capabilities of the client which makes them think they can take over such a business.

The client currently has the highest market share (30%) in the industrial air conditioning market. By being the largest producer they have achieved highest economies of scale giving it a cost structure that is the lowest in the industry. This also gives them cheap access to every kind of AC equipment and chemicals.

They have also perfected the technique of remote monitoring air conditioners and have the minimum average plant downtime/breakdown in the industry.

So I can infer that the client will have a clear pricing advantage against the competition. Also a technology of remote monitoring will be crucial in having an upper hand in plant operations.

That is a reasonable assumption.

That clarifies the clients business and capabilities. Do we have some information on the competitive landscape and market growth in this sector?

There are 3 other national firms that manufacture and provide air conditioners. Their market shares are smaller than that of our client. The product is a commodity for these plants so it grows along with GDP which is steadily going upwards.

These factors seem to work for the client. I would like to understand from a customer point of view what they look in 3rd party air conditioning maintenance?

The cost of the operations for the customers is a small % of their total direct production costs. It is just extremely important for the customers to have minimal downtime as a plant shutdown is extremely expensive for them. They have been looking for expert operators to minimize this downtime.

My understanding is that the client can create value by taking over maintenance operations and lowering the operational cost for customers. More importantly their capabilities can minimize the downtime adding more significant value. Therefore, based on the value proposition, the client should enter into this business.

Also the client gets a running revenue stream and more exposure to problems faced in industrial air conditioning for product development.

How should the client enter the market and implement this plan?

The client’s capabilities are unique in the industry and they have a favourable value proposition in their favour. They can sign exclusive third party contracts to take over managing plant air conditioning operations clubbed with making use of their products. They should initially target plans where they can leverage remote monitoring and then gradually expand.

I think we can close the case with that.

Market Entry Case 4: Summary

Case Facts

- Client is a industrial air conditioner manufacturer with plants across the country.
- Plants need extra manpower to maintain air conditioning and our client wants to take over these operations under maintenance contracts
- This gives them recurring constant revenue and scope for more units of their make to be purchased.
- Client currently has the highest market share (30%) in the industrial air conditioning market giving them economies of scale cost structure

Pre-Requisite Knowledge to Solve the Case

- Analysing value proposition
- Annual Maintenance Contract (AMC) concepts

Conclusion and Recommendations

- Client should take over maintenance operations and lowering the operational cost for customers.
- This gives the client a running revenue stream and more exposure to problems faced in industrial air conditioning for product development.
- Sign exclusive third party contracts to take over managing plant air conditioning operations clubbed with making use of their products.

Approach

Entry Considerations

Industry
- Market Competition
- Market Economics

Company
- Background, Motivation
- Capabilities, USP

Competition
- Market Position
- Competitor Capabilities

Customer
- Value Proposition based on reduced downtime

Entry Processes

Entry Options

Operations
- Exclusive Contracts
- Remote Management

Marketing
- Propose to customers based on USP

Growth
- Start based on strengths
- Location strategy based

Market Entry Case 5: High-End Fashion Retail

Prompt: Your client manufactures, import/exports and retails high-end branded apparel in the US. They are considering entering the Indian market, and you have been hired to determine whether they should enter this new market or not.

Just to clarify my understanding, our client is an American retail brand that primarily deals in high end branded apparel right through manufacturing to distributing. They are thinking of entering the Indian market. So, we need to advise them on whether they should they enter this business or not?

Yes. And also if they do decide to go ahead, what should be their strategy in this entry.

Can I begin by gaining some more understanding about the client, its current capabilities in the US market and its target segment?

Our client is currently the third biggest high-end apparel retailer in the US by revenue and they have been in the business for over 50 years. The target segment for the client is individuals in the high income group.

Before I look to estimate a potential target market size for our client in India, can I know why the client wishes to enter the country?

The client has been looking at the fast growing demand for high-end fashion in the country which aligns with positive macroeconomic trends. The client also likes the opportunities in distribution and retail in the country which gives them multiple growth avenues.

Alright, understood. I would break this problem into 3 parts. First, I would check if the entry into the Indian market makes economical sense or not. Next, if it does, I would like to explore the different entry modes looking at our client capabilities and the market dynamics. Finally, I would be looking at the go to market strategy for our client.

That makes sense. Please try to analyse the economic sense in this venture using the given data (Annexure 1).

We can estimate the size of the high end market to be worth about $200m which would grow to 220m where the client expects to capture 20% or $44m of revenue. Do we have any information on expected costs and will this figure make sense against that?

Yes your calculations look good and the client is happy to work with a revenue of $44m in the first year.

Since we see that the market is growing at a rate of 10% and current global players are operating with comfortable margins, it does make economic sense to enter the market. Furthermore, our target group being concentrated allows us to make well directed isolated efforts making entry efforts simpler and focused.

Now if the client is happy with the economic returns in the market broadly we could look at 3 ways of entry. Standalone, Merger/Acquisition or a Joint Venture. Has the client looked into any of these options and analysed the current players in the market?

Yes the client has analysed the competitors and would like to make a standalone entry, the other players are direct competitors for the client globally. If the client does make a standalone entry, what channels should they consider for a potential go-to-market?

The client should enter the market by distributing to department stores coupled with online options, limiting costs of testing the market. Once this has proven successful, they should think about rolling out a series of brick-and-mortar stores, beginning by flagships stores for the brand which will help them position in the new market.

When going for a brick and mortar store network the client could again explore partnership options to develop a network faster.

Market Entry Case 5: High-End Fashion Retail

The launch strategy makes sense. Could you list some major factors and risks for the client in this business.

Some of the major factors and risk that could be considered are: new organizational culture compared to US and Europe, exchange rate risks, logistics times and costs.

What are some future opportunities that the client could look at to grow in the market?

So, since the client has complete control in the value chain right from manufacturing to retailing they should look at moving more parts of the value chain into India and cut down on costs. This would also allow them to provide better prices to consumers by saving on import duties. To start on this the client could also partner with local high-end designers where it would be easier to start a local value chain.

I think that satisfies me we can summarise and close the case here.

Sure, based on the economic analysis and client's expectations on returns we identified that it makes sense to enter the market. The available information indicates that our entry strategy should be through a standalone entity.

The client should start by distributing to departmental stores and online stores to understand market behaviour before launching brick-and-mortar stores in targeted locations. We should also consider risks and opportunities associated with this venture and identify how to minimize them.

Thank you I think that sums it up well.

Annexure 1

Revenue & Profit margin of the competition in this industry

Total Revenue = $1B

Category	Market Share
High End	20%
Traditional	30%
Value Driven	50%

Current Players in the High-End Market

Competition	Market Size (Revenue)	Competitor Origin	Gross Margin	Remarks
ABC	40%	China	45%	Steady Margins
XYZ	25%	India	10%	Dropping Margins
PQR	35%	UK	30%	Steady Margins

The overall market (in revenue terms) is expected to **grow by 10% in the next year**. And the client is expecting to capture **20% market share** in one year due to its access to high end brand retail.

Market Entry Case 5: Summary

Case Facts

- American retail brand that primarily deals in high end brand right through manufacturing to distributing
- Looking into entering the Indian Market
- They are the third biggest high-end apparel retailer in the US by revenue and they have been in the business for over 50 years
- Target segment for the client is individuals in the high income group.
- Client has been looking at the fast growing demand for high-end fashion in the country and likes the growth trends

Pre-Requisite Knowledge to Solve the Case

- Revenue Estimation
- Go-to-market strategy in the fashion segment

Conclusion and Recommendations

- Client should enter the market as the calculated returns match their expectations and should focus on a standalone entry
- Client should start by distributing to departmental stores and online stores to understand market behaviour before launching brick-and-mortar stores in targeted locations
- Perform analysis of risks and opportunities based on client capabilities

Approach

Entry Considerations

Industry
- Total Addressable Market
- Market Economics

Company
- Background, Motivation
- Capabilities

Competition
- Market Share
- Competitor Margins

Customer
- Market Share
- Target Groups

Entry Processes

Entry Options
- Merger & Acquisition
- JV/Strategic Partnership

Operations

Marketing
- Distribution Strategies- Online and Retail

Growth
- Opportunities
- Risks involved

Market Entry Case 6: VPN Service

Prompt: Our client, ClearPass, is a leading US VPN Service that is considering entering the European and Middle East markets. They are currently the dominant player in the US with a subscription based revenue stream. What are the considerations the client needs here?

Just to clarify my understanding, our client is an VPN service based in the US that is a dominant player in that market. They are thinking of entering the European market. They have only one revenue stream: Subscription Fees.

That is correct.

I would like to know what is the motivation for the client to enter the European market?

Examining the market, the client has found that the market is highly fragmented and ripe for entry with the resources available to them. There have been recent discussions on access restrictions and data rights in both the European and Middle East markets which has created an expectation of VPN demand.

That is understandable. The market situation looks right from a competition and market economics angle. I would now like to understand the pricing to estimate the subscription based revenue.

We have some figures in the Annexure and I think using that we could estimate the annual revenue and gross profits we could look at?

Yes definitely.

Revenues each year will be $2.4B from subscriptions (10 million subscribers X $20/month X 12 months)

Fixed costs are $1B and variable costs are $500m (10 million subscribers X $50/year) for a total of $1.5B each year. Profits are $900M and the annual profit margin is ~60% ($900M/$1.5B). Is this pricing competitive?

That seems good. But you are right, ClearPass just found out that a new entrant is charging $10/month and capturing market share. Given that we cannot charge more than that, how many subscribers would we need in order to break even?

To find the answer here, we need to find incremental revenue per subscriber. Now, subscriber brings in $120/year ($10/month X 12 months) at a cost of $50/year for a profit of $70/year. These profits must cover the fixed costs of $1B/year, so we must bring in about 14 million customers ($1B/$70).

The client has come back to us saying that these numbers are achievable and their market brand combined with their new competitive pricing will allow them to achieve even higher customer numbers.

They are now looking for ways if any to reduce operational costs as a way to improve profitability and also how could they market the service at launch?

Well, since the client is in the VPN industry, some fixed costs I could think of would be network expenses, service overheads. This can be reduced by leasing networks and outsourcing service. The client may also choose to select very specific geographies to launch in based on costs and ease of regulations initially.

We could market the service by tie-ups with digital influencers, send targeted emails with personalisation based on geographical markets, and offer with tech products.

That makes sense. I think we can close the case.

Annexure

Expected First Year Subscribers = 10 million
Subscriber Growth = 20%
Pricing = $20/month

Fixed Costs = $1B
Variable Costs = $50/customer every year

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Market Entry Case 6: Summary

Case Facts

- Client is a VPN service based in the US that is a dominant player in that market. They are thinking of entering the European market
- Client has found that the market is highly fragmented and ripe for entry with the resources available to them. Recent market economics have also made the market favourable for entry
- Subscription based revenue stream and fixed and variable cost analysis
- Competitor undercutting price leading to restructuring of pricing model

Pre-Requisite Knowledge to Solve the Case

- Basic information about VPN technology
- Break Even Analysis

Conclusion and Recommendations

- Client may choose to select very specific geographies to launch in based on costs and ease of regulations to minimize
- Some fixed costs to control would be network expenses and service overheads. This can be reduced by leasing networks and outsourcing service
- Market by initial promos with digital influencers and location based targeted emails

Approach

Entry Considerations

Industry
- Market Economics
- Political situation

Company
- Background, Motivation
- Pricing

Competition
- Market Position
- Competitor Pricing

Customer
- Target Markets

Entry Processes

Entry Options

Operations
- Cost Reduction
- Network Leasing

Marketing
- Influencer based promos
- Targeted Emailing

Growth

Pricing Framework

Pricing Models

1 Cost Based Pricing

- Cost of Goods Sold (COGS) - Fixed Costs and Variable Costs
- Expected break-even Point
- Profit Margin over Break-even
- R&D Expense – Does the company plan to recover it or is it a sunk cost?
- **Price = COGS + Profit Margin**

2 Competitive Pricing

- Availability of Substitutes
- Competitor's Price Points
- Company's positioning – Premium or Economy
- Company's vision – Profit Margins vs. Market Share
- **Price = ~ Competitor's Price** (in line with organization goals)

3 Value Based Pricing

- Value proposition of the Product
- How much does the customer spend on a similar utility? Supply and Demand
- How much is the customer willing to pay for such a product? Can a higher value be appropriated through product and marketing investments?
- **Price = Value Appropriate to the Product**

Step by Step Approach

Understand the objective → Develop a framework → Cost Based Pricing (Min. Price) → Value Based Pricing (Max. Price) → Competitors' Price & Impact → Determine the Optimal Price → Recommend a Price Range

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Pricing Case 1: Fertilizers

Prompt: Your Client is a US based chemicals manufacturing company and wants to launch a new fertilizer brand in the Indian market. You are required to suggest an optimal price point for this product. How would you go about it? What are your considerations?

I would like to start with a few questions. I would like to know more about the client. What is the main business of the client? What are its products?

The client manufactures chemicals and fertilizers. They currently operate in the US and now have come up with a new type of fertilizer for the Indian market.

Okay. Is there any particular customer segment in India that they are targeting?

They are targeting Punjab and Haryana based farmers, as this fertilizer is for rice and wheat farming.

Is it different from the fertilizers people generally use in Punjab and Haryana?

Yes. It enhances the growth by 20% and there are no similar products in the market – either locally or globally produced.

Understood. So, there are three ways we can approach the pricing exercise – a cost-based model, a competitor driven pricing model, and a values-based pricing model. We can start with cost-based pricing as it will act as a benchmark.

Sure. Sounds good. Please start with cost-based pricing.

I expect there were R&D costs in development. Do we have any data for the same?

While this is a good point to start with, I would like you to consider R&D and product development costs to be sunk costs for time being.

Alright. I would then like to focus on the value chain of the fertilizer. I would assume it involves the same steps to deliver a packet of fertilizers as any packaged product. Do we know if we are going to be manufacturing in India? And what would be the cost of the product?

Yes we will be manufacturing in India. The cost of 1kg packet of the fertilizer is expected to be Rs. 400. Assume a 20% post break-even profit margin.

Okay. So, at 20% margin over the break-even, the price of the produce would be Rs. 480. Now to check if this price is viable, I would like to do a competitor benchmarking exercise. Do we have any data on the competitors in this market – their products and price points?

Competitors' products sell for an average price between Rs 500/kg to Rs 600/kg. But let's look at the value that the client's product creates.

Okay. How much area of land does the 1 kg packet of fertilizer cover?

1 kg packet of the fertilizer can be used over 1000 sq. ft area of land. Also, do note that for one cycle of crops, the fertilizer needs to be used twice.

Noted. I'd like to quantify the value addition that our product is capable of. Wheat and rice are sown in different seasons. I'll assume the entire period from sowing to harvesting to be 5 months for both rice and wheat. Since our fertilizer enhances growth by 20%, the total cycle time of 10 months will reduce to 8 months. So we have farming land available for an extra 2 months. Suppose, the area of land is 1000 sq. ft. for one cycle of wheat and rice farming, in one year we would need 4 kg of the fertilizer.

4 kg of fertilizer is equivalent to 1000 sq. ft. land for two months. 1 kg would be equivalent to 250 sq. ft. land for 2 months. We could calculate the value created out of 250 sq. ft. of land for two months. Farmers can use this land for farming crops with shorter cycle times. Is there any data on this monetization capability?

That's good. Assume the value to be Rs 100 for 250 sq. ft of land for 2 months.

Okay, thank you for that data. So we can sell the product for a premium. My recommendation for price would be between Rs. 650 to Rs. 700. This takes into account the premium quality of our product and extra value that it is creating.

Okay. That helps. Thank you. We can close the case here.

Pricing Case 1: Summary

Case Facts

- Client is a wants to launch a new fertilizer in the Indian market
- Target: Punjab & Haryana's farmers, as it is for rice & wheat farming
- An unique product globally, as it enhances growth by 20%
- R&D and product development costs are sunk
- Expected: Price: ₹400/kg, Margin: 20% post break-even
- Competitors' products pricing: ₹500/kg to ₹600/kg
- 1 kg packet used on 1000 sq. ft area; 1 crop cycle needs a 2 rounds
- Value of 250 sq. ft of land for 2 months is ₹100

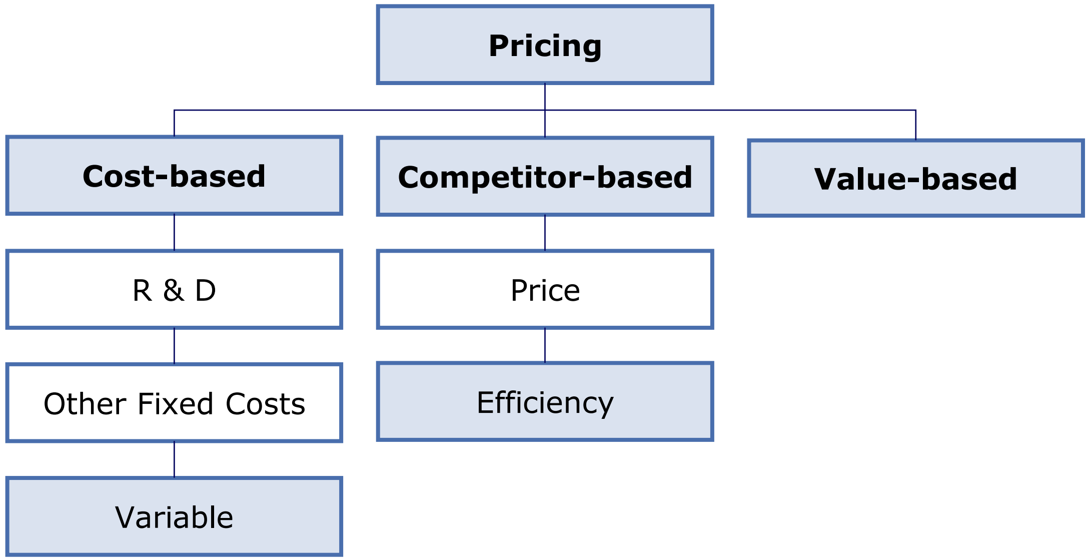
Pre-Requisite Knowledge to Solve the Case

- Value chain of a fertilizer
- Farming seasonality of crops in India
- Value addition calculations for a fertilizer-based product

Conclusion and Recommendations

- 1 kg of fertilizer would give an extra value of 250 sq. ft of land for 2 months to the farmers
- The product may be priced at a premium over the expected Rs 480 (20% margin over the price of ₹400) at around ₹650 to ₹700

Approach



Pricing Case 2: Multipurpose Furnitures

Prompt: Your Client is a major steel manufacturer. The company plans to expand its business and move into the home furnishing space. It wishes to launch a multipurpose furniture – a bed cum sofa and a workstation, all in one. At what price point should the company launch this product?

Sure. I'd like to ask a few preliminary questions to understand the situation and the requirements better. How exactly does the product function? What other utility does it have?

It is a modular system. It is a sofa with workstation capabilities that can be extended to form a single bed. The value proposition is that it is multipurpose and provides space saving. The product is made up of 70% steel and 30% wood.

That's interesting. What geographies is the client targeting?

Our client is based out of India and we are targeting Indian market. Since it is a premium product our target customer belongs to tier 1 cities in India.

Okay. Who are the competitors? Does this kind of multipurpose furniture exist in the market?

The furniture industry is 20% organised retail and while 80% of it is unorganised. We have one major competitor who enjoys a market share of ~60% in organized retail. The others are small players. No one among the major players have introduced this kind of furniture. However, furniture makers in the unorganised sector have made such product based on customer's demand.

Alright. There are three ways we can approach the pricing exercise – cost-based pricing, competitor driven pricing, and values-based pricing. I would first like to start with the cost-based pricing because it will give me a minimum price point. Can I get an idea about the COGS?

The cost of the product is Rs. 10,000 for one set. The company has spent Rs 1,00,00,000 on R&D and Product Development.

Does the company plan to recover the R&D cost through its pricing? If so over how many years?

Yes. The client wants to recover the product development costs. They wish to do so in 2 years or earlier. You can assume break-even as both necessary and sufficient.

Alright, thank you. So there are both fixed and variable costs that have to be recovered. However, since break-even is sufficient over two years, only the fixed costs will have to be recovered over this time period. I'm assuming the contribution margin to be zero. Do you have any data points on how many such sets the client is expected to sell this year and the one that follows?

For the first two year, the client will only be selling in the NCR region. Initial research shows that the client will be able to sell about 150 of these units in the first. Assume a 10% Y-O-Y on the sale volume for the subsequent year.

Okay. That's helpful. I've assumed the Contribution Margin (Selling Price/Unit – Variable Cost/Unit) to be zero. Year 1 Sales = 150 Units. Year 2 Sales (@10% growth) = 165 Units. Total = 315 Units. Cost to be Recovered = 1,00,00,000.

Per Unit Selling Price = Rs. 32,000. Per Unit Variable Cost = Rs. 10,000. Total Sale Price for a 2-year Break-even = Rs. 42,000

So, the client can look at pricing the product between Rs. 40,000 and 45,000. I'd like to do a sanity check at this point. What are the price points at which our competitors sell their products?

Pricing Case 2: Multipurpose Furnitures

Our major competitor sells single metallic bed for Rs. 20,000 and the sofa set for Rs 25,000.

Alright, that helps. We have a multi-purpose convertible product. Basis the competitor's price we can price the product between the price of the more expensive product (the sofa set) and sum of both products. So, we should consider pricing it between Rs. 25,000 and Rs. 45,000.

However, there are two reasons why the price should be on the higher end of the price range. First, it is offering a unique value proposition (saving space) which the competitor is not offering. Further, it is a premium product targeted only towards the tier 1 city customers. This pricing is also in alignment with the price points we arrived at to recover the R&D costs.

Yes, that makes sense. Good. What is your final recommendation? Anything you'd like to call out explicitly?

The client can look at pricing the product between Rs. 40,000 and 45,000. This is in line with both the analyses – recovering R&D costs and value based pricing. However the client needs to run an initial analysis to understand the willingness of the customer to pay this amount for such a product. Off the bat, it seems reasonable, but further analysis will be needed. Accordingly, recovery periods and profit margins may have to be adjusted. The client can also look at other selling opportunities and use cases for this product – such as hotel chains, airport lounges, SPAs and so on. These B2B sales may have higher revenue generating potential for the client.

Great. That's a good analysis. We can stop here. Thank you!

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Pricing Case 2: Summary

Case Facts

- Client wants to launch a bed cum sofa and a workstation, all in one
- Target: Tier 1 cities only since it is a premium product
- Industry: 20% organized retail & 80% unorganized. One major competitor with a market share of ~60% in organized retail.
- Competitor Price: Metallic bed: Rs 20,000 & Sofa set for Rs 25,000
- COGS/set = Rs 10,000, R&D = Rs 1,00,00,000. R&D recovery is necessary and sufficient
- Expected Sales: 150 for the first year, 10% YoY increase in sale volume, the subsequent year

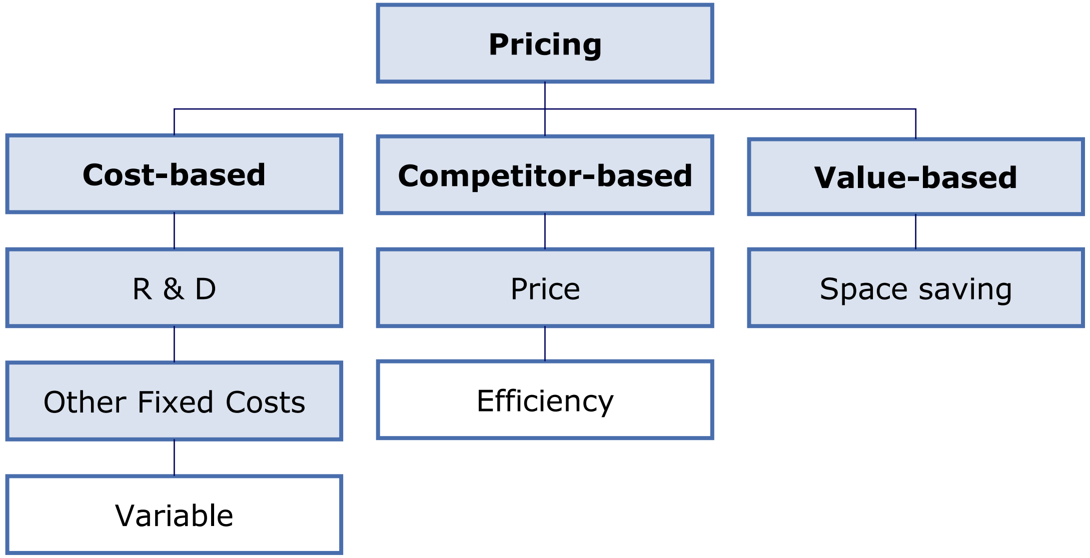
Pre-Requisite Knowledge to Solve the Case

- Break-even analysis using unit economics
- Value proposition analysis for a furniture production

Conclusion and Recommendations

- As per R&D recovery and value-proposition analysis, the pricing of the product can be between Rs 40,000 and Rs 45,000
- The premium pricing can be justified by:
    1. Space saving value proposition
    2. Alignment with the price calculated to recover the R&D costs
- B2B opportunities such as hotel chains, airport lounges, SPAs and so on need to be explored since they may have a high revenue generating potential

Approach



Pricing Case 3: Hotel Business

Prompt: Your client is a multi-hotel chain franchise and is planning to add waterpark facilities in one of the hotels. You have been staffed to help the client identify if this is the right investment opportunity or not.

I would like to start with a few questions. What is the client's objective behind opening a waterpark in their hotel? Which hotel they have chosen? What is the client's current clientele?

After a lot of consideration, the client is able to narrow down to the hotel in Gurgaon. The current clientele consists primarily of business travelers. The client believes that there are a lot of potential benefits of opening up a waterpark like creating family friendly image, year-round business and potential to expand their customer base to families.

Thanks! Next I would like to understand if the client has any competitors and what is our differentiating factor against the competitors.

There are no competitors near our Gurgaon hotel currently and there is no indication for a new competitor to come up in the short run either.

Okay. So to analyze if this is the right investment opportunity, I will first do a break-even analysis and find the pricing of hotel services. If the pricing is in sync with the customer and market expectations, then we can go ahead with this planned investment.

Makes sense.

I will first start with calculating the costs. Cost component can be broken into 2 parts – fixed and variable. Here, fixed costs would be one time equipment and setting up cost, SG&A, insurance and variable costs would be a room's maintenance cost. Do you have any relevant data for the same?

Yes. Let's first analyse the fixed costs. The one time equipment and setting up cost is ₹10 Cr, SG&A cost per year is ₹2 Cr and insurance cost per year is ₹50 lakh.

Thank you. What payback period is the client looking at?

Client is looking to recoup his capital in 4 years.

Okay. Let's move to variable costs then. For this aspect, could you share the information on no. of rooms in the hotel, the average occupancy rate, variable cost per room for a night?

Sure! There are total 150 rooms in a hotel and the average occupancy rate for the year is 40%. The average cost of a room per night is ₹1,000.

Thank you. Based on these numbers, total fixed cost is ₹10 Cr + ₹2 Cr x 4 + ₹50 L x 4 = ₹20 Cr
And Total variable cost for 4 years duration is 150 x 365 x 40% x ₹1,000 x 4 yrs. = ₹8.76 Cr
Therefore, the total cost for 4 years = ₹28.76 Cr
In order to achieve break even, the hotel must charge = ₹28.76 Cr / (150 x 365 x 40% x 4) = ₹3,283 per room per night.

That is correct. Go ahead.

So, based on the cost based pricing model, the revenue which hotel must charge per room per night is ₹3,283 in order to break even in 4 years. By taking a 20% Profit Margin, the price will come out to ₹3,940 per room per night.

Based on my real life experience, I believe this is very cheap for a franchise based hotel chain in Delhi NCR Region which has no competition currently or in the near future. Hence, we should proceed ahead with a premium pricing model by charging a premium of ~52% and pricing a room at ₹5,000 per night.

This is a standard price for hotels in this region and people would be willing to pay this amount.

Apart from this, is there any other way for client to monetize this business?

Pricing Case 3: Hotel Business

Yes. The client can proceed in the following ways:

1) Include a separate ticket/fee for waterpark entry only
2) merchandising and sales of swimming suits and accessories
3) Promotional ventures in collaboration with other brands
4) Food and beverage in the waterpark

Great. Are there any challenges which the client might face while going in this direction of a waterpark?

First of all, the major challenge for the client will be to asses the requirements for setting up a waterpark, if the client possess the required competency or not.
Then, there are a lot of regulatory and health risks involved in such a business model. The hotel will open its doors to potential lawsuits in case of any mishaps in the waterpark.
Also, the hotel’s clientele is currently business focused and there is a possibility that this waterpark might end up alienating these customers.

Perfect. Very well thought out. Let’s end the case here.

Pricing Case 3: Summary

Case Facts

- Client is a multi-hotel chain franchise with business travelers clientele planning to add waterpark facilities in one of the hotels
- No current or potential competitors
- Fixed Costs: One time equipment & setting up cost is ₹10 Cr, Annual SG&A & insurance costs of ₹2cr. & ₹50 lakh respectively to be recovered in 4 years
- Variable Costs: 150 rooms in a hotel and the average occupancy rate for the year is 40%. The average cost of a room per night is ₹1,000

Pre-Requisite Knowledge to Solve the Case

- Variable costs associated with the hotel industry
- Break-even analysis calculations using cost structures
- Potential revenue generating fronts for waterparks
- Challenges associated with establishing waterparks

Conclusion and Recommendations

- As per the breakeven analysis and ensuring a value-based premium pricing: each hotel room could be charged at ₹5,000 for a night
- Additional revenue potentials: Admission fee, swim suit merchandising & sales, food & beverage, promotional ventures with other brands.
- Major challenges: Set-up requirements, regulatory and health risks, alienating existing clientele

Approach

- **Pricing**
  - **Cost-based**
    - R & D
    - Fixed
    - Variable
  - **Competitor-based**
    - Price
    - Efficiency
  - **Value-based**
    - Premium prices for a unique offering

Pricing Case 4: Pharmaceuticals Company

Prompt: Your client is a United States based Pharmaceutical company who has just developed a drug for AIDS. You have been staffed to help the client identify the correct pricing strategy for this drug in Emerging Markets.

Thank you. I'll start with clarifying a few aspects about the client. Is our client the first corporation to have develop such a drug? Is the drug covered under US FDA Copyright laws? Which all geographies does the client cater to? What is the client's objective?

The client is the largest pharmaceutical company of the world with presence in over 200 countries. The AIDs drug is a novel drug and covered under the US FDA Copyright laws as well. The client wants to ensure that the drug is easily available to everyone as soon and easily as possible.

Thank You! As the goal is to develop a pricing strategy for Emerging Markets, I'll first break down Emerging Markets into relevant clusters with similar sociographic trends. Also, since the aim is to ensure quick and maximum reach of drugs, we should go with a cost based pricing approach.

Makes sense. Which countries do you think fall under Emerging Markets?

Emerging Markets can be classified into : Emerging Asia, Latin America, Africa And Middle East. Could you please confirm if we are aligned on the geographies?

First, I would like to understand what all countries you are considering under Emerging Asia.

Sure! So Emerging Asia should have all the Asian countries except Australia, New Zealand, South Korea and Japan. These markets have grown significantly and don't follow trends of the remaining developing countries.

Okay, great! The overall alignment is correct. However, for this example, let's just exclude Middle East from the calculation.

Sure! First, I would like to understand the R&D cost associated to this drug and the time taken to develop the drug.

Consider the total R&D cost as $5B and the client wants to recover 40% of the cost from Emerging Markets. Also, it has been 10 years since the patent was issued.

So, the aim is to recoup the $2B investment from Emerging Markets. And since the drug patent limit is 20 years, the client has only 10 more years before generic drugs flood the market. Do we have any information on the dosage taken by a patient?

This drug is taken by a patient once a year. Assume only adult population.

Let's start with Emerging Asia first. The adult population would be ~ 3B. Since education and access to healthcare is low in these countries, we can consider 0.2% people who have verified AIDS cases. Of this, our targetable audience should be 50% to give us the addressable market size as 3B x 0.2% x 50% = 3M

Correct. Let's move on to the other two. And let's assume 70% attainable market and 300M adult population in Africa and 40% attainable market with 600M adult population in Latin America.

Sure! For Africa, taking adult population of 300M with 9% AIDS patients and 70% attainable market, we get the total market size as 300M x 9% x 70% = 18.9M
For Latin America, taking adult population of 600M with 0.4% AIDS patients and 40% attainable market, we get the total market size as 600 M x 0.4% x 40% = 960K.
This gives us total addressable market across all regions as 3M + 18.9M + 0.96M = 22.8M

The addressable market is correct. Let's move ahead.

Okay! Considering 1 dose given per year to a patient, the break even cost in the 10 years life cycle would be around $8.75 per dose. As the purchasing power in Emerging Markets is low, what is the profit % client is aiming for?

Pricing Case 4: Pharmaceuticals Company

Client would get the majority of profits from the Developed Markets. From Emerging Markets, they are aiming for only 10% profits.

Alright. So based on this assumption, The client should price this drug at $9.6. This pricing is reasonable for the developing countries as well as this is being paid once an year. Also, for the very poor population, the governments would be easily able to include this cost in their welfare schemes.

Great! Can you summarize the case?

The client is looking to launch a novel AIDS drug and required our assistance in pricing it in Emerging Markets. Since the objective for the client is to get maximum profits from the Developed market and ensure maximum reach in Emerging Markets, we decided to choose a cost based pricing model with 10% profits for the client. This results in a final cost of around $9.6 per dose which fits in the economical situation of these countries.

Thank you! We are done here.

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Pricing Case 4: Summary

Case Facts

- Client is a US-based pharma company with a newly developed novel drug for AIDS needing a pricing point for emerging markets
- Client wants to ensure easy availability of the drug as soon and easily as possible. Drug is covered under the US FDA Copyright laws
- Exclude Middle east from emerging market category
- R&D cost: $5B, estimated recovery from Emerging Markets: 40%
- It has been 10 years since the patent was issued
- Dose is taken once annually
- Attainable markets: 40% in Africa, 20% in Latin America
- Aiming only for 10% profits from Emerging Markets

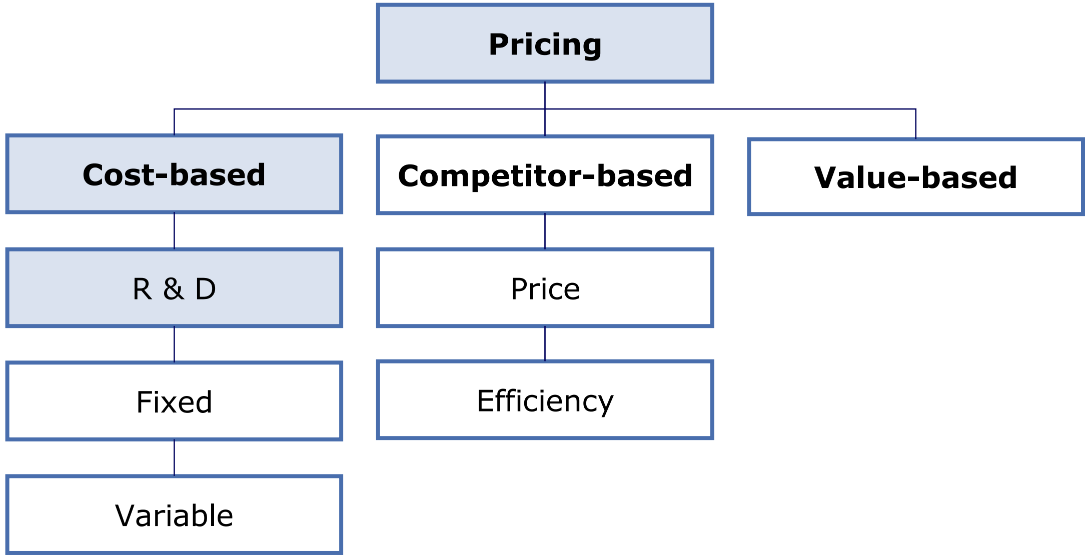
Pre-Requisite Knowledge to Solve the Case

- Clustering of Emerging markets based on socio-geographic trends
- Drug patent limits
- Market sizing of AIDS drug in the emerging market clusters

Conclusion and Recommendations

- As per the cost-based pricing model, taking in the client requirements into consideration, the drug should be priced at $5.10 per dose

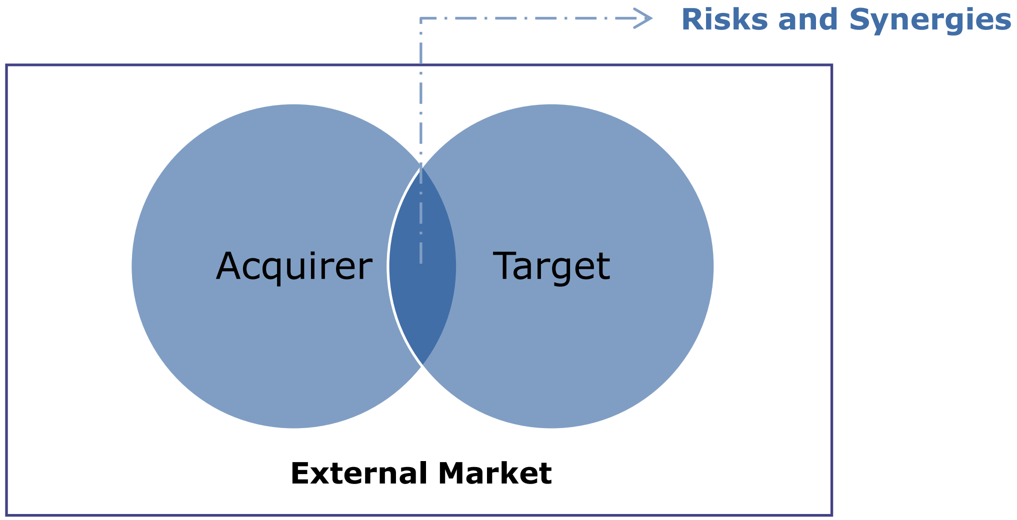
Approach



Merger & Acquisition Framework

Framework Overview and Structure

The M&A Framework is a structured approach towards solving interview cases pertaining to M&A transactions – opportunity analyses, due diligence, and implementation. Typically the M&A framework is applied when the case requires a MECE analysis of all stakeholders and processes in an M&A (or equivalent) transaction, and a recommendation on a final go/no-go strategy.



The M&A Stakeholder View and Interaction

Each component in the above representation needs to be analysed exhaustively before arriving at a recommendation and defining an implementation strategy.

Step 1 : M&A Process Flow and Stakeholder MECE Analysis

Internal Need Analysis → Target Screening → Due Diligence → Deal Execution → Impl. And Post Deal

Component	Questions and Considerations
Acquirer	Deal Rationale, Deal Financing, Deal Structure
Target(s)	Financial Position & Growth, Capabilities, Management Potential, and Culture
Synergies and Risks	Individual and Combined Value, Revenue/Cost/Other Synergies, Risks, and Regulatory Limitations
External Market & Environment	Business Overlap in the Market, Market Size, Growth, Profitability, and Competition

Step 2 : Execution and Beyond – Functional Overview

Due Diligence	Execution	Exit Strategy
▪ Strategic	▪ Nature of M&A	▪ Holding Period
▪ Operational and Technical	▪ Supporting Financial Activity	▪ Exit Criteria
▪ Legal and Regulatory	▪ E2E Integration Plan & Execution	▪ Exit Options
		▪ Impact Analysis

Merger & Acquisition Framework

Key Questions and Considerations at Step 1

Acquirer

- What is the acquisition rationale? Undervaluation, Control, Synergies or a combination?
- Can the buyer finance the acquisition independently? Or will it need to borrow money?
- Does the buyer have experience in integrating companies? Was it successful in the past? Or will it be the first M&A transaction?
- Is this the right time for the buyer to acquire another player? What are the internal risks and how severe are they?

Target(s)

- What is the current and future financial position of the target (e.g.: revenues, profits, etc.)? Is it under/over valued?
- Does the target own any assets (e.g.: technology, brands, etc.) or capabilities (e.g.: manufacturing know-how) that are strategically important to the buyer (client)?
- What's the quality of the current management? Does the buyer (client) believe that we can add value by getting control and running the company better?

Synergies & Risks

- What is the value of the individual and combined entities?
- Are there revenue synergies such as product cross-selling capabilities, using the target's distribution channels, shared customer bases?
- Are there cost synergies such as operational integrability, sourcing commonality, duplication of roles, stronger buying power?
- What are the biggest risks that could severely fail the acquisition (e.g.: culture fit, regulation, etc.)?

Market

- Are both companies (buyer/target) in the same markets (e.g.: geographies, products, customers, etc.)?
- How big is the market? Is it profitable? How fast is it growing?
- How intense is the competition? How will competition react?
- Are regulations a limitation?
- How will customers perceive the deal?

Merger & Acquisition Case 1: Airline Acquisition

Prompt: Your Client is a major airline operator and has been doing well financially in the recent past. The management is looking at potential M&A activities to grow the company's business. You've been on-boarded as a consultant and they client wants you to advice them on their M&A plans.

Sure. So, the client is looking to grow their business and wants to see if M&A is the right way of going about it. When client says that they want to grow, I am assuming that focus is on augmenting revenues. Is that right?

Yes, the focus is on revenue growth.

Thank you. Now, I would like to break the analysis into two sections – a) I'd like understand if M&A is the right strategy for growth, and b) If so, what are the potential targets we can look at.

Yes, that's a good structure. Please proceed.

Okay, sure. First I'd like to understand a little about the client. What does the business look like? What are the services provided, and where does the client operate in?

The client offers passenger – economy & executive – and cargo services and operates on multiple international routes. US, Europe, and Asia-pacific are the primary focus areas for the client. In Asia, the client primarily offers connectivity to tourist destinations from the US and Europe.

Okay. Since our focus is on improving top line for the client, I would like to breakdown the revenues and the competitive landscape by these parameters. Do we know the channel split for revenues by service (passenger/cargo) and geography? Besides, from a competitive perspective what are the clients' market shares by the same parameters?

You can ignore the service variants for now. Let's focus on geography of operations. 60% of our revenues flow in from US operations, 30% from European operations, and only 10% from operations in Asia-pacific. You can assume a similar distribution for the market share in the three geographies.

That's helpful. Going by this, I suggest the focus for the client should be on growing the market share and correspondingly revenues in the Asia-pacific region. An acquisition certainly would help achieve these targets quickly. Do we have any data about potential targets that can be acquired and their capabilities.

That sounds logical. Yes, the client is looking at 3 potential companies to acquire.

Target 1 is an established airline operator in Asia, and provides luxurious passenger services and operations across major Asian destinations and own 30% of the market share in Asia.

Target 2 is an emerging airline operating out of Australia and provides connectivity between Eurasia and Australia. They have a strong cultural fit with the client and would be the easiest to acquire.

Target 3 is a disruptive airline operating in Asia, and has grown rapidly and captured 20% of the Asian market over the past 3 years. This airline does not offer any luxury travel and operates between select destinations.

You can assume all of them are profitable operators and have strong finances.

Based on the client's requirements, Targets 1 and 3 look to be good options. Target 2 may however provide greater operational flexibility and ease of integration.

I would like to explore synergies and risks associated with acquiring each of these companies, and then make a suggestion.

Let's start with revenue and cost synergies. I would like to know by how much the client's revenue and cost margins would change by acquiring each of these targets. Do we see significantly different operational synergies with each of these targets?

Merger & Acquisition Case 1: Airline Acquisition

For the sake of simplicity, assume revenue contributions would only be marginally different in each of the cases. From an operating perspective our assets and capabilities align most with Target 1. Target 3 has a much leaner operating model, and Target 2 fits in between.

Alright. Looks like Target 1 might be an ideal acquisition at this stage. Finally, I would like to look at the Asian air travel market to understand how it's shaping up and what forms of travel are taking precedence. Insights on customer behaviour and preferences would help make a final recommendation.

Excellent point. Recent trends have revealed that air travel has been on the rise in Asia, as more people enter higher income groups. Trends also suggest that passenger traffic is the highest between a select few destinations in Asia – India and China particularly. Efficient low cost air travel is expected to grow at 13% CAGR.

Noted. This significantly changes the dynamics of our proposal. The client is already a major airline operator in the US and Europe with flights connecting major tourist destinations in Asia to both these continents. While Target 1 seems to be a good acquisition based on overlap of operating models and cost synergies, it would appear that acquiring Target 3 would provide the client with flexible operating options, help cater to a large and rapidly growing market. Target 3's operations also complement the client's routes and help develop a more exhaustive network of operations, without any redundancies. The lean operating model would offer several advantages that the client may carry back to their operations in US and Europe. With marginally different revenue contributions, the focus shifts to the cost of acquisition. Acquiring a new airline operator with a lean operations would seemingly cost less than acquiring an established airline with massive assets. The client can also maintain a lean workforce that overlooks operations of the acquired company, providing the client with greater managerial control. With this segment of travel up and coming, the client can also expect to grow the business rapidly with investments out of US and Europe.

That's very good. So, what is your final recommendation?

Based on the client's current revenue and market share structure across geographies, Asia should be focus area for the client.

Among the proposed targets, Target 3 offers the greatest growth potential, complementing the client's current operations. While Target 1 seemed to be a good option, Target 3 offers several advantages and brings in new operational capabilities. Based on this, the client should consider acquiring Target 3.

Excellent. That will be all. Thank you.

Merger & Acquisition Case 1: Summary

Case Facts

- Client is an airline operator that offers both passenger and cargo services in the US (60%), Europe (30%) and Asia-pacific (10%) market
- Revenue growth is the primary focus. Potential Targets in Asia:
    1. Established Airline operator
    2. Emerging Airline Operator
    3. Disruptive Airline
- Similar revenue synergies and operational synergies are better with Target 1 but Target 3 has a leaner operating model
- Increase in low cost air travel will lead to passenger traffic in India and China

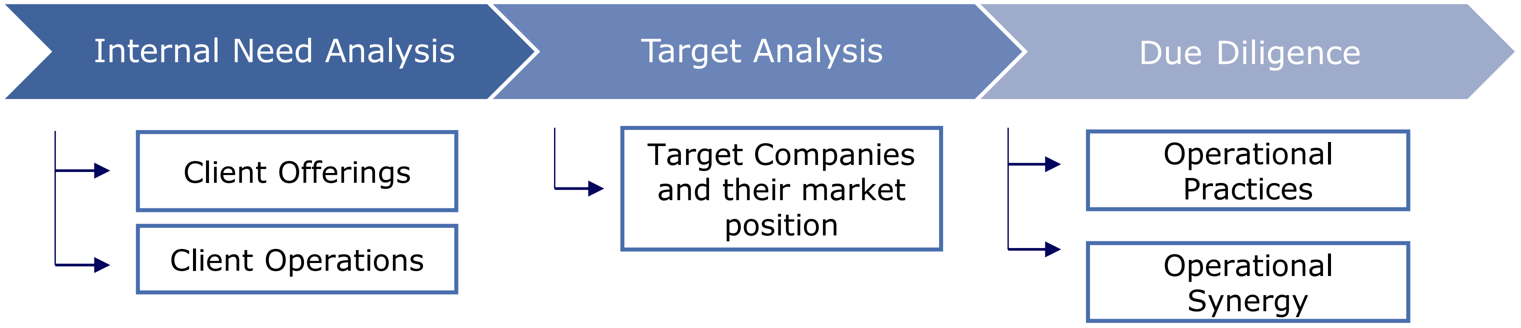
Pre-Requisite Knowledge to Solve the Case

- Revenue Estimation
- Go-to-market strategy in the fashion segment

Conclusion and Recommendations

- Focus on the Cost of acquisition.
- The client should primarily focus on the Asia market
- Target 3 would give the best possible scenario for the acquisition

Approach



Merger & Acquisition Case 2: Brand Integration

Prompt: Your Client, say X, is a high-end manufacturer of leather-based luxury goods. They are unable to keep up the with demand for alligator-skin products – handbags, belts, and wallets. Besides the shortage, the price of alligator-skin has gone up by 70% in the past nine months, squeezing otherwise fat margins. The client is considering buying company A, one that sources, tans, and processes alligator leather. What are your considerations while deciding on a go/no-go strategy?

First I would like to establish a deal rationale and validate it before proceeding further. Acquiring company A would guarantee an uninterrupted supply of alligator-skin based leather, it would help restore margins by cutting costs and establishing operational synergies, and finally it would enable the client to pre-empt competition and diversify holdings. Anything that I am missing here?

No. That's excellent. Please proceed.

Sure. I'd like to break down the analysis into the following buckets – the client (company X), the target (company A), the luxury leather industry, acquisition costs and risks, and finally an exit strategy. As we are clear about the client and the current situation, I would like to start with the target – company A. I would like to understand the target's revenues and profits over the past 3 years, who its suppliers and customers are, and what are it's operating margins and capabilities.

Alright. Company A has seen a 15% growth in its revenues each year over the past 3 years. Margins have also seen a steady growth with the current number sitting at nearly 40%. The company primarily sells to the client's competitors. The target also has strong supplier relationships, and enjoys a good position in the market.

That's great. The target company seems to be in an excellent position both financially and operationally. Besides developing a steady flow of raw materials, the client will also enjoy ancillary revenues by selling alligator-skin. A significant competitive advantage can be developed by cutting off supplies to competitors based on a cost benefit analysis. Besides, I am also assuming sale of by-products would help augment revenues for the client.

Yes, that's good. What next?

In this particular case, I feel external factors – operating conditions, animal treatment, ethical considerations, and regulations would be critical. It is important that the client thoroughly analyses these considerations and map out any risks associated with it that might hamstring the acquisition.

Very valid points. The target company has well established operating practices that adhere to all regulations and guidelines. So, these considerations, while extremely valid are not potential risks. What else would you look at?

I would like to understand how the market for animal skin based luxury products is evolving. With a focus on sustainability and emergence of better materials, the market might not have great potential in the long run. So, it would be important to establish that the client actually sees growth potential in the market and can capitalize on it. Do we know the current size of the market, the profit margins, and expected rate of growth/contraction? I would also like to understand the expected competitive response a little and how best we can tackle it.

Okay. The global leather goods market is valued at US $430 Billion. This is expected to grow at a CAGR of 4%. Fashion contributes to nearly 60% of all products. Some new applications in design and decoration have come up, and these are expected to add to the growth.

Okay. That's a good sign. So, even from the market perspective, there's enough potential for the client to pursue this opportunity. I would finally like to look at the financial viability of the acquisition. The cost of the acquisition, the financial alternatives, the client's capability to fund it, and the nature of the transaction.

Good. That's an exhaustive analysis. Let's stop here. Well done.

Merger & Acquisition Case 2: Summary

Case Facts

- Client is a manufacturer of high end luxury leather goods who are unable to keep up with the demand of alligator skin products
- Client wants to buy a company that sources, tans, and processes alligator leather and supplies to its competitors
- Target has a annual CAGR of 15% in its revenue over the past 3 years. Margin at 40%
- Global leather market is valued at $ 430 billion and is expected to grow at a CAGR of 4%

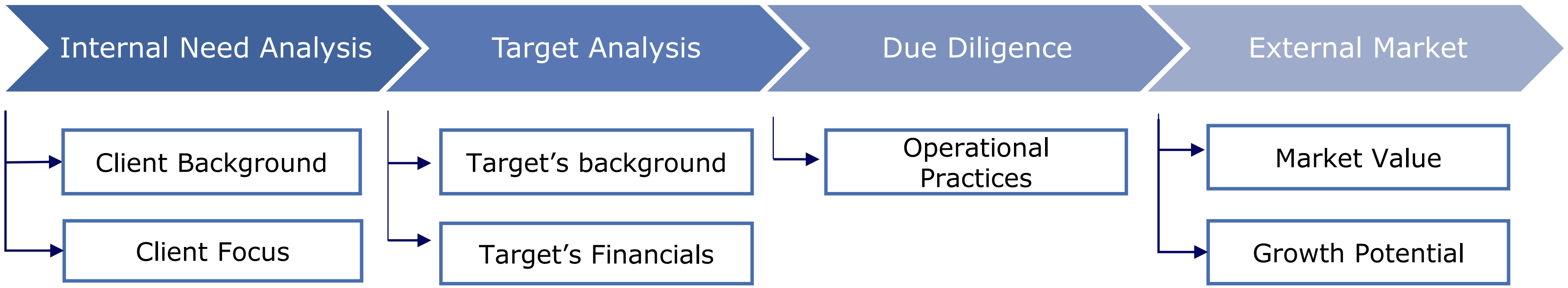
Pre-Requisite Knowledge to Solve the Case

- Revenue Estimation
- Go-to-market strategy in the fashion segment

Conclusion and Recommendations

- Acquisition can help gain competitive advantage
- The financial viability of the acquisition needs to be looked carefully including client's funding ability and the alternatives

Approach



Merger & Acquisition Case 3: Buy-side DD

Prompt: Your Client is a large PE firm, based out of India. It focuses on firms in the home utility and consumer durables' space. The client has identified a company (referred to as the Target) in the second-hand furniture space (C2B and B2B), that it wants to invest in. They want us to conduct a due diligence study of the furniture re-commerce market and the target capabilities. How would you approach this engagement? What would your considerations be?

Sure. So, to clarify the objective, the idea is to develop a structure for the due diligence activity – covering both the furniture re-commerce space and the Target. Is that right? Are we also expected to come up with recommendations on the investment strategy?

Yes, that's right. No, recommendations are not needed. I only need you to structure the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – The Furniture Re-commerce Market, The Target, Client (PE) Capabilities and Synergies.

Let's shelve the client analysis for now. Focus on the market and target analysis.

Okay. I'd like to start with the market. There are 2 aspects that I want to look at as a part of the market analysis. a) I want to do a sizing activity to gauge the second hand furniture market size in India; b) Next, I'd like to look at the growth drivers of this market to understand how the market will grow over the next 4-5 years (typical investment period for a PE firm)

Okay. That's a good start. Go ahead. I have some data points to help you get started. All datapoints are for FY 21. You can assume a 10% CAGR on the top-line.

Total Furniture Userbase in India ~ 450 M

Total Annual Furniture Shipments ~ 250 M

Average Furniture Replacement Cycle ~ 3 Years

% of Furniture Exchanged Commercially ~ 30 (Buy Back/Exchange/Re-sale)

% of Second-hand Furniture Exchanged in P2P Mode ~ 90

Okay, thank you. Let me take a minute to understand the data.

Sure, take some time and let me know how you would go about it.

Since we are looking at how many second hand furniture pieces are exchanged (bought/sold), I'd like to look at the number of furniture pieces shipped on an annual basis. From this total number, I would look at the number of new and second hand furniture pieces that are shipped. Finally, I would like to look at the number of second hand furniture pieces exchanged through organized C2B platforms (such as the Target and its competitors).

Total Furniture Userbase = 450 M

Average Furniture Replacement Cycle = 3 Years

Number of New Furniture Sold/Shipped Annually = 450/3 = 150M

Number of Second-hand Furniture Transactions = 250 – 150 = 100M

Number of Second-hand Furniture Shipped Commercially = 0.3*100 = 30M

Number of P2P Second-hand Furniture Shipments = 0.9*30 = 27M

Organized Exchange of Second-hand Furniture = 30 – 27 = 3M (FY '21)

So the current market size for organized second hand furniture market is about 3M units annually. Do you want me to project these numbers for a 5 year period assuming 10% CAGR on the top line?

Good! The market size estimation is indeed accurate. Well done. No, we can leave the projections be for now. Let's move ahead. What do you think would be the growth drivers for this market? Would you expect the market to grow or shrink?

Major macroeconomic factors indicate that real estate and home furnishing businesses in India will continue to be on the rise over the years to come. Growing GDP, higher per capita income, the growing demand for smart homes, IoT enabled furnishings, and rural adoption of basic furniture point towards a strong growth potential. New business models such as organized P2P renting, refurbishing, and customization will drive business in the Target's niche. As customers also realize the monetary potential of used furniture, the market is likely to boom and prospects look good over the next 5 years.

Merger & Acquisition Case 3: Buy-Side DD

Alright. That's a fair justification. Let's move on to the analysis of the Target. What are your considerations?

In looking at the Target, I would first want to understand the core business proposition – what is it that the business does? Does it operate in a niche market or is it a general proposition? If need be I would also look at riper international markets to understand how they have evolved, how the players have consolidated themselves and get a sense of where the Indian market may be headed.

That sounds good. So, the target primarily has capabilities in furniture repair and refurbishment and they sell primarily to businesses (OMs and Retailers). They source used furniture sets from users, undertake refurbishment activities and further sell these units. In terms of volume, the Target is the 3rd largest player in the market and handles about 23% of all second hand furniture exchanged.

I want to start with a competitive benchmarking exercise, to understand and map competitor and Target capabilities and USPs. This would help identify approximately what portion of the growth pie the Target can internalize. Creating this market map would also help identify market niches and extend the Target's business portfolio.

A thorough competitive benchmarking is indeed the next logical step that we'd adopt. Good! Let's move on. You spoke about wanting to look at international markets. Why would you do that? And if you had to pick one market that's closely related to the Indian marketplace, which would it be? And why?

The Indian market for consumer durable re-commerce is still nascent and studying a mature international market would help us understand how a transformation might occur and serve as a base for identifying the common challenges. From a PE perspective as well, it would help the client understand what they can expect over their investment period and how they can plan for suitable exit options.

In terms of market relevance, I would say China is closely related to the Indian market. The market size, structure, buying patterns, and consumer mindsets of the two countries are largely similar. Further, India's start-up revolution has been largely inspired by the Chinese market and that is good reason to believe that any transformation in India is likely to be inspired by the Chinese market

Makes sense. Good. To bring this to a logical closure, can you list down the top 4 exit options that you think would be plausible for the client.

Sure. The most likely exit options for the client involve the buy-out of the client's stake by larger entities.

a) Client stake buy-out by a larger global PE firm
b) Client stake buy-out through the Target's acquisition by an Indian ecommerce giant or a large furniture manufacturer/assembler
c) Client stake buy-out through the Target's acquisition by a larger global firm in the furniture re-commerce space
d) Client stake buy-out through an IPO for the Target

Additionally, it's also possible that strategic partnerships are formed with niche industries such as IoT, Home Automation, Insurance and Technology Services. The exit in these situations would have to be looked at on a case by case basis.

Alright. That's a very good analysis. We can stop at this point. Well done. Thank you.

Merger & Acquisition Case 3: Summary

Case Facts

- Client is a large PE firm that deals in home utilities and wants a due diligence study to invest in a second hand furniture space
- Total Furniture Userbase in India ~ 450M, Total Annual Furniture Shipments ~ 250M, Average Furniture Replacement Cycle ~ 3 Years 30% of Furniture Exchanged Commercially, 90% of Second-hand Furniture Exchanged in P2P Mode
- Target: 3rd largest player in the market, handles ~ 23% of all second hand furniture exchanged

Pre-Requisite Knowledge to Solve the Case

- Market Estimation
- Understanding growth drivers in industry

Conclusion and Recommendations

- Competitive benchmarking to better understand the competition in the market
- The niche industries need to be studied one by one to understand the possible exit scenarios

Approach

- Furniture Market
  - Second-hand Market Size
  - Growth Drivers
- Target
  - Business Model
  - Market Presence
- Synergies
  - International Market Comparison
- Exit Strategies
  - Larger PE firm
  - Target's Acquisition
  - IPO
  - Niche Industries

Merger & Acquisition Case 4: Sell-Side DD

Prompt: Your Client is a large IT firm, based out of India. It is a global leader in the IT Services industry. The client has identified a particular arm of the business in a specific geographic location they want to sell. They want us to conduct a due diligence study. How would you approach this and what would your considerations be?

I would like to start by clarifying the objective- the client is a market leader in the IT services industry with a global presence. They are currently looking at selling off a strategic business unit in a specific geographical location and would want our end of the due diligence.

Yes, that's right. No, recommendations are not needed. I only need you to tell me about the due diligence activity.

Sure, understood. I'd like to breakdown the analysis into 3 sections – Internal Analysis, Sell Options, Deal Execution and Implementation.

Let's start by understanding the client.

Sure. I'd like to start with the internal analysis. I would like to understand what is the issue that is causing the client to sell of a business unit – is it based on external or internal factors?

So the client is looking to sell of their South American business unit. While the unit had been extremely profitable, recent government regulations have made outsourcing of contracts extremely difficult leading to new business deals drying up. Local employment policies have also prevented the company from having foreign staff working dominating on shore offices.

So I understand the major concerns are operational concerns in staffing and the lack of new business due to new regulations. Can I understand the client's assets and capabilities in the region?

The client owns multiple offices in countries like Brazil, Chile, Argentina. The client employs about 20,000 employees and owns equipment to provide infrastructure in serving various IT related business deals which can be utilised very easily in any kind of takeover.

Now that I have a clear idea of the client's reasoning behind selling and its capabilities I would like to understand the sell options the client has.

The client has multiple firms bidding on various percentages of majority stake ownership and the client needs to decide the best of option to sell.

Considering that the units have been profitable before the new regulations, the client should look at the market economics and growth potential to understand what percentage of minority ownership they would like to retain.

Outside ownership stake the client needs to consider the capabilities and assets it owned and what would provide best deal value.

We should further look to analyse the technology structure of our bidders to understand where we could have the easiest handover and reduce transfer cost.

After deciding on selling a majority stake while still holding 49% of the unit what would be the next step towards completing the sell off?

We would next come to our deal execution and implementation considerations.

We need to bucket our business critical applications(ERP, CRM, Client Databases) and non critical applications(internal accounting systems) separately to decide what needs to kept and what will be transferred.

We then need to consider the needs of the acquirer and what they require in maximizing their business benefit. Finally the staffing and organisation restructuring needs to be implemented. Emphasis needs to be on ensuring transparency for all stakeholders.

Thank you I think we can close our discussion.

Merger & Acquisition Case 4: Summary

Case Facts

- Client is a market leader in the IT services industry with a global presence
- Recent government regulations have made winning deals and staffing offices extremely difficult
- Multiple bids offered with varying stake sell options. Client chooses to retain 49% in the deal

Pre-Requisite Knowledge to Solve the Case

- Competitive Benchmarking

Conclusion and Recommendations

- Streamline integration and handover to optimize continuation of current commitments
- Ensure maximum transparency for shareholders and consider requirements of acquirer

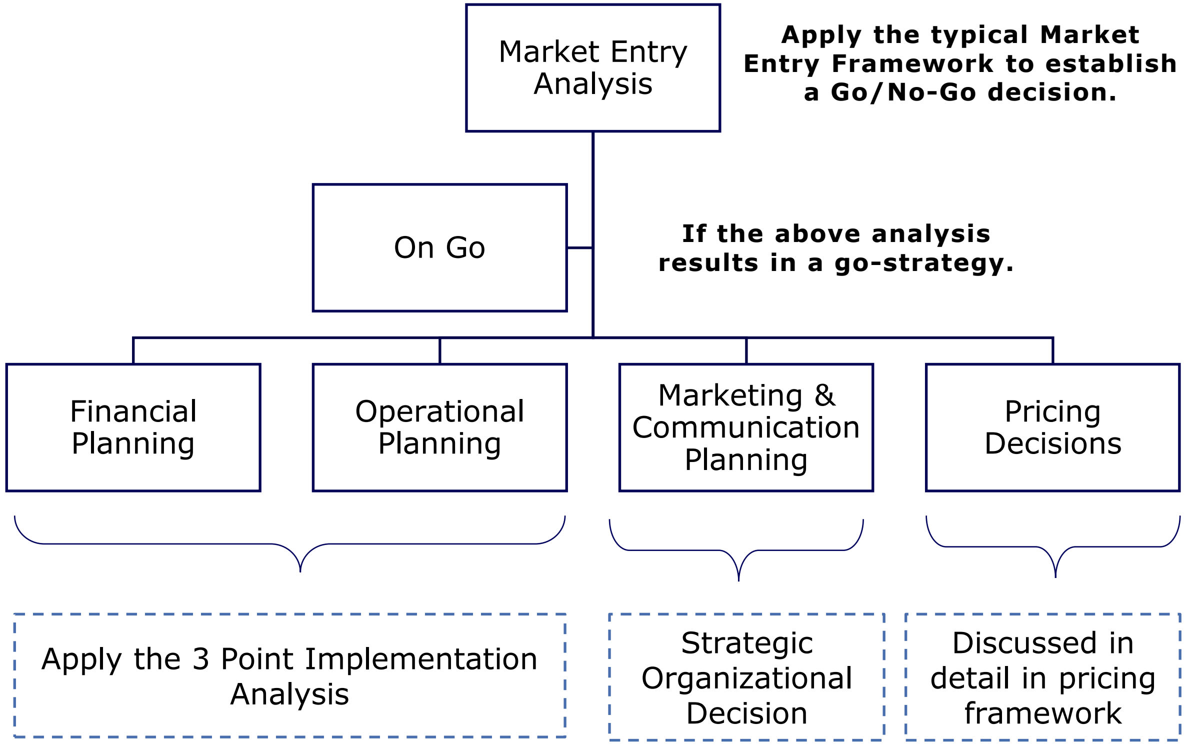
Approach

- Internal Capabilities
  - Operational Concerns
  - Assets and Liabilities
- Sell Options
  - Market Economics
  - Deal Value
- Deal Execution
  - Asset Division
  - Human Capital Restructuring

New Product Launch Framework

Framework Overview and Structure

The new product launch framework is a structured approach towards developing an analysis and implementation plan for **introducing existing product lines in new markets**. It is a hybrid structure that brings together the market entry framework, the pricing framework, and conceptual business considerations.

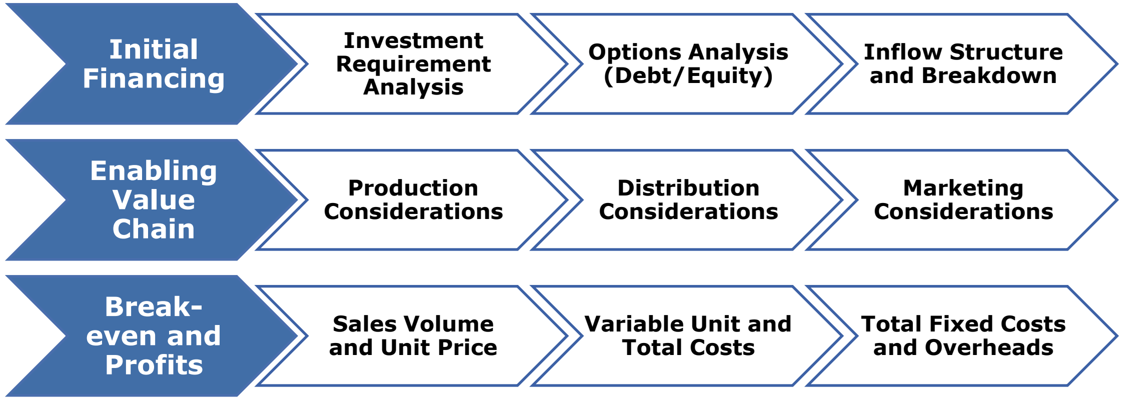


Aggregated Flow for New Product Launch

Key Considerations and Analyses (Go Strategy)

Considerations	Analysis
Segmentation	Demographic, Geographic, and Psychographic
Product/Service	Features, Packaging, SKUs, Differentiation
Operations Strategy	Inbound – Production/Ship/Import; Inventory Management; Outbound – Channels, Margins
Pricing and Communication Decisions	Price Selection – (In)Elasticity and Positioning, Communication – Marketing Strategies, Advertising, Promotion, Sales, and Service Initiatives

3 Point Implementation Analysis



New Product Launch Case 1: Nicotine Gums

Prompt: Your Client is a manufacturer of Nicotine Gums. They have been successful in the US market and are now considering entering the Indian market. They want you to suggest if and how they can enter the market and also determine an appropriate price point of the product. How would you go about it?

Sure! I would like to breakdown the analysis into two sections. First, I'd want to understand if entering the Indian market is a feasible option, and if so how. Second, I'd like to look at how the product can be launched, and then address the financial, operational, marketing, and pricing considerations in that order.

That's a sound approach. Please proceed.

I'd like to understand a little about the company and the product itself. What differentiates the product? Are there any characteristic features for these gums? Does the client manufacture the product inhouse?

Yes, the company owns the patented formula for the gum, and has a fully integrated manufacturing setup. The product has the lowest nicotine content among competitors and clinical trials have proven that it is able to hold off cravings for longer than other products. The client has strong financials as well and can invest as needed.

Okay. So, we have a highly differentiated product and strong financial and operational capabilities. That's a very good sign. I would now like to look at the Indian market and estimate the potential user base for such a product. Can I proceed with a numerical analysis for this? I'd also like to understand our profit margins to decide on a price point.

The product has high profit margins in the US. It is a premium gum, and earns nearly double what it costs. The focus for the client is on entering the Indian market and capturing the right user base. Profitability is of primary importance to the client. For the analysis, start with 120 Million smokers in India.

Noted. Since the product is a premium one, we should try and target the mid to higher end of the smokers' pyramid. That would allow us greater price flexibility.

Do you think smokers of hand rolled cigars and premium cigarette brands would be willing to switch to Nicotine Gums? Assume that the 120 Million people are equally distributed among 3 income classes. Can you arrive at the number of potential customers for this product?

Right. The product should indeed be targeted at the lower and mid sections of the smokers' pyramid, where smoking is an addiction, and people might be willing to quit. With the upper sections, it could be a pleasure and status symbol. They may never consider switching to Nicotine Gums.

Assuming 40 Million smokers each in the mid and low income segments, at 20% quit potential, and 80% & 30% affordability respectively, we have a TAM of 9 Million people. With high product performance and efficacy, we should expect to achieve 60% penetration in one year. That will give us ~5.5 Million users. A 10% CAGR can be expected in the near future, and that gives us a sizable market.

Okay. That's a fair analysis. Convinced by the size and potential, the client has decided to enter the Indian market. You are required to suggest an operational strategy and also help the client identify the right price point for the product.

I would like to look at the price points first. Assuming that the median cost of a cigarette is ₹10, and on average people smoke 4 cigarettes a day, monthly spending comes out to ₹1,200. Given the higher efficacy of the product, an average smoker would chew 2.5 gums per day. Monthly consumption would be 75 gums. Assuming that gums are sold in packs of 25 each, each pack can be priced at ₹350. (1200/(75/25) + 50*). *Premium for the health benefits over cigarettes.

New Product Launch Case 1: Nicotine Gums

That's a good analysis. Can you quickly go over the client's strategies from an operational and marketing perspective?

Sure. The client can either consider setting up a manufacturing unit in India, or choose to import the products from it's manufacturing plants in the US. Since the product has the potential to grow rapidly and entails repeat purchases, it may be more efficient to setup an integrated manufacturing unit in India.

Okay. That's reasonable. What would your recommendations be for promoting and selling the product?

The two most prominent challenges for the client are –

a) Creating an effective and consistent communication strategy that clearly articulates the product capabilities and develops a compelling narrative for usage

b) Developing a robust salesforce and employing an omnichannel distribution strategy to ensure that the product is available at every location where it may be potentially demanded.

With restrictions on direct advertising, subtle product placement and promotion will be critical. The client has to focus on developing distribution channels that cater both to the organized and unorganized retailer segments. Joint promotions can be explored to improve brand awareness and perception.

Yes, that is a good analysis. Do you see any risks for the client in entering the Indian market? If so, how do you suggest they be tackled?

From a product perspective, the client runs the risk of loosing out on its advantage of holding the unique formulation, as reverse engineering and development of alternatives can happen rather quickly, given India's poor protection of IP. With a number of low cost alternatives readily available, successful differentiation will be critical for market success. Without a distinctive brand preference, the client risks speeding the commoditization of the market.

To mitigate these risks, the client will have to seek strong protection of its IP and lobby with the state to bring in stringent regulations. This might eventually be the most critical aspect differentiating a go/no-go strategy.

The client will have to focus on a brand first marketing strategy, and create a unique proposition for its product, effectively differentiating itself from competition.

That's right. We can stop here. Well done!

New Product Launch Case 1: Summary

Case Facts

- Client owns patented formula for gum and fully integrated manufacturing setup
- Lowest nicotine content and most effective product among competitor brands
- Client is focussing on only profitability for now
- Premium product with 100% Profit Margin
- Target audience consists of low and middle tier of smoking pyramid

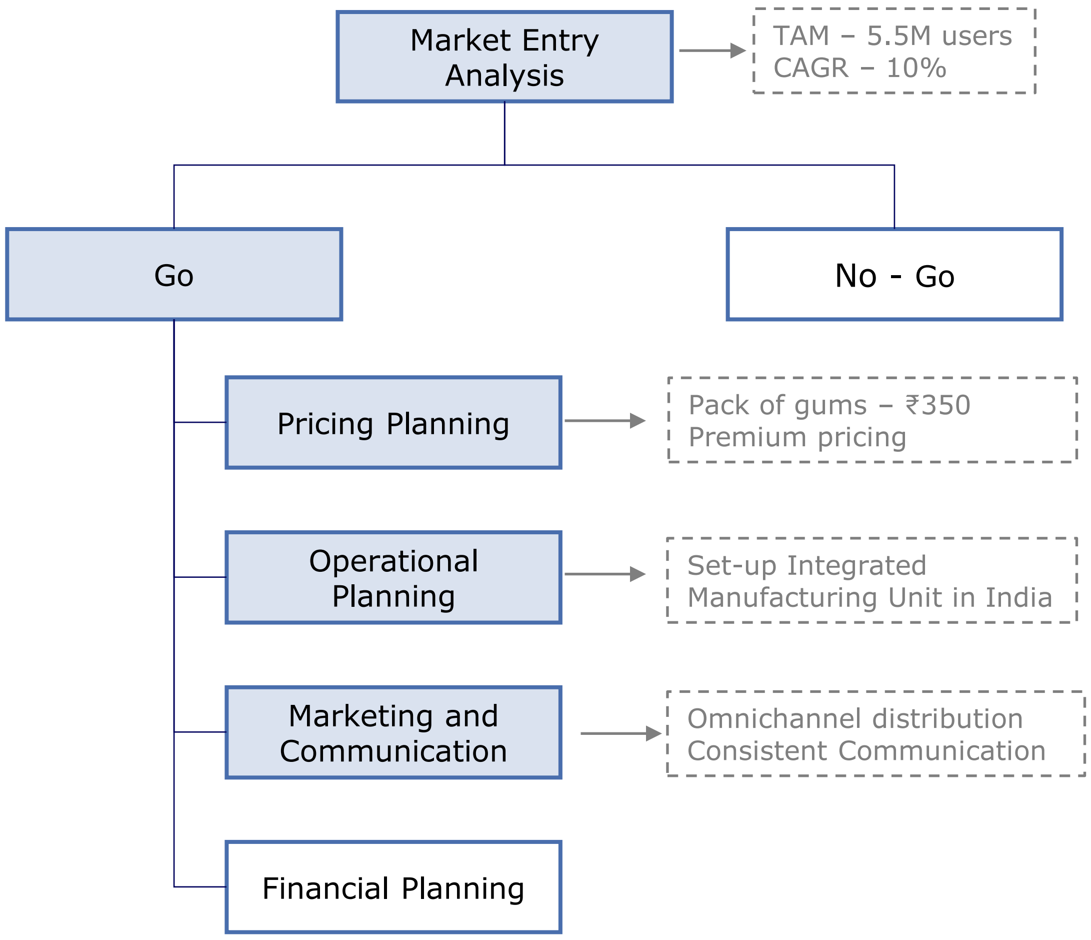
Pre-Requisite Knowledge to Solve the Case

- Sizing of Total addressable market for smokers
- Median cost of a cigarette
- Marketing channels for promotion of a nicotine gum
- Risks of a new product launch in India

Conclusion and Recommendations

- Total addressable market for the nicotine gum is 5.5M with 10% expected CAGR indicating that product should be launched in India
- Omnichannel promotion and marketing should be included to ensure clear and consistent messaging across different consumer groups
- Client must seek strong protection of its IP and lobby with the state to bring in stringent regulations to ensure that their investment reaps in the maximum rewards

Approach



New Product Launch Case 2: EV Manufacturer

Prompt: Your Client is the largest global manufacturer of EVs. The firm invests heavily in R&D and its advanced battery technology has enabled it to penetrate the mid and upper strata of the US automobile (car) industry. The firm sees opportunity to enter the Asian markets – particularly India. They want to understand what the strategy should be to enter this market. Assume that the decision to enter has been made. What would your product strategy look like?

Sure. I'd like to clarify the objectives before I begin. The idea is to develop a strategy for the client to enter the Indian market. Is that right?

Yes. But, I'd like you to focus on the product strategy and the company for now. Let's assume that the market, regulation and all such external factors are favourable. The client is looking at fat margins in India.

Understood. I'd like to structure my analysis in 2 segments. First, I'd like to start off with the client – the current financial position, top and bottom lines, operational capabilities and organizational flexibility. This would help gauge the client's ability in entering new markets, to sustain and drive growth. Next, I'd like to look at the client's product portfolio, the market segments they serve and their suitability for the price sensitive Indian market. This analysis would help gauge the fit of the current product mix to the Indian market, and make decisions pertaining to new product development.

That's a good start. You can assume that organizational capabilities are high and the as-is operational and financial outlook is positive. From the product portfolio perspective, the client has 3 best selling models – one each at 3 different price points, serving the luxury, mid-commercial, and affordable segments.

Do we have information on the price points for these models and on the suitability of these models to the Indian market – both from the customer perspective and capabilities for Indian conditions – roads, driving patterns, and performance?

Yes. The price points for these models are $200,000, $90,000 and $40,000 respectively. You can assume that the models are capable of serving the Indian conditions. As far as the customer fit is concerned, there is no data available.

Alright. Before I develop a product strategy, I would want to understand the costs involved. Is the client looking at setting up a manufacturing plant in India?

The client will set up production & assembly capabilities in India, source components from suppliers to it's US facilities, assemble and sell cars locally.

Understood. What are the costs involved in this process? Both fixed and variable? You also mentioned that the client is looking at fat margins in India. What are the profit margins that the client expects?

The one time fixed costs are expected to be US $2 Billion, and variable production costs are about 70%, 75%, and 70% of the selling price for the affordable, mid-commercial and luxury models. The client is looking at 30-35% ROI on it's fixed investment in the near future.

This helps. I would like to look at the price points of each model and analyse if the client's options are comparable with regular fuel-based cars at the same price.

Luxury Variant: It costs at nearly INR 1.5 Crore, and is likely to be a comparable option with other luxury cars at that price point. High end, environmentally sensitive customers are likely to pay for this model as it is likely to match regular cars in terms of features and drive capabilities.

Mid-commercial Variant: It costs nearly INR 70 Lac and seems to be a model for nothing in the Indian market. The features, brand perception and value from a regular car at this price point are definitely much better than what the client has to offer. So, this model may not be a viable option in the Indian market.

Affordable Variant: It costs nearly INR 30 Lac and has a similar limitation as the mid-commercial model. At this cost, the middle class Indian expects the car to be feature rich and have unique capabilities. Regular fuel based cars are likely to be more feature rich than the client's model. So, it wouldn't make financial sense – given that the sale volumes have to be very high in order to achieve the desired profit margins – to introduce the low end model either.

Does this sound right? Or am I missing something here?

New Product Launch Case 2: EV Manufacturer

That's an interesting approach. Our initial research has also suggested that the high end luxury model is best suited among the 3 alternatives for the Indian market. How long would it take to break-even and achieve the desired profits? Would it be possible to reach these numbers in the Indian market?

Sure. Let me work out the math to understand the required sale volumes.
One-time Fixed Investment = $ 2 Billion
Selling Price of Luxury Model = $ 200,000
Per Unit Variable Manufacturing Cost = $ 140,000 (@70% Variable Costs)
Contribution Margin = $ 60,000
Break-even Sale Volume = 33,334 Units
Similarly, for 30% return on the fixed investment (At the same contribution margin), Sale Volume = 43,334 Units

I'm assuming that the production set-up will have the capabilities to meet this demand. Do we have data on how many units are expected to be sold in the first year, and what the subsequent year on year growth is expected to be?

Alright. Those numbers make sense. In the US market, the client had sold nearly 500,000 vehicles in the past year in a 50-40-10 split between the affordable, mid-commercial and luxury models. Based on these numbers, can you forecast the numbers for the Indian market? Do they make sense?

Sure. So, out of the 500,000 units sold, 50,000 units were the luxury variant. To get the corresponding volumes for the Indian market, I would like to use the PPP adjusted per capita GDP ratios. India's PPP adjusted per capita GDP is about 10% of that of the US. From that we project the sales in India to be 5000 units in the upcoming year. However, this number seems to be rather high. I'd like to do a sanity check on this number.

Yes, makes sense. Go ahead.

Less than 0.001% of India's population falls under the super rich category. Among these people, less than 20% are likely to consider the decision to go for the luxury electric vehicle, and less than 5% of those in the final consideration are likely to actually make the purchase.

That sounds right. So, what is the number you are going to arrive at?

Assuming India's current population to be 1.4 Billion, the number of luxury electric cars expected to be sold are 140 per year. Accounting for under accommodations and impulsive purchases, I would ceil the number at 200.

Perfect. That number makes better sense. This is a very strong analysis. So what would your final client recommendations be?

We started out on the premise that the client has decided to actually enter the Indian market. So my recommendations to the client would be two fold:

First, the current Indian market for EVs is in a very nascent stage, and it might be a little early to enter the market and setup operations at scale. So, the first suggestion is that the client should not enter the Indian (and other Asian) markets at this point in time.

Second, if the client still chooses to enter the market, they need to embrace the fact that their expected return on Fixed Investments (~30%) in the near future is certainly impossible. The mere break-even, even with full scale operational setup, is expected to take well over a decade. Additionally, the client will only be able to manufacture and sell the luxury model, if any at all. So setting up its own production capabilities in India would be a very risky strategy for the client – with almost no payoff potential.

A reasonable alternative for the client is to consider exclusive partnerships and JVs with established OEMs in India. The client can enable the technology, set production and quality standards, offer manufacturing expertise, and lend it's strong brand. In partnership with Indian (and established foreign) OEMs and assemblers, the client may consider entering the Indian market with co-branded EVs. While challenges such as marketing communications, adoption, and after sale service will continue to exist, it is financially much more easier for the client to implement.

Wonderful. That is a very good analysis. We can close the case here.

STRATEGIST
STRATEGY & CONSULTING CLUB OF MDI

New Product Launch Case 2: Summary

Case Facts

- Market, Regulation and all other external factors are favourable
- Operational, Financial and Organizational factors are positive
- Client sells 3 models – luxury, mid and affordable worth $200k, $90k and $40k respectively
- Client will setup production & assembly in India and source parts from US
- Fixed cost of $2B and variable costs ranging between 70% to 75%
- In US, client sold 500K vehicles in 50-40-10 split across affordable, mid and luxury segments respectively

Pre-Requisite Knowledge to Solve the Case

- Costs involved in automotive industry
- Purchasing power parity of India and US
- Real world data of luxury EV sales in India

Conclusion and Recommendations

- Since EV is at a nascent stage in India, there isn't enough scale to achieve financial success yet. Hence, client should reconsider entry in India
- Due to the nature of fixed costs and the long break-even time period associated in this process, client should explore opportunities like Joint Ventures and Exclusive Partnerships

Approach

Go Launch

- **Organizational Capability**
  - Highly capable organization
- **Product Strategy**
  - Luxury
  - Mid Tier
  - Affordable
- **Pricing Strategy**
  - Luxury - $200K
  - Mid Tier - $90K
  - Affordable - $40K
- **Operational Planning**
  - Setup production plant in India for $2B
- **Financial Planning**
  - 200 units not enough to reach breakpoint
- **Launch Strategy**
  - Explore JVs and partnerships

New Product Launch Case 3: Autonomous E Bike

Prompt: Your Client is a manufacturer of novel Autonomous Self-balancing Electric Bikes. A functional prototype is ready, and they want you to help develop a product launch strategy for the right markets. How would you go about it?

That's a very interesting product. Can you please tell me a little more about the Autonomous Self-balancing Electric Bike? What is this product? And what are its features?

The Autonomous E Bike is a novel 2 wheeled, self balancing vehicle that users can ride on (standing). It is a dock based electric commute option that serves users on-demand, through a mobile application. It has an expected range of 2 km, and can navigate independently from and to its closest dock stations.

That's very interesting. Per my understanding, the product would serve requirements in last mile commute and micro mobility. However, the range limitations and autonomous features greatly limit the product's applicability and we may have to look at niche use cases. Is the client willing to change some of the product features, and build a model that supports operations similar to that of Yulu, Bounce, or Vogo, for example?

Yes. Micro-mobility is the client's focus area. Autonomy and Electric Drives are the key differentiators for the client's product and these features can not be compromised upon.

Okay, I understand. So, I'm assuming that the prototype has been promising, and the client wants to know where and how to introduce the product. Is that right? Are there any other technology or business constraints that I should consider?

Yes. The prototype has been promising. However, the autonomy of the bike is not advanced enough for it to navigate open urban environments. The bike can navigate through fairly complex environments where there are no sudden disruptions. Besides, remember the fact that the bike is a dock based commute option.

Okay. Let me get my thoughts together and develop a framework.

Sure, go ahead.

I would like to look at this like a new product launch and analyse 3 segments –

a) the markets to enter – if and how,
b) the business operating model and scalability, and finally
c) supporting financial and marketing strategies for the client.

That sounds like a good approach. Please go ahead.

I'd like to start with the suitable markets to enter, and see if they have enough financial and growth potential. Given the product's capabilities, use would be restricted to controlled residential and commercial environments, where micro mobility has significant potential. Some applications that I can think of include large apartments, gated housing communities, SEZs and technology parks, large corporate and academic campuses. Would you like me to do a numeric analysis of one of these segments?

That's a good start. The client is indeed keen on starting with gated communities and large campuses. Can you estimate the number of such bikes needed to serve the community at MDI Gurgaon?

Sure. The average batch size at MDI is about 650 across the all programs. At any given time the number of students on campus is approximately 800. Given the size of MDI's campus, there would less than 10% unique users from the student community. Among the 30 faculty members and 20 administrative and support staff, there are likely to be less than 1% unique active users at any given time. In all, I would say 70 bikes would suffice for the MDI campus here in Gurgaon.

New Product Launch Case 3: Autonomous E Bike

However, to have maximum usage and on-demand availability of the E-bikes, it would be important to strategically place the docking stations. Based on mobility between commonly visited locations on campus, I recommend that 4 docking stations be installed – one each at the entrance, the hostel block, the academic block, and the canteen/mess area.

Okay. That's a good analysis. Can you recommend an integrated communication and pricing strategy for the product? How should the client go about selling the offering and how should it be priced?

Sure. Again, I would like to highlight the importance of launching the product in a controlled environment, and offering an integrated service portfolio with it. Marketing and communication efforts need to be directed towards commercial and retail builders, with a focus on developing an integrated technology hub/township/apartment complex that has state of the art capabilities in micro mobility. Further, large corporate and academic campuses should be targeted with the central idea of providing convenience, and making these campuses eco friendly with zero vehicular emissions. Extensive opportunities exist across the spectrum. IIT and IIM campuses, the Infosys campus in Mysore, and TCS campus in Siruseri offer great potential for such products.

Yes. That sounds right. Can you talk me through your approach for helping the client determine and adopt a pricing strategy ?

Definitely. I would like to look at the 3 standard pricing models and suggest the right strategy based on which model makes financial and strategic sense – a) Cost +Margin Model, b) Value Model, and c) Competitive Pricing Model. Based on our targeted selling markets, competition is a critical factor. Providers like Yulu and Ofo, have alternatives such as pedal bikes and electric scooters. To be able to sell our products and services, we will need to price them competitively. So, I recommend that we adopt a competitive pricing strategy, even if it means that we will have thin (or even negative) margins initially. Do you want me to conduct further analysis of such a strategy?

That's a good suggestion. No, let's stop here. It was good interacting with you.

New Product Launch Case 3: Summary

Case Facts

- The Autonomous E Bike is a novel 2 wheeled, self balancing dock based electric vehicle with an expected range of 2kms
- Clients major focus area is micro mobility and autonomy and electric device is their key differentiators
- Autonomy of the e-bike is not advanced enough to navigate open urban environments.
- The bike can navigate through fairly complex environments where there are no sudden disruptions.

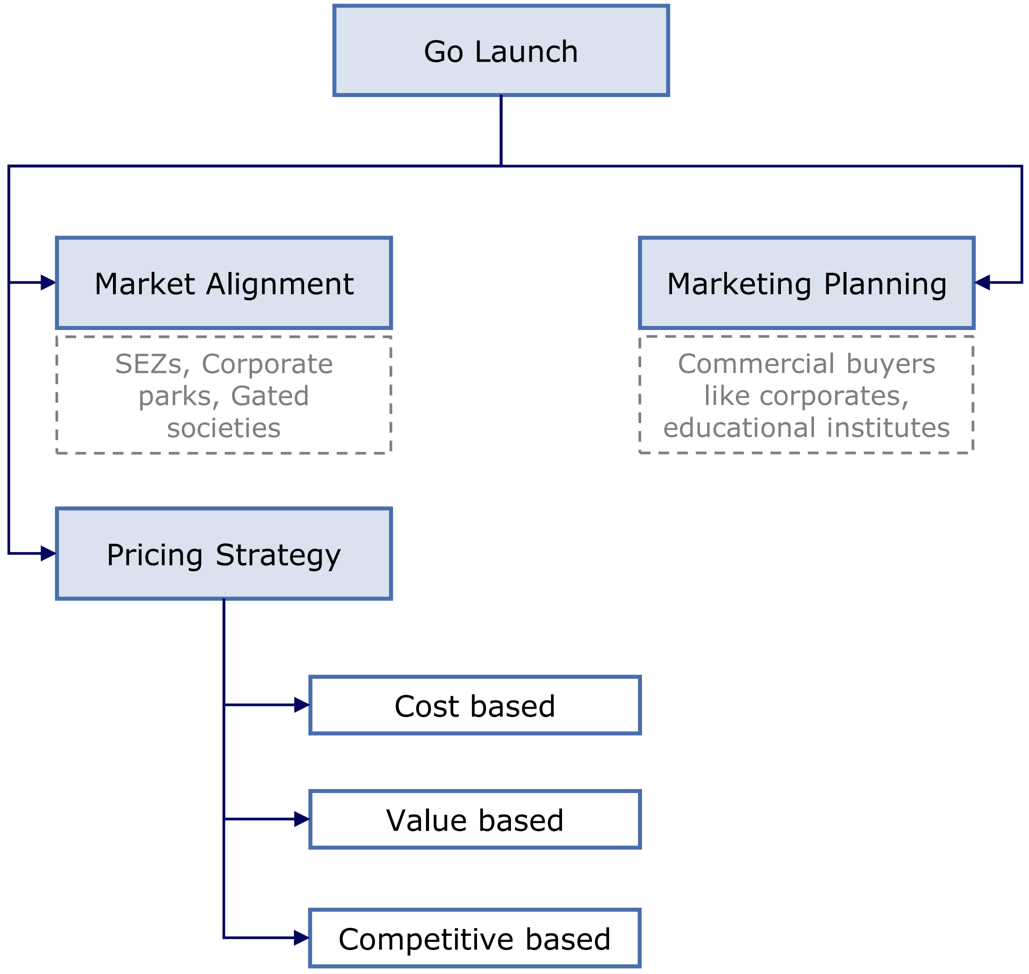
Pre-Requisite Knowledge to Solve the Case

- Limitations of an electric mobility vehicle
- Relevant data for market sizing of potential customer base
- Different Pricing strategies

Conclusion and Recommendations

- Launch the product in a controlled environment, and offer integrated services with it
- Large corporate and academic campuses like IIT and IIM campuses, the Infosys campus in Mysore, and TCS campus in Siruseri should be targeted
- The products and services should be priced competitively even if it means that we will have thin (or even negative) margins initially

Approach



New Product Launch Case 4: Anti Depressant

Prompt: Your Client is the US pharmaceutical division of an MNC. In 2 months, the division expects to receive the FDA's approval to launch an anti-depressant drug. The division, however, has concerns over the market potential for this drug and its ability to reach the key prescribers in this therapeutic category. We have been asked to help determine whether they should – a) launch independently, b) co-market with a partner, or c) sell, license or swap the drug. How would you go about it?

Sure. Sounds quite interesting. Before I proceed, I would like to understand what the client's primary apprehensions are. Any specific aspects that the client is concerned with?

The concerns over market potential center on whether the drug can gain adequate competitive advantage in a market having two dominant, patent-protected competitors and nearly 100 generic competitors. Additionally, a higher technology antidepressant, which appears to offer therapeutic advantages, was recently introduced by a competitor.

Alright, noted. To understand profitability potential, I'd like to explore the market attractiveness and our competitive position within that market in order to determine the market size we can target. Next, I'll explore the major cost drivers and how they impact the entry decision.

Alright. That sounds fair. Please proceed.

Starting with the revenue, I'd want to understand first what the overall market revenue opportunities are for this type of drug and for our product specifically. The client has expressed concern over the market potential for this drug. How big is the market and what is its potential growth rate?

The overall antidepressant drug market is relatively attractive at $1.1 Billion per year and is growing well in excess of the population growth rate.

So, the overall antidepressant market is attractive at $1.1 Billion, but within that market, there are segments based on different types of technology that may or may not be attractive. Does that sound right? What is the technology associated with our client's product? And how fast is this segment growing?

Yes, that's right. The client's technology is based on tricyclic formulations. The existing competitive environment in this segment is very intense and will only increase if the segment shrinks – which is likely to happen.

That drives me towards concluding that the overall segment is not very attractive. What percentage of the market share by volume do the competitors have?

In our own technology segment, the leader has approximately 10% and the number two player has about 4%. The rest of the 100 competitors each has less than a 2% market share. By comparison, the new technology has captured a 20% market share of the total antidepressant market.

Sure, noted. How much will our client's product be able to differentiate itself within our technology segment?

Not much. In a market research study we commissioned, the product was perceived to be very similar to the next best product in our technology segment, slightly inferior to the number one product, and slightly better than the generic products. The new technology introduced by the competitor was viewed as far better due to a lower level of sedation.

So, to summarize the market environment, although the anti-depressant market is attractive, the segment that we would be participating in is relatively unattractive and runs the risk of becoming smaller and more competitive over time. Additionally, within this unattractive segment, we have limited ability to differentiate ourselves relative to our competitors, and thus, will not be able to charge a premium price.

New Product Launch Case 4: Anti Depressant

Yes, that is right. So, what next?

I would think that this unattractive market and relatively undifferentiated position within that market would translate to a low market share. I would estimate that our share might be lower than either of the branded products given our new presence in the market, say maybe a 2-4% share and this, like the rest of the segment, would probably decline over the next couple of years.

Okay, that makes sense.

Knowing that our revenue potential is relatively low puts more pressure on minimizing the costs if we were to market the drug. I would want to see what area within the cost structure impacts profitability the most. What percent of net sales is COGS? Further, who would we be selling to?

COGS is about 20% of net sales, and most other expenses are SG&A. Good point on the customer. For such a drug, we would be selling directly to doctors – Psychiatrists and General Practitioners. It is the Psychiatrists that determine the success of failure of such a drug.

Sure. COGS seems to be reasonable and is not of concern at this point. SG&A are regular expenses and would be at realistic levels. I'd now like to focus on the people we sell to – the physicians. Do we have expertise in pharmaceutical sales? Do we have good relations with doctors?

Yes, that's right. No, we do not have any experience with pharmaceutical sales. We neither have relations with the doctors nor a trained salesforce that can do it. We will have to build those capabilities ground up.

Okay, noted. In undertaking this exercise, there would be significant costs that would have to be incurred. Further, pharmaceutical sales work based on good relationships between manufacturers and prescribers. This would take time and efforts to work, and given the already bleak state of the market segment, the client does not have the leg room to incur higher costs or the benefit of building relations over long time periods. They need to act now if all their R&D is to yield some tangible benefit to the company.

Yes, that's absolutely right.

So, that eliminates the option of directly launching the product. Co-marketing and branding with a partner in the space would be a good option for the client.

Okay. Can you walk me through that thought process?

Sure. By entering a co-marketing agreement, the costs of the sales force is spread across several products of the two companies. As we would choose a partner who does not have a competing product, our drug would get the appropriate selling attention warranted. The partner is likely to have existing relationships with the psychiatrists and doesn't need to take time to further establish these relationships. This might help the sales of our product might peak sooner. So, all in all, I would think that if we were to market this product, it would be a less costly and higher value option to enter into a co-marketing agreement rather than go at it alone.

That makes sense. So, is that your final recommendation?

Not yet, I'd like to look at the final option of selling/licensing or swapping out the drug. Do we have any information pertaining to this? Are there companies who we can potentially sell to, or those that would want to use our formulations?

What in your opinion would be the reasons to go for any of these alternatives?

The client would want to choose the option that is the most value creating. There could be several reasons for going with this alternative. a) We might sell our drug patent because the sum of the promotional or overhead costs may make it unprofitable for us to market whereas a company having a similar product line might be able to carry this product at a very small incremental cost. b) We might license it which would help companies with the expertise to actually sell the drug. c) We might swap it if we could find a company in need of this type of drug while having an innovation that might fit more with our existing infrastructure.

To evaluate these options, we might look at projected cash flows and discount them backwards to see which of them is the most value creating alternative.

Perfect. That's good. We can stop here. Thank you for your time.

New Product Launch Case 4: Summary

Case Facts

- Market has 2 dominant patent protected competitors and 100 generics. Competitors' product uses better technology and offer better results
- Overall antidepressant market is worth $1.1 B
- In client's segment, the market share of competitors is 10%, 4% while the rest have less than a 2% share.
- New technology has captured 20% market share of the total antidepressant market
- COGS is 20% of net sales and rest expenses are SG&A
- Client does not have any experience with pharmaceutical sales and will have to build those capabilities ground up

Pre-Requisite Knowledge to Solve the Case

- Sales channels of pharmaceutical industry
- Different cost drivers for a pharmaceutical business

Conclusion and Recommendations

- Based on projected future cash flows, the client can choose one of the following approaches -
  - Sell the drug patent to a competitor in the market
  - License the drug to some other corporation while charging royalties or getting a favorable deal in return to license competitor drugs

Approach

New Product Launch Case 5:In-Flight Connectivity

Prompt : Your firm is a low cost US domestic airline carrier considering In Flight Connectivity technology. With competitive pressures rising, Wi-Fi in the sky is becoming a basic offering. Your client has yet to enter the game, but they know it's something they need to consider to stay competitive. What are some of the key considerations for their client as they launch their Wi-Fi in the Sky product?

Sure. Before I proceed, I would like to understand what all the client refers to as In Flight Connectivity.

IFC includes only Wi-Fi connectivity.

Alright, noted.
To understand the case a little better I would like to know our client's operational routes and competitors.

The airline flies primarily domestic routes within the continental US, as well as select flights to Canada, Mexico, and the Caribbean.
The information on competitors has been drawn up by analysts and can be found in Annexure 1. What do you think can be inferred from this competitor data?

Looking at Competitor 1:
-Pros: less operational cost burden, potential for customer experience continuity
-Cons: limited control over pricing, brand fit considerations
Looking at Competitor 2:
-Pros: control over pricing, control over user experience, potential for better ROI, easier to integrate with airline's other products like IFE
-Cons: more operational burden on airline, higher costs

That is a reasonable conclusion regarding the competitors.

After some initial analysis, the client has decided to partner with a IFC vendor to outfit all 90 of its planes. An investment of $250k per plane is required which the airline and vendor will share 40-60, and then the airline will pay the vendor a per-session fee to cover operating expenses. The airline wants you to figure out what percentage of their passengers need to purchase a session for the airline to break even in 2 years at $10 per session. Use the data given in Annexure 2.

Analyzing the, data I can come to the following conclusions:
-The Airline will require a total investment of $9m including all the aircrafts
-We will have a total of 7M passengers in 2 years assuming 100% occupancy
-Using the above data we will need an take rate of about 13% across our flights.

Do we have any market research data that would point at this figure being attainable?

Market research tells us that take rates are only between 5 and 10% today for paid connectivity, so our client is concerned about being able to hit the break-even targets. What do you think are the key drivers of IFC take rate?

Some factors I can think that would drive the IFC take rates are:
-Flight characteristics: duration, flight time (night vs daytime), other entertainment systems
-Product characteristics: price, speeds available, quality of service
-Passenger characteristics: age, gender, income, cabin class, business/leisure

Based on these factors and data how do you think the client should proceed with their go to market?

Firstly my recommendation would be the client try to create a branding with the best of the both competitor models by partnering with a IFC vendor wholesale for the technology while having a control on the pricing and avoid going down the free connectivity solution being a low cost carrier.

The client should also begin with pilot projects on routes that is expected to have more demand based on the above mentioned factors of take rate and will help us understand how we can bridge the gap in required take rate.

Can you identify the risks associated with the key decisions in this implementation?

New Product Launch Case 5:In-Flight Connectivity

Due to large upfront investment, contract is likely to be 10+ years long, so smart vendor selection is very critical. Since we are trying to have a model where we have control over the session rates there might be a trade-off with technology.
Difficult to strike balance between maximizing revenue and maintaining sufficiently low take rate to ensure higher speeds.

I think that is satisfactory and we can close the case here.

Annexure 1

	Competitor 1	Competitor 2
Airline Description	Major domestic and international carrier with 65% fleet IFC coverage	Domestic discount carrier with 90% fleet IFC coverage
IFC Branding	Vendor-branded	Airline-branded
Pricing	Determined by vendor, average $25/session	Determined by airline, Free
Revenue Model	Revenue share	Wholesale

Annexure 2

	Wide Body	Narrow Body
Fleet Size	10	80
Passengers Per Aircraft	300	100
Flights Per Year	2,500	27,500

Candidate Calculations

To calculate the initial investment:

- Airline share of investment = $250K x 40% = $100K per plane
- Total investment = $9M (solution below):
- Wide body = 10 planes x $100K/plane = $1M
- Narrow body = 80 planes x $100K/plane = $8M
- Total = $1M + $8M = $9M

To determine total passengers in 2 years:

- Wide body = 300 seats x 2,500 flights/yr. x 2 yrs. = 1.5M passengers
- Narrow body = 100 seats x 27,500 flights/yr. x 2 yrs. = 5.5M passengers
- Total = 1.5M + 5.5M = 7M passengers in 2 yrs.

To determine % take rate needed:

- Set up the following equation and solve for [take rate]:
- 7M passengers x [take rate] x $10/session = $9M
- [Take rate] = 12.9%

New Product Launch Case 5: Summary

Case Facts

- In-flight connectivity (IFC) includes Wi-Fi connectivity on board
- Client operates domestic routes within the continental US, as well as select international flights to Canada, Mexico, and the Caribbean
- Competitor 1 is a major domestic and international carrier with 65% fleet IFC coverage, vendor branding, an average price of $25/session and a revenue share model
- Competitor 2 is a domestic discount carrier with 90% fleet IFC coverage, airline branding, price determined by airline itself and a wholesale revenue model
- Client decides to partner with IFC vendor (competitor 1)

Pre-Requisite Knowledge to Solve the Case

- Cost drivers of an airline business
- Key factors driving take rates in a business

Conclusion and Recommendations

- Create a branding by partnering with a IFC vendor wholesale for the technology while having a control on the pricing and avoid going down the free connectivity solution being a low cost carrier
- Begin with pilot projects on routes that are expected to have more demand and will help to understand how to bridge the gap in required take rate

Approach

New Product Launch Case 6: Men’s Magazine

Prompt: Your client a major Indian publishing company that produces educational as well as women’s magazines. The two magazines are profitable but has stagnant growth. He wants to start a third monthly magazine targeted at 25-50 year old men (e.g. GQ Magazine). His stated goal is to generate circulation revenues of 100 crores in the first year. He has hired you to figure out whether this is possible and should he go ahead with the plan?

Just to clarify my understanding, the client already produces educational and women’s magazines. Because of stagnant revenue growth the client is looking for a new opportunity in the form of a new magazine.

Yes that is correct. And that new magazine is a men’s magazine.

I would like to begin by understanding the revenue goals and pricing model.

This would allow me to understand the expected revenue by placing it against the estimated target market size. Finally I can compare it with the goals to verify if we should go ahead with the plan.

So our pricing model for the new magazine will be ₹200 per issue for the print version and a ₹100 per issue online subscription.

Our goal to ahead with the launch is to achieve a revenue of ₹100 crores in Year 1.

I will start my estimating the market size.

The total Indian population is approximately 1B. Approximately 25% of the population falls between 30-50 or about 250 million people. Approximately 50% are male or 125 million. Of the 125 million 30-50 year old men in that age group, assuming that at least 40% would read a magazine or 50 million.

Given the wide range of magazines on the market assume that only 10% of magazine readers would want to read a men’s journal or 5 million target customers.

So the men’s magazine market is of 5 million. What percent of the market do you think we can capture? There are 3 major competitors and their information is attached.

Looking at the data I think we can capture 20% market share easily in the first year from Competitor 2 and 3, considering we can keep some global content in our issues. That would give us an addressable market of 1 million.

Based on that if I look at the revenue. I am assuming a 60% subscription online that would give us a revenue of

600,000*100*12 + 400,000*200*12 = 72 cr + 96 cr = ₹168 crore

Therefore, we can comfortably estimate a revenue of north of 100 crore as was the goal for our client.

How can we help achieve these goals?

We need to gather subscribers by aggressive marketing. We could leverage our existing data on readers and push emails to let them know about our magazine. We need to spend on having high profile lead stories on our initial issues. We can further leverage social media to run targeted ads based on user data which might align with our content.

Thank you. I think we can close the case here.

	Competitor 1	Competitor 2	Competitor 3
Market	50% share, Steady	30% share, Shaky	20% share, Dying
Content	India Focused	India Focused	Global

New Product Launch Case 6: Summary

Case Facts

- Client sells educational and women magazine
- Revenue growth has stagnated for the client
- New magazine will be priced ₹200 for the print version and ₹100 for the digital version
- There are 3 major competitors in the market as follows –
    - Competitor 1 – 50% steady share, India focussed
    - Competitor 2 – 30% shake share, India focussed
    - Competitor 3 – 20% dying share, global focussed

Pre-Requisite Knowledge to Solve the Case

- Market sizing
- Promotional and marketing campaigns for magazine business

Conclusion and Recommendations

- Gather subscribers by aggressive marketing campaigns
- Leverage the existing data on readers and push emails to promote the magazine
- Spend high capital on having high profile lead stories on the initial issues
- Leverage social media to run targeted ads based on user data which might align with the client's content

Approach

Go Launch

- Pricing Strategy
    - ₹200 for print
    - ₹100 for digital
- Market Sizing
    - 5 Million customers
- Financial Planning
    - ₹168 crore revenue
- Marketing Strategy
    - Aggressive marketing – emails, social media
- Operational Strategy
- Organizational Strategy

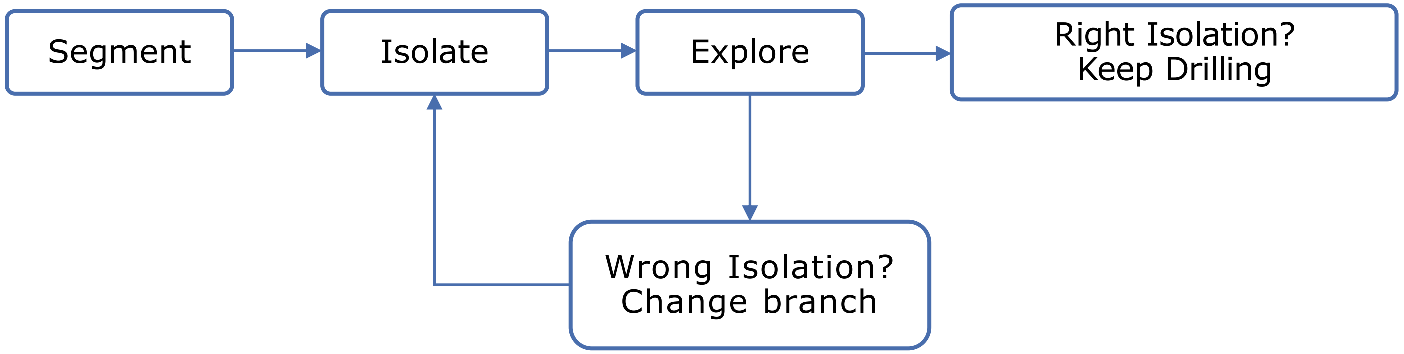
Growth Framework

Approach

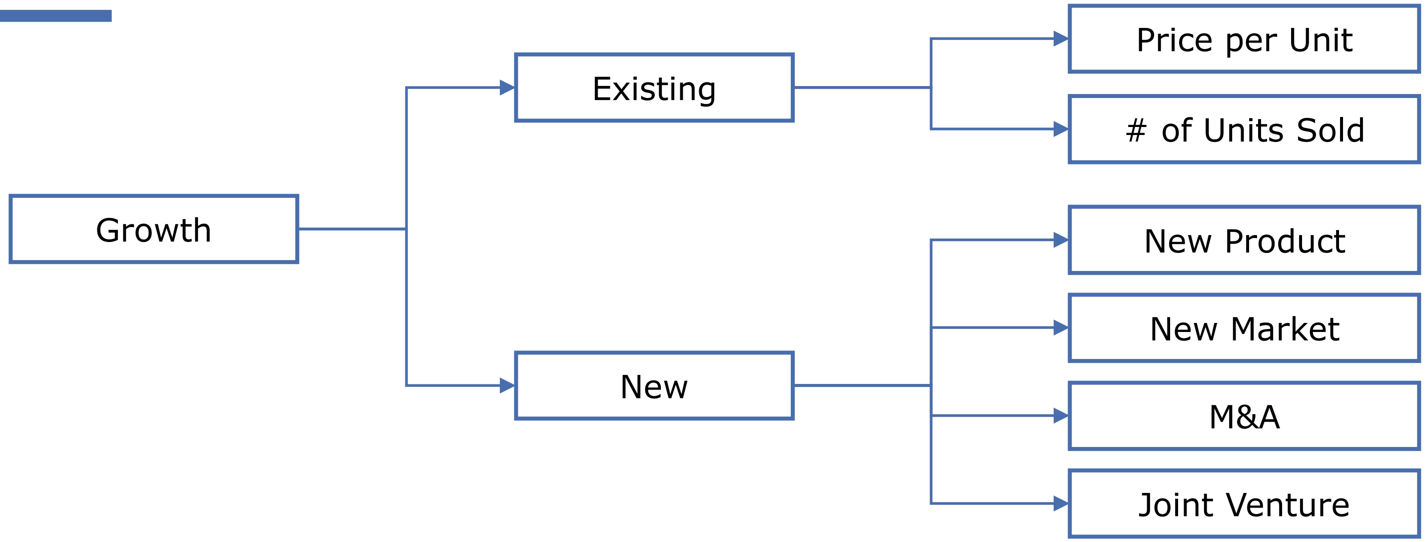
Segment: Segment the problem into existing & new opportunities; use the below framework for a drill down analysis

Isolate: Ask probing questions to isolate at each stage of branching; use eliminations to move forward

Explore: Explore the isolated branch to identify the root cause; drill down further if required



Framework



Growth Case 1: International School

Prompt: Your Client is an International School which is operating in India. Client wishes to increase the growth of their business. How can you help them achieve their goal?

I would like to start by understanding the current scope of business of the client. How many schools does the client operate?

In India, the client runs 4 schools. 2 each in Delhi & Gurgaon.

Okay. What is the level of education that is imparted in the school?

The schools are senior secondary. They cater to classes 1 to 12.

What is the fee structure of the school? How does that compare to the competitors in this space?

Since the client runs an International School, the fee is towards the higher side. They cater specifically to upper-middle class & upper class people.

Alright. Since the client wants to improve growth of the business, I would like to break the problem down into existing opportunities & newer opportunities. Should I start with the existing opportunities first?

Sure, Go ahead.

First, I'll segment existing business into the number of students & fee per student. Do we have any data regarding number of students per class and number of sections in a standard?

Take an average of 40 students per section & 5 sections in a standard.

So, based on these numbers there would be 40*5 = 200 students per standard. Hence, for the entire school there would be total 2,400 students across all standards from 1 to 12.
One way to increase growth of the business would be to increase the intake of students in the school. Does the school have the infrastructure to increase intake? How would the current students or their parents react to increasing the intake?

School has the infrastructure to increase the intake. However, the students & their parents won't take this news positively due to fears of drop in quality. Hence, the client is not looking to increase intake of students.

Okay. The 2nd component would be fees of students. Can the client further increase the fee they are charging to students?

Although the schools cater to affluent economic class, the client fears that increasing fees just after COVID would give them bad press. So, increasing fees is off the table for the client.

Okay. So we can then look into new opportunities for the client.
The client can diversify its services offerings. Along with providing regular classes, the client can look forward to launching different programmes or certifications which are taken over the weekend. These new programmes would not only be limited to school students and would also extend to working professionals.

Makes sense. Any other opportunities?

Yes. Client can also look at expanding their business in other cities as well. Since, currently they operate in only the NCR region, they should expand their footprint in other cities and states too.

Okay. So what will be some of the factors you will look at before choosing a city?

Since the client's operates an International school & their target audience is upper-middle & upper class, we should focus on metro cities with high per capita income & a much larger affluent class like Mumbai, Kolkata and Bangalore. Before setting up new schools in these cities, we can look for joint ventures or M&A opportunities which can help the client. Also, the competition in these cities would play a huge role before we finalize a city for expansion.

Great! We can close here

Growth Case 1: Summary

Case Facts

- Client is an International School operating in India wishing to increase the growth of their business
- Client runs 4 schools catering classes 1 - 12: 2 each in Delhi & Gurgaon
- Fee is on the higher side and hence caters to Upper and Upper-Middle class economic group
- Each class has 5 sections & each section has an average of 40 students
- Increasing # of students is not possible as it would lead to fears of drop in quality
- Increasing fees of students is also off the table as it would incite bad press especially after COVID

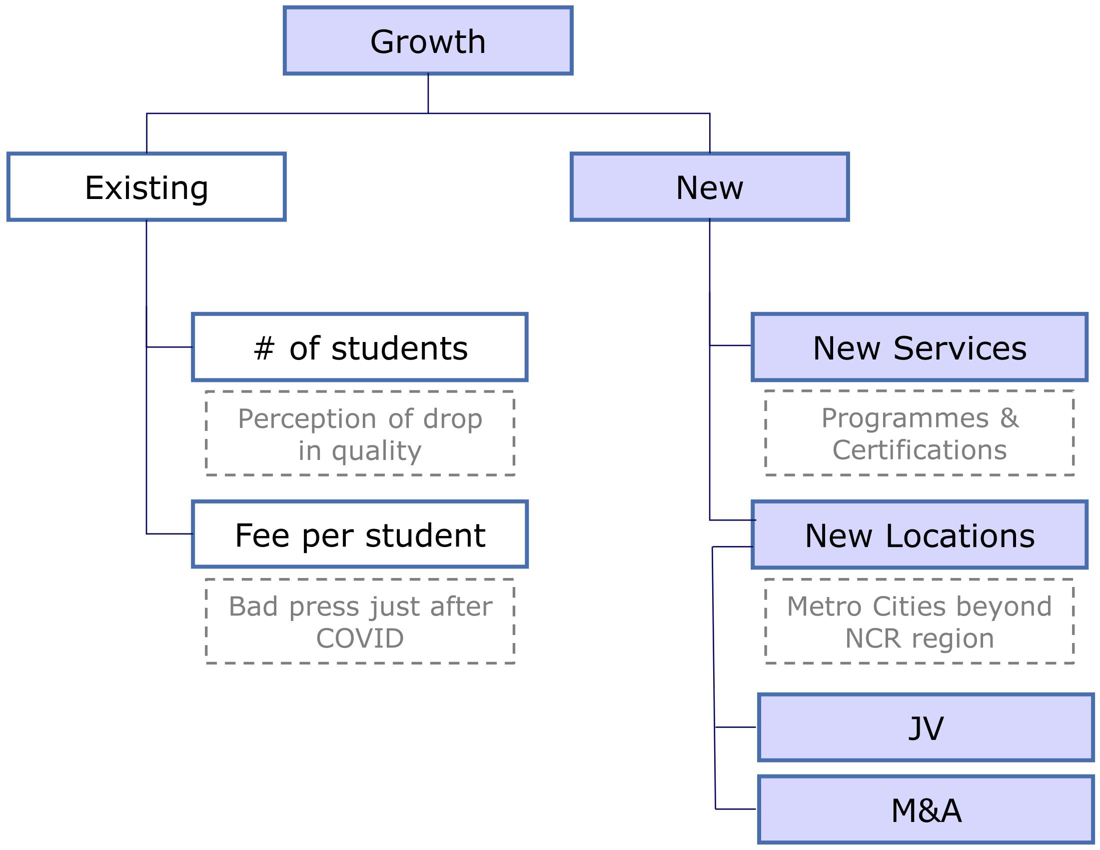
Pre-Requisite Knowledge to Solve the Case

- Possible diversification opportunities in the education sector

Conclusion and Recommendations

- Client can diversify the services it offers by launching different programmes/certifications on weekends to both students & working professionals
- Client can expand its business to more metro cities other than the NCR region with a higher proportion of upper and upper-middle class population after exploring JV and M&A opportunities

Approach



Growth Case 2: Beverage Company

Prompt: Your Client is a leading beverage company and has seen a drop in growth since the last year. You have been onboarded to help the client identify the cause of this decline and reverse the trend

Thanks. I would like to start by understanding if the decline revenue growth is specific only to the client or it is across the industry.

This issue is specific only to the client.

Okay. So since the issue is client specific, I start by analyzing the product portfolio of the client. Major products a beverage company sells are soda, water, shakes, syrups, smoothies etc. Could you confirm which products the client sells?

You have covered them all. Let's club these into 3 segments – Soda, Water & Others.

Sure. So, since revenue has been dropping, we can divide revenue into price per unit and volume sold. Does the client have any data regarding the same?

Yes. Note down the following data -

Category	Litres (MM)		Price per lit. (₹)		Cost per lit. (₹)	
	2020	2021	2020	2021	2020	2021
Soda	100	120	₹ 30	₹ 24	₹ 15	₹ 15
Water	30	33	₹ 25	₹ 25	₹ 12	₹ 12
Others	10	11	₹ 50	₹ 55	₹ 30	₹ 30

Okay. Based on this data, revenue of Soda segment has dropped over the past year from ₹3,000M to ₹2,880M registering a loss of ₹120M. On the other hand both Water and Others segments have increased their revenue from ₹750M to ₹825M and from ₹500M to ₹605M respectively. So the decline in growth is due to Sodas segment. Does the client have any information about the types of brands in sodas?

Yes. There are 3 brands in the Soda segment with the following data

Category	Litres (MM)		Revenue (₹ MM)	
	2020	2021	2020	2021
Brand A	50	30	₹ 1,800	₹ 1,080
Brand B	25	30	₹ 650	₹ 780
Value Brand	25	60	₹ 550	₹ 1,020

Okay. It is clearly evident that Brand A has suffered a huge loss in volume in the current year. Also, something to note is that volume of value brand has increased to 2.4x but the revenue is still less than 2x. I would like to calculate prices next to identify the cause.

Sure. Go ahead.

So, both Brand A & Brand B have constant prices at ₹36 & ₹26 respectively. However, value brand's price has decreased from ₹22 to ₹17. So, the combination of decline in volume of A and reduced price of value brands have caused a decline in revenue.

Alright. What do you recommend to reverse this declining growth?

We should focus on the declining volume of brand A. This can be done by studying the market trends & consumer surveys to identify the reason of decline. Then appropriate promotion activities can be taken up like marketing the drink to a different demography. Also, we can explore changing the placement of the product in stores.

Growth Case 2: Beverage Company

Also, we can adjust the price of value brand to increase the overall revenue. However, for this we need to understand the price elasticity before making the decision as we wouldn't want to alienate the value brand customers due to the price change.
Alright. Anything else?
The recommendations so far relate to the current business. We can also explore new business opportunities to increase the growth of the business. This would involve exploring new products like energy drinks & low sugar drinks which can supplement the current business by targeting the younger health conscious audience. Additionally, we can also explore venturing out into new untapped markets.
Great. Let's end here.

Growth Case 2: Summary

Case Facts

- Client is a leading beverage company and has seen a drop in growth since the last year wishing to find the cause of decline and a strategy to reverse the trend
- Client specific issue
- Products can be clubbed into 3 segments: Soda, Water and Others
- Revenue of each segment can be found here
- Revenue of each soda brand can be found here

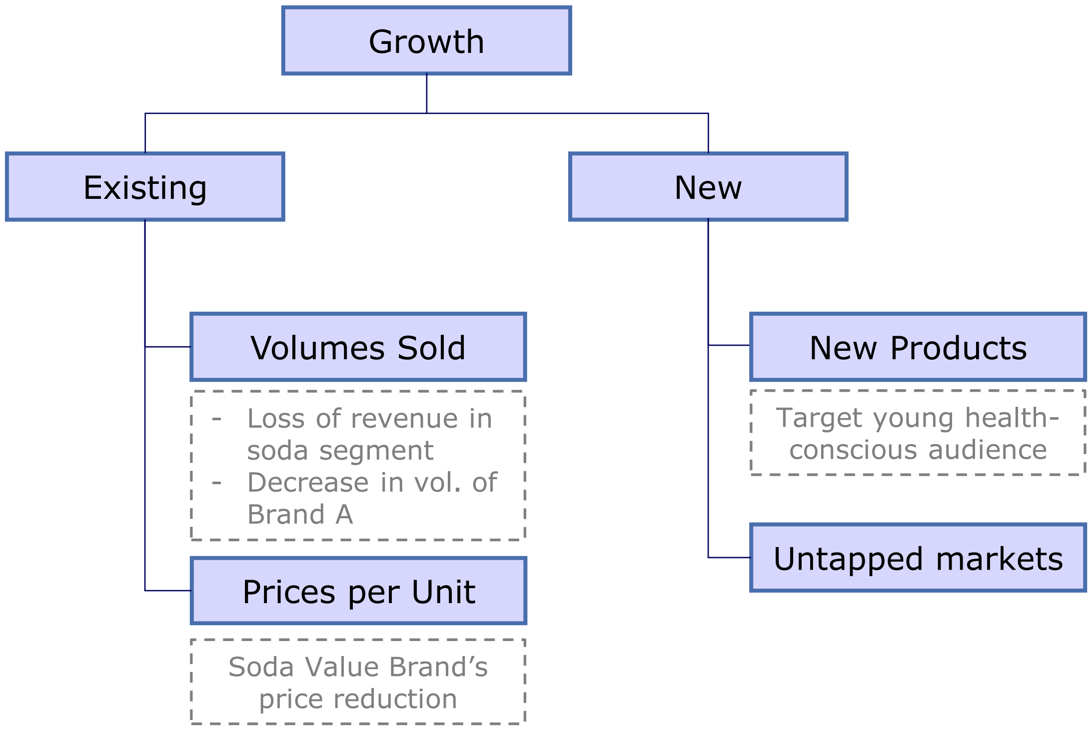
Pre-Requisite Knowledge to Solve the Case

- Unit Price calculations from revenue statistics
- Counter-initiatives to the declining volume and price of a soda brand
- Newer product opportunities for beverage company

Conclusion and Recommendations

- The reason for the decline in revenue would be a combination of decline in volume of Brand A and reduced price of Value Brand
- Countering volume decrease: 1) Studying the market trends & consumer surveys to identify the reason of decline 2) Appropriate promotion activities like marketing the drink to a different demography 3) Changing the placement of the product in stores.
- Countering price reduction: Adjust price by considering the price elasticity of the brand
- Explore newer opportunities to attract young health-conscious audience

Approach



Growth Case 3: Magic Show Company

Prompt: Your client is a leading event management company which operates multiple entertainment events including one of the biggest magic shows of the country. The magic show has been experiencing stagnant profitability since the past 3 years. How will you help the client take the decision of either continuing the magic show for the next year or discontinuing it?

Sure! To reiterate my understanding of the case, the client runs one of the biggest magic shows of the country. The profitability has stagnated since the past 3 years & the clients wants our help to decide to renew the magic show for next year or not. Is my understanding correct?

Yes. That is correct.

Okay. First I would like to gather some information about the client. Do they operate pan India or in selected cities only?

Client operates in only Delhi & plans to keep the same going forward as well.

Okay. I'll start by breaking up profitability by revenue and costs. How have the revenues & costs been since the past 3 years?

Both revenue & cost have remained stagnant since the past 3 years.

Revenue is defined as price of a ticket multiplied by the quantity of tickets sold. What is the price of ticket & has the same changed over this period?

Calculate the total revenue for the client. There are 3 types of seating in the theatre: Classic, Deluxe and Super Deluxe. The price of these tickets are ₹500, ₹800 & ₹1000 respectively.

What is the seating capacity for each category?

The total theatre has 1500 seats, 300 being in Super deluxe category, 500 in deluxe & 700 in Classic category.

How many magic shows does the client operate?

The client operates 1 show a day, for 5 days a week. The season for the shows is 40 weeks in a year.

What is the occupancy rate for the different types of seats?

The occupancy for Super Deluxe seats is 100%, 80% for deluxe seats & 50% for classic seats.

Based on these figures, the ticket revenue per show is ₹755,000. That translates to ~₹151M annual revenues from the magic show.

Are you sure? Is that the only stream of revenue for the magic show?

No, other sources of revenue would include sponsorships, hospitality & merchandising as well. I missed these. Does the client have any information about these?

Let's assume that ticketing amounts to 75% of the total revenue. The rest comes from all the sources you just mentioned.

Alright. So that translates to ~₹1M revenue per show & a total of ~₹200M annual revenue from the magic show.

Okay. Let's move to the costs now. What will be the major cost components here?

Sure! So costs can be broken down into 2 components: Fixed cost & Variable cost. Fixed costs would contain expense on rent, marketing, insurance & annual contracts. Variable costs includes expenses on housekeeping, utilities, magic props and wages of stage crew.

Correct. Note down the following annual costs - ₹20M salary of the main host, ₹20M on rent, ₹10M on insurance, ₹30M on marketing. Magic props cost ₹1,000 per show, Housekeeping costs ₹2K per show, crew & utilities costs ₹300K & ₹100K respectively on weekly expense.

Growth Case 3: Magic Show Company

Ok. So based on this data, annual costs for the magic show will be ~₹96M. This gives a profit margin of 52% for the client.
Alright, so what do you recommend?
I believe currently the client earns a good profit margin of 52%. This can be further increased in the future by increasing the revenue or decreasing some of the costs. Revenue can be increased by increasing prices of the ticket, increasing the number of deluxe & super deluxe seats, offering bundled discounts. Also, number of shows per day can be reduced & price of merchandizing can be increased as well. On the other hand, costs can be reduced by renegotiating new contracts with the staff, main host, switching to a different theatre with lower rent cost & changing the insurance company with lower premium costs. Based on these, finally I will conclude that the client should renew the magic show for the upcoming year as well.

Growth Case 3: Summary

Case Facts

- Client runs one of the biggest magic shows of the country (in Delhi and will stay there). The profitability (revenue & cost) has stagnated since the past 3 years & they want to understand the cause of the same
- Seating (prices, capacity, occupancy): Classic (₹500, 700, 50%), Deluxe (₹800, 500, 80%) & Super Deluxe (₹1000, 300, 100%)
- Timings: 1 show a day, for 5 days a week, 40 weeks in a year.
- Ticketing amounts to 75% of the total revenue
- Annual costs - ₹20M salary of the main host, ₹20M on rent, ₹10M on insurance, ₹30M on marketing. Per-Show costs: ₹1K for Magic props ₹2K for Housekeeping, Weekly Costs: ₹300K & ₹100K for crew & utilities respectively

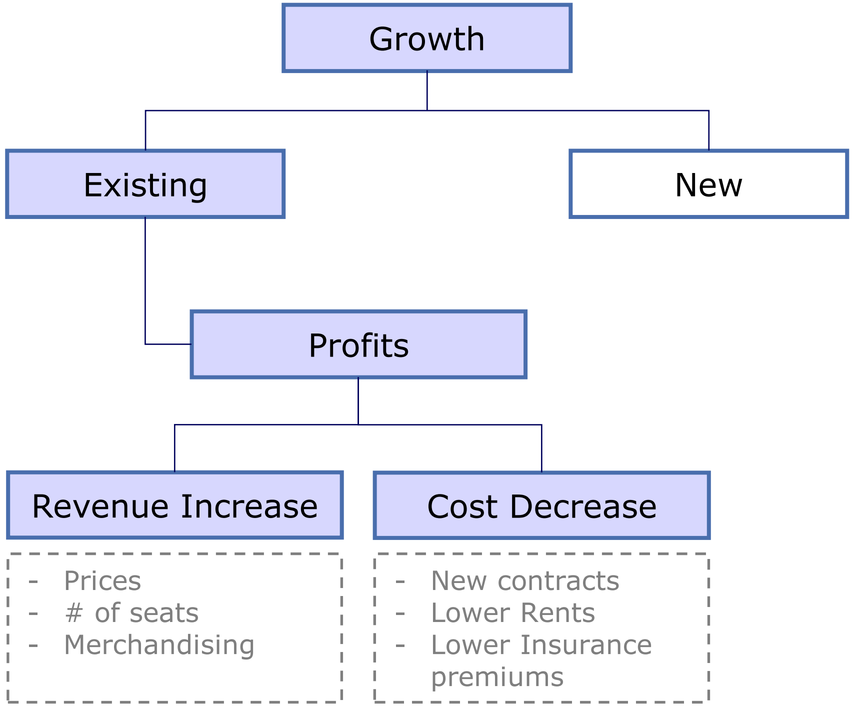
Pre-Requisite Knowledge to Solve the Case

- Calculations for revenue from seating statistics
- Additional sources of revenue apart from ticketing
- Associated cost breakdown for a magic show

Conclusion and Recommendations

- Annual revenue for the magic show from tickets: ₹151M
- Total annual revenue for the magic show: ₹200M
- Annual Costs: ₹96M. Profit margin: 52%
- To further increase margin: 1) **Revenue inc.** by increasing prices & # of the seats, offering discounts. Increasing price of merchandizing. 2) **Cost dec.** by renegotiating new contracts with stakeholders, lower rent cost & lower insurance premium costs.

Approach



Guess Estimates

STRATEGIST
STRATEGY & CONSULTING CLUB OF MDI

Approaching Guesstimates

Top Down Approach/Supply Side Approach

- Start with the broadest possible universe of which your guesstimate is a fraction, and then keep applying a set of filters (eliminations) or conditions to break it down and arrive at the solution

Starting Universe

Filter 1
Initial Set of Conditions and Eliminations
Example: Rural/Urban, Male/Female

Filter 2
Continued Eliminations
Example: Age 18+

Filter 3

Required Guesstimate

Segmentation Basis:

- Demographics (Age, Sex, Income, Ethnicity etc.)
- Psychographics (Attitudes, Behaviours, Values)
- Geography (City/Country/Continent, Urban vs. Rural etc.)
- Channels (Offline vs. Online, TV vs. Radio etc.) and others – each varying as per the case at hand

Bottom Up Approach/Demand Side Approach

- Start from the bottom – some low level statistics such as 'Revenue per customer' or 'Fuel consumption per vehicle', which would be same across your universe or a sub-set, and build your way up to the answer.

Identify the lowest level statistic that is replicable

Revenue per User
Cost per Unit

Estimate the required metric for the lowest level of statistic

Profit per User
Margin per Unit

Build up to the universe to arrive at the required answer

Profit across India
Channel Margins

The Bottom-Up approach is **particularly suitable for market sizing questions**: How many cell phones are being bought everyday in India? Estimate the total revenue of a telemarketing firm? And so on.

Tip: The choice between top-down and bottom-up approaches is subjective and has to be made on a case-by-case basis. As a rule of thumb, the bottom up approach can be used when consistent lower level metrics can be established.

Guesstimate Data Points

World Data

Total Population 7.8 Billion

Gender	
Male	50%
Female	50%

Rural-Urban	
Rural	45%
Urban	55%

Continent Median Age	
Asia	31 Years
Africa	19 Years
Europe	42 Years
Latin America	31 Years
North America	35 Years
Australia	33 Years

Continent Population	
Asia	60%
Africa	17%
Europe	9.5%
North America	5%
Latin America	8%
Australia	0.5%

Population Density (per km²)	
Asia	150
Africa	45
Europe	34
Latin America	25
North America	28
Australia	5

India Data

India's Population 1300 Million

Rural-Urban	
Rural	70%
Urban	30%

Gender	
Male	52%
Female	48%

Note

Urban Population: Settlements having more than 5,000 people, population densities greater than 400 persons/km^2 , of which 75% of male workers are involved in non-agricultural pursuits

Rural Population: All non-urban population is considered rural.

Distribution by Religion

Religion	Hindu	Muslim	Christian	Others
Population	80%	15%	2%	3%

Approximate Population for Indian Cities	
Mumbai	20 Million
Delhi/Kolkata/Bangalore (Metros)	15 Million
Chennai/Hyderabad	10 Million
Lucknow/Patna/Jaipur/Bhopal	3 Million

Age Distribution	
0-15	30%
15-35	40%
35-60	25%
60+	5%

Note: Median Age of India's population can be taken as 25 Years

Note: These data-points are approximate figures for the purpose of guestimates and are valid as of 2022.

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Guesstimate Data Points

Additional Data for India

Land Distribution (in thousand km²)	
Total Area = 3300	
Land	70%
Water	10%
Forest	20%

Area of major cities (in km²)	
Delhi	1500
Mumbai	600
Bangalore	700
Hyderabad	625
Chennai	425
Kolkata	200

Household Size	
No. of household = 250 Million	
Rural	5
Urban	4

Marital Status	
Married	50%
Unmarried	50%

Household Income Distribution

Category	Annual Household Income (in INR)	%
Elite	greater than 20 lakh	3%
Affluent	10 lakhs - 20 lakhs	7%
Aspirers	5 lakhs - 10 lakhs	15%
Next Billion	1.5 lakhs - 5 lakhs	45%
Strugglers	less than 1.5 lakhs	30%

Miscellaneous Data	
Average literacy rate of India (age 7 and above)	77%
Percentage of Internet Users	50%
Percentage of Smartphone Users	40%
India’s population density (people per sq. km)	500
India’s fertility rate (children born per woman)	2.17
India’s Mortality rate (deaths/1000 live birth)	29.94
Divorce Rate in India	1%
Life Expectancy (in years)	70
Birth Rate*	22
Death Rate*	7.5
Population Growth Rate	1.25%

*Annual number of births/deaths per 1000 total population

Note: The data-points mentioned are approximate figures, and are to be used for the purpose of guestimates only.

Guesstimate 1: Fuel Consumption

Question: Estimate the quantity of petrol used per day (in litre) for transportation in Delhi.

Approach : Bottom Up (Demand Side)

Assumptions

- Diesel and CNG is majorly used by public transport and commercial vehicle (busses, vans, and trucks)
- Average distance travelled by each vehicle (per day) = **20** km
- Mileage (in km/litre) : 2 Wheeler = **50**, 4 Wheeler = **10**

Methodology

- Calculate the Number of households
- Calculate Vehicles per household
- Calculate the consumption by each vehicle.
- Scale up the consumption to the entire population

Solution

- Distance travelled by the 2 wheeler = 20*(7,50,000 + 7,50,000 + 2,25,000) = 3,45,00,000 km
- Litres of Fuel Used by 2 wheeler = **6,90,000**
- Distance travelled by the 4 wheeler = 20*(5,62,500 + 2,25,000) = 1,57,50,000 km
- Litres of Fuel Used by 4 wheeler = **15,75,000**
- Total Fuel Used = **22,65,000** Litres

Assuming the 20% consumption is of diesel,

- Petrol Used in Delhi (by Delhi People) =0.8 * 22,65,000 = 18,12,000

Assuming 10% consumption is by non residents of Delhi,

- The quantity of petrol used per day (in litre) for transportation in Delhi = 1.1 * (18,12,000) ≈ **2 Million Litres**

Delhi Population
15 Million

Average Household size = 5

Delhi Total Household
3 Million

Poor (20%) **6,00,000**	Lower Class (50%) **15,00,000**	Middle Class (25%) **7,50,000**	Upper Class (5%) **1,50,000**
Avg. No. of Vehicles possessed by household			
2 Wheeler: 0 4 Wheeler: 0	2 Wheeler: 0.5 4 Wheeler: 0	2 Wheeler: 1 4 Wheeler: 0.75	2 Wheeler: 1.5 4 Wheeler: 1.5
Total No. of Vehicles			
2 Wheeler: 0 4 Wheeler: 0	2 Wheeler: 7,50,000 4 Wheeler: 0	2 Wheeler: 7,50,000 4 Wheeler: 5,62,500	2 Wheeler: 2,25,000 4 Wheeler: 2,25,000

Guesstimate 2: Petrol Pumps

Question: Estimate the number of Petrol Pumps in Bangalore

Approach : Top Down (Supply Side)

Assumptions

- 3 Traffic Zones (**High**, **Moderate**, **Low**)
- Avg. Distance between Petrol Pumps in these zones is **1.0 km** for HTZs, **2 km** for MTZs, and **4 km** for LTZs
- Area of HTZ : MTZ : LTZ is **2:2:1**

Methodology

- Calculate the area of Bangalore
- Divide the area into the 3 traffic zones
- Allocate the area served by one Petrol Pump in each of the zones
    - High Traffic Zones : 1.0 * 1.0 = 1.00 sq. km
    - Moderate Traffic Zones : 2.0 * 2.0 = 4.00 sq. km
    - Low Traffic Zones : 4.0 * 4.0 = 16.00 sq. km

Solution

- Area of Bangalore = 25*30 = 750 sq. km
- High Traffic Zones make up 40% of the total area = 300 sq. km
- Moderate Traffic Zones make up 40% of the area = 300 sq. km
- Low Traffic Zones make up the other 20% of the area = 150 sq. km

- No. of Petrol Pumps in **HTZ** = 300/1.00 = **300**
- No. of Petrol Pumps in **MTZ** = 300/4.00 = **75**
- Not of Petrol Pumps in **LTZ** = 150/16 = **10** (approx.)

- Total number of Petrol Pumps **= 300 + 75 + 10 = 385**
- Rounding up, accounting for all under allocations, Total = **400**

No. of Petrol Pumps in Bangalore

High Traffic Zone
Area = 300 sq. km
No. of Pumps = 300

Moderate Traffic Zone
Area = 300 sq. km
No. of Pumps = 75

Low Traffic Zone
Area = 150 sq. km
No. of Pumps = 10

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Guesstimate 3: Number of Flights at KIA

Question: Estimate the number of Flights Arriving at Kempegowda International Airport (Bangalore) Daily

Approach : Top Down (Supply Side)

Assumptions

- 2 Categories of Flight Arrivals: Domestic and International
- Number of Domestic Terminals: 6
- Number of International Terminals: 6
- Turn Around Time (TAT) International: 3 Hours
- Turn Around Time (TAT) Domestic: 1 Hour
- Number of Peak Hours: 8 (100% Utilization)
- Number of Non-Peak Hours – I: 10 (70% Utilization)
- Number of Non-Peak Hours – II: 6 (30% Utilization)
- Number of Hangars per Gate/Terminal = 2

Methodology

- Calculate the **number of Domestic Flight Arrivals**
  - Max Capacity = (24/TAT) * No. of Terminals * No. of Hangars
  - Number of Incoming Flights = Max Capacity * Avg. Utilization
- Repeat the process for **International Flight Arrivals**
- Add the 2 values to obtain the **Total Number of Incoming Flights**

Solution

- Maximum Domestic Capacity = 24/1 * 6 * 2 = 288
- Maximum International Capacity = 24/3 * 6 *2 = 96
- Average Utilization = ([8*1] + [10*0.7] + [6*0.3])/24 = 70%
- Total Number of Flight Arrivals = (288+96) * 70 ~ **270 Flights**

In this problem, it is assumed that within a 24-hour window, every flight that arrives will depart.

No. of Flight Arrivals at KIA, Bangalore

International Arrivals (70% Avg. Util)
Max Capacity = 96
Actual Arrivals ~ 68

Domestic Arrivals (70% Avg. Util)
Mas Capacity = 288
Actual Arrivals ~ 201

Terminal Utilization

- **Peak Hours** : 6 AM to 10 AM and 6 PM to 10 PM (8 Total Hours)
- **Non-Peak Hours I** : 10 AM to 6 PM and 10PM to 12 AM (10 Total Hours)
- **Non-Peak Hours II**: 12 AM to 6 AM (6 Total Hours)

Guesstimate 4: A GPS Tracker

Question: A company has developed an innovative GPS tracking mechanism for tracking school buses in India. It is priced at Rs 1,000 per unit and two units are required per bus. Identify the potential addressable market size for the device in the first year of its launch.

From an affordability and feasibility perspective the company should only target the urban population which is ~30% of the total population.

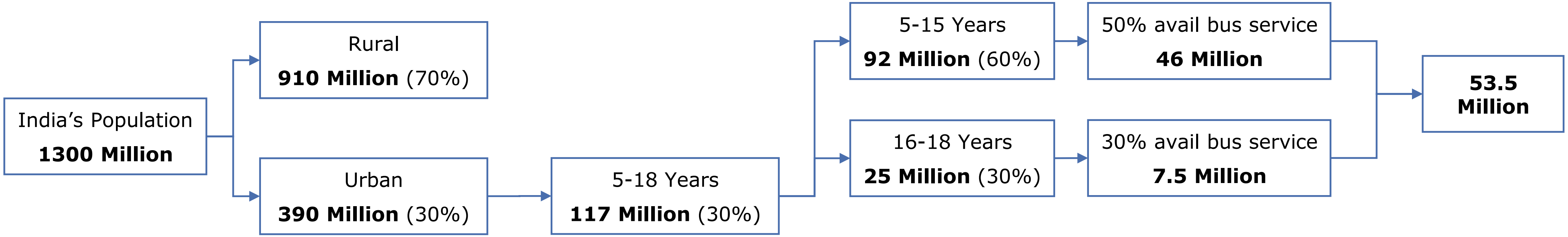
Assumptions

- School going students availing the bus service are from the age of 5 years to 18 years
- 5 to 15 Years: 60% of all students would avail the bus service
- 16 to 18 Years : 30% of all students would avail the bus service

Rationale for assumption

As the students move to higher classes, they seek more flexibility – in timings, mode, and places they commute to and from

Calculation for No. of Students Availing the Bus Service



- Assume that the average bus has roughly 15 rows on each side and can seat 2 students per row = 15 * 2 * 2 = **60 students per Bus**
- Number of school buses = # students availing bus service / (# students per bus) = 53.5 Million/60 ≈ **890 K**
- Total Potential addressable market size = Rs. 1,000 * 890 K * 2 = **Rs. 178 Crore**

Guesstimate 5: Maruti Suzuki Cars

Question: Estimate the number of Maruti Suzuki Cars in India.

Approach : Top Down

Assumptions

- Average household size in the country: 5
- Maruti cars have a 50% market share over the years
- Lower Class and Poor do not own any cars
- Only passenger vehicles are considered

Methodology

- Calculate the Number of households
- Segment the population on the basis of income
- Calculate number of 4-wheelers per household
- Calculate the total number of 4-wheelers.
- Calculate the total number of Maruti cars based on assumption

(Average Household size = 5)

India Population **140 Crores** → India's Number of Households **28 Crores**

	Avg. No. of 4-wheelers possessed by each household	Total No. of 4-wheelers	Total No. of Maruti Suzuki Cars (50%)
Upper Class (5%) **1.4 Crores**	**1.5**	**2.1 Crores**	**1.05 Crores**
Middle Class (15%) **4.2 crores**	**0.75**	**3.15 Crores**	**1.575 Crores**
Lower Class (50%) **14 Crores**	**0**	**0**	**0**
Poor (30%) **8.4 Crores**	**0**	**0**	**0**

Solution

Total number of Maruti Suzuki Cars in India =

(0+0+1.05+1.575) Crores = **2.625 Crores**

Guesstimate 6: Swiggy Revenue

Question: Estimate the daily revenue generated by Swiggy in Mumbai.

Assumptions

- The revenue generated is only via food delivery orders
- Swiggy has a market share of **40%** in the Indian food delivery market
- **50% of the middle class** households and **80% of the upper class** households order food online
- **50%** of the users are active and order **once a week** and **50%** of the users are passive and order **once a month.**
- Average order value from middle class is **Rs 250** and average order value from upper class is **Rs 500**

Methodology

- Calculate the Number of households and classify them
- Calculate the number of households of each category ordering food using Swiggy based on the assumptions
- Calculate the number of daily orders
- Calculate the net daily revenue

Solution

- Average time between two orders for a household: (7+30)/2 = **18.5 days**
- Number of households ordering food daily:
  - Middle Class: 350000/18.5 ~ **18920**
  - Upper Class: 80000/18.5 ~ **4325**
- Revenue generated:
  - Middle Class: 18920 * 250 = **Rs 47,30,000**
  - Upper Class: 4325 * 500 = **Rs 21,62,500**

Total Revenue: **Rs 68,92,500**

Mumbai Population
20 Million

Average Household size = 4

Mumbai Total Household
5 Million

Lower Class (60%) **30,00,000**	Middle Class (35%) **17,50,000**	Upper Class (5%) **2,50,000**
Households ordering food online		
0	(50%) **8,75,000**	(80%) **2,00,000**
Households using Swiggy (40%)		
0	**3,50,000**	**80,000**

Guesstimate 7: Pizza Area

Question: Estimate the total area of Pizza consumed in India daily.

Assumptions

- Only **25% of the urban middle class** population and **50% of the urban upper class** population consume pizza
- **50%** consume pizza monthly (**every 30 days**) and **50%** consume pizza bi-monthly **(every 60 days)**
- Pizza sizes:

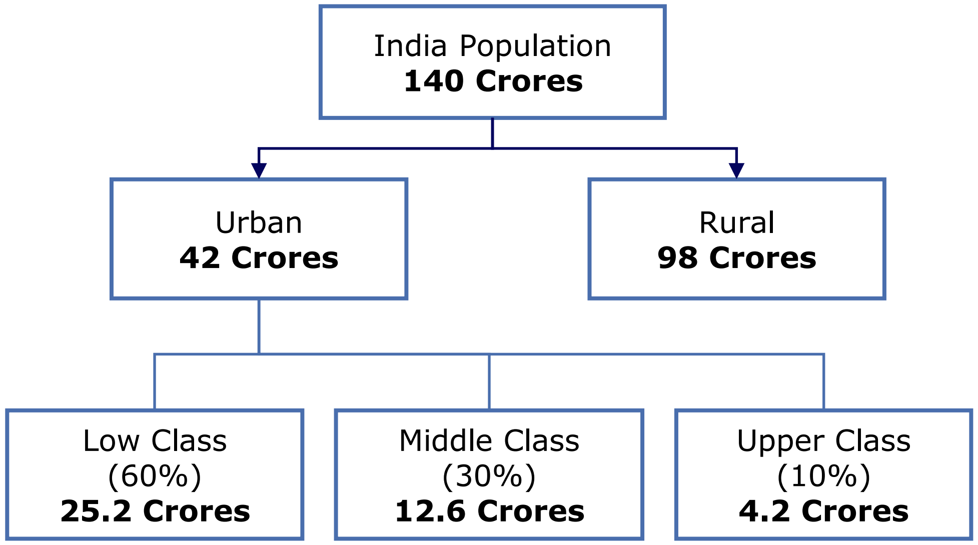
Pizza Size	Fit for
Small (7”)	1 person
Medium (10”)	2 persons
Large (12”)	3 persons

Solution

- Average time between two pizza orders for a person: (60+30)/2 = **45 days**
- Number of people ordering pizza daily:
  - (3.15 + 2.1) Crores / 45 = **11.67 Lakhs**
- Average consumption per person:
  - As per the assumption, each person consumes: ~ **50п sq. inch** of pizza
- Total daily consumption of pizza:
  - 11.67 lakh * 50п = **18.32 Crore sq. inch**

Methodology

- Classify the Urban population of India into economic classes
- Calculate the population consuming pizza
- Estimate the pizza sizes and consumption fit
- Calculate the average person’s pizza consumption rate & size
- Multiply to get the total daily consumption of pizza



Population consuming Pizza		
0	(25%) 3.15 Crores	(50%) 2.1 Crores

Guesstimate 8: WhatsApp Messages

Question: Estimate the total number of WhatsApp messages sent in India per day

Assumptions

- Average household size in India: **5**
- Average number of smartphones per household for: **Upper Class = 5**, **Middle Class = 4**, **Low Class = 1**
- Average internet penetration in India: **60%,** Average WhatsApp penetration in Smartphones: **80%**
- WhatsApp usage distribution by age:

Age Group	%age of WhatsApp Users	High Usage	Medium Usage	Low Usage
0-15	0			
15-40	70	60%	25%	15%
40-60	20	30%	40%	30%
60+	10	10%	30%	60%

A) Estimate total number of smartphones in use in India

India's Population **140 Crores**

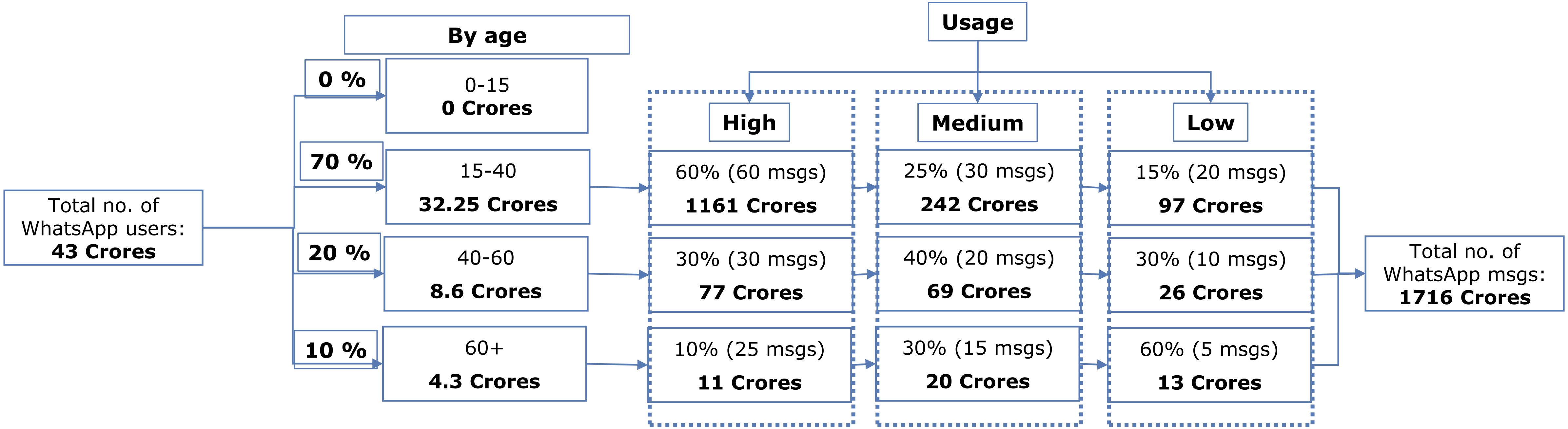
	Avg. No. of households	No. of smartphones
Upper Class **14 Crores**(10%)	14/5 = **2.8 Crores**	2.8 * 5 = **14 Crores**
Middle Class **84 Crores**(60%)	84/5 = **16.8 Crores**	16.8 * 4 = **67.2 Crores**
Low Class **42 Crores**(30%)	42/5 = **8.4 Crores**	8.4 * 1 = **8.4 Crores**

Total no. of smartphones: **89.6 Crores**

Guesstimate 8: WhatsApp Messages

B) Estimate the total number of WhatsApp messages

- Total number of WhatsApp users in India:
    - Total no. of smartphone users * Internet penetration in India * % of people using WhatsApp
    - 89.6 Crores * 0.6 * 0.8 = 43 Crores



Guesstimate 9: Air-Conditioner Sales

Question: A government body planning to revise taxes on household air-conditioners wants to understand the yearly demand.

Assumptions

- Average household size in India: **5**
- Average Air conditioner lifespan: **10 years**

Approach

- Segment households by income group and assign a per income group air conditioners per house
- Bottom up calculation to reach total air conditioners existing in India
- Divide by total lifespan to get air conditioners sold per year

Avg. No. of Air-conditioners per Household

Total No. of Air-conditioners

(Average Household size = 5)

India Population
130 Crores

India's Number of Households
26 Crores

Affluent (5%)
~1 Crores

2

2 Crores

Middle Class (20%)
~5 crores

0.5

2.5 Crores

Lower Class (50%)
13 Crores

0.25

3.25 Crores

Poor (25%)
6.5 Crores

0

Total Air conditioners

~8 crores

Total Air conditioners sold per year

80 lakhs

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Guesstimate 10: Cars on Mumbai Sea Link

Question: Estimate the number of cars using Bandra-Worli Sea Link in Bombay in a day

Assumptions

- Number of toll lanes: 8
- Bottleneck: Toll Lanes
- Average Toll Lane Capacity per minute: 5 cars
- 12 hours of medium traffic load and 6 hours each of high load and low load in a day

Approach

- Segment day hours by traffic load and identify a bottleneck in the system – toll booth in this case
- Estimate the cars per unit time in that bottleneck
- Bottom-Up calculation to arrive at total cars that has passed through the bottle neck – toll booth

24 Hours

Traffic Loads	Toll Booth Usage	Total Cars in each Traffic Load Type (Hours*Lanes*Capacity Per Hour*Multiplier)	
High **6 hours**	**2*capacity**	**6*8*5*60*2**	**28,800**
Medium **12 hours**	**1*capacity**	**12*8*5*60*1**	**28,800**
Low **6 hours**	**0.5*capacity**	**6*8*5*60*0.5**	**7,200**

Total Cars in a Day

64,800

Guesstimate 11: T-shirts Sold on Amazon per Day

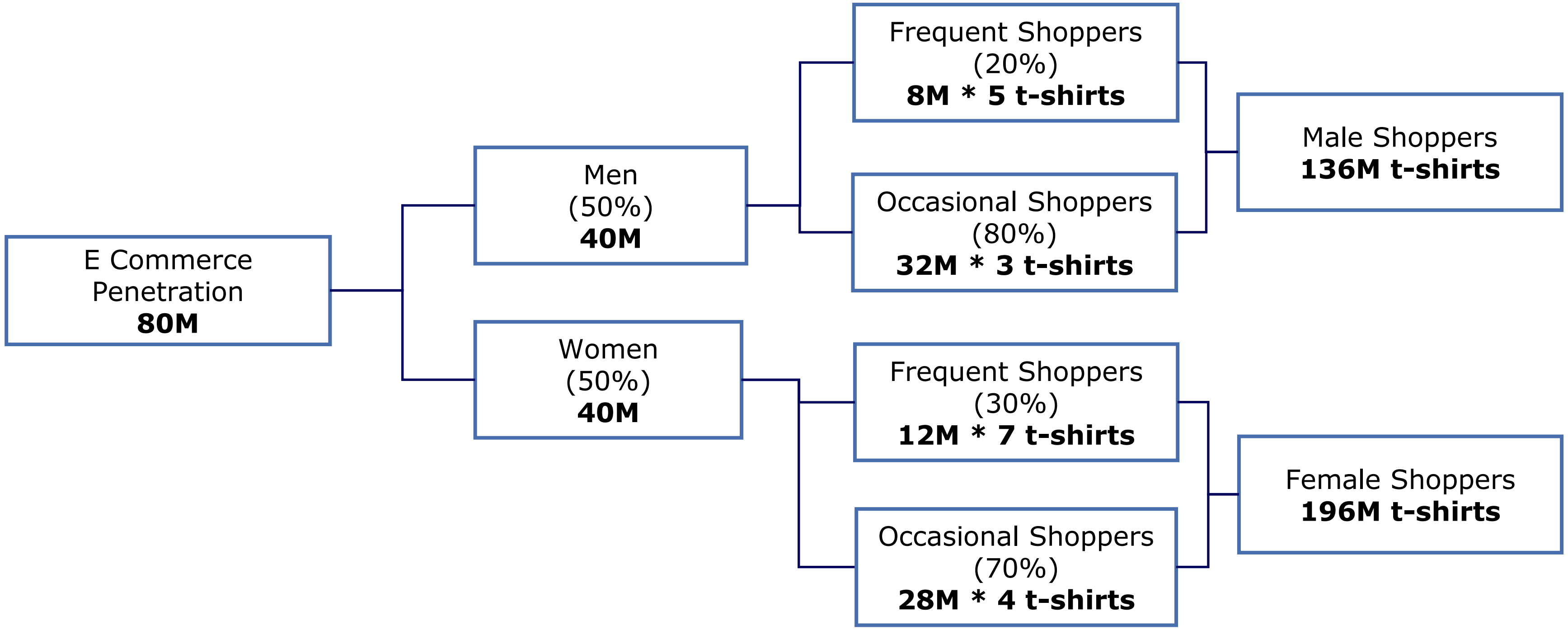
Question: How many t-shirts do you think Amazon is selling in India per day?

Assumptions

- E-Commerce Penetration: 50% of Internet Penetration =250 M
- Fashion shoppers on Ecommerce = 30%, hence 75 M shoppers
- 50% are male and 50% are female, hence 37.5 M each
- 20% frequent male shoppers (5 t-shirt purchases per year), 30% frequent female shoppers (7 t-shirt purchases per year)

Approach

- Segment by gender considering different demand
- Further break down into frequent and occasional shoppers rate of t-shirt purchase per year
- Bottom up estimation for total t-shirts sold in a year



Total Yearly T-shirts Sold ~ 330M

Amazon's Market Share = 30%

Amazon's yearly t-shirt sold = 100M

Daily T-shirts Sold on Amazon = 270 thousand or 2.7 lakhs

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Guesstimate 12: Indian Weddings

Question: A new matrimonial site is planning a launch and would like to estimate the potential market size. Assume 80% of India has arranged marriages.

Assumptions

- Targeting 20-30 year age group which is the usual age for weddings in India
- Assuming 70% of the group gets married
- Add 10% to accommodate other age group weddings
- Each person gets married only once
- Only urban couples use matrimonial sites

Approach

- Take India's total population and isolate target age group. Use further filter to consider potential candidates to get married
- Take 30% of the group to account for urban marriages only
- Add 10% on figure to account for weddings outside target group
- Divide into sex ratio to prevent overcounting. Use either males or females for calculation post this
- Divide by 10 to get marriages per year
- Take 80% of the figure to account for arranged marriages only

India Population
1.2B

Target Age Group
130M

Potential Urban Population
130M*70%*30% ~ 30M

Females
15M

Males
15M

Total Weddings
15M

Weddings per Year = **1.5M**
Arranged Weddings **= 1.2M**

Guesstimate 13: Eye Spectacles

Question: A famous eye spectacle maker wants to set up shop very close to MDI Gurgaon's campus. It believes that being closer to MDI, it can generate good revenues. Identify the potential annual revenue of the shop from MDI.

Assumptions

- Students in MDI:

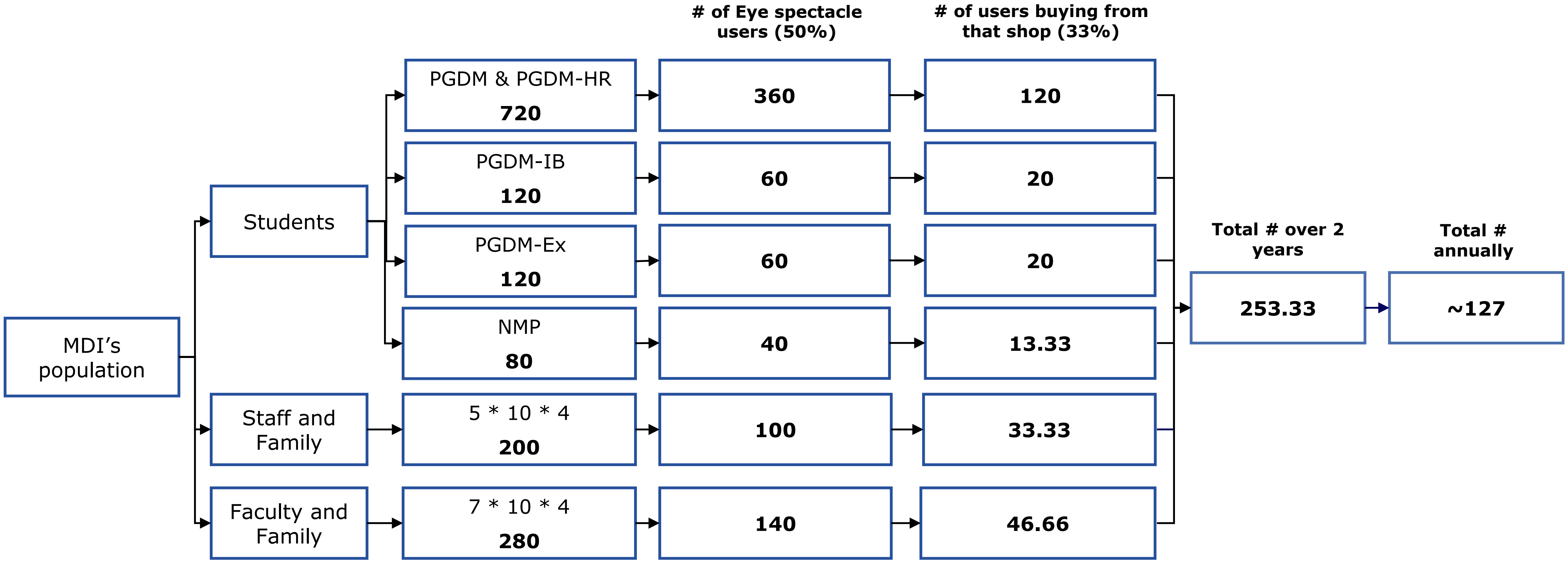
Course	Duration (years)	Total Student Strength
PGDM	2	480
PGDM-HR	2	240
PGDM-IB	2 (1 abroad)	120
PGDM-Ex (3)	1	120
NMP	4	80

- Faculty in MDI = # of specializations * approx. # of faculty in each
  = **7 * 10 = 70**
- Staff in MDI = # of departments * approx. # of staff in each
  = **5 * 10 = 50**
- **50%** of the entire population wears glasses
- **1/3rd** of the people making glasses will buy glasses from that store due to the close proximity. There can be a **50-50** split for the people buying new glasses and changing lenses.
- Average lifetime of an eyeglass: **2 years**
- Average price of a new eye glass: **₹3,000 (₹2,000** for the lenses and **₹1,000** for the frame**)**
- All faculty and staff have a family living with them. None of the students live with their families
- Average size of a family: **4**
- Revenue from broken glasses is assumed to be **10%** of the total annual revenue

Methodology

- Calculate the total population of students, staff & faculty with their family
- Calculate the population wearing spectacles
- Calculate the number of users changing a spectacle within their time in MDI
- Multiply that with the probability of people buying glasses from that store
- Multiply the total with the average price of an eye spectacle to get the total revenue

Guesstimate 13: Eye Spectacles



Calculation

- Since there is a 50-50 split between making new eyeglass and buying just the lenses: Average price for the customer: **₹ 2500**
- Total Revenue of the shop annually deriving from MDI population (from new products): ₹ 2500 * 127 = **₹ 3.17 Lakh**
- Total Revenue of the shop from MDI's population (incl. broken glasses): **₹ 3.52 Lakh**

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Guesstimate 14: A Cash-back Offer

Question: A premium smartphone brand in India wants to reward the first time buyers of its latest model, with promotional cash-back offers. Based on the current market size, growth rates, and operating margins, identify the ticket size of the cash-back per device sold.

Given Data

- Selling Price of the Latest Model : Rs. 60,000
- Market Share among Premium Phones by Volume (Price>50k): 6.5% ; Expected Growth for the Next Year: 4.5%
- COGS as a % of Net Sales = 70 & SG&A as a % of Net Sales = 15
- Minimum Operating Margin Requirements as a % of Net Sales = 6% (Note: This is for each category of users – New and Returning, separately)

A) Estimate Current Year Sale Volume (No. of Devices Sold)

India's Population
1300 Million

Rural
910 Million (70%)

No sizable contribution to Premium Smartphones

Urban
390 Million (30%)

Users of A Smartphone	Users of A Premium Smartphone	Users of The Given Brand
Elite **11.7 Million** (3%)	Elite **8.7 Million** (75%)	Elite **0.5 Million** (6.5%)
Affluent **27.3 Million** (7%)	Affluent **10 Million** (35%)	Affluent **0.65 Million** (6.5%)
Aspirers **58.5 Million** (15%)	Aspirers **0.3 Million** (0.5%)	Aspirers **0.01 Million** (6.5%)

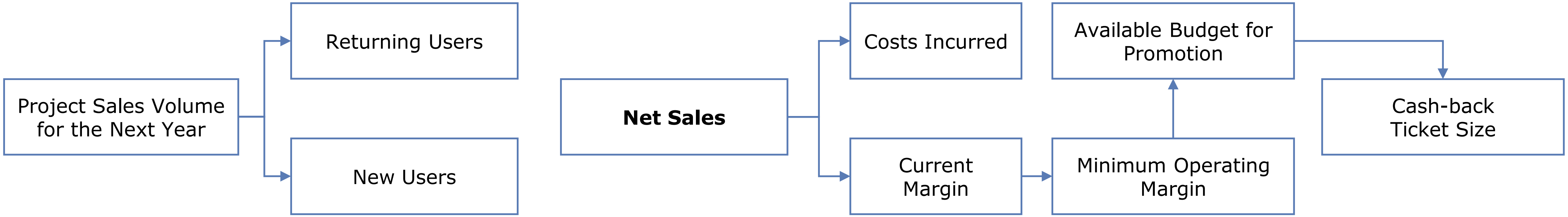
Total Sale Volume
1.15 Million

Assumption:

- At a given point in time, the brand sells only one particular model of the Smartphone
- The rural populace is highly unlikely to purchase a premium smartphone (>50k) irrespective of the income level

Guesstimate 14: A Cash-back Offer

B) Project Sales Volume and New Users for the Next Year and Compute the Cas-back Ticket Size



- Project Sales Volume (Next Year) = 1.045*1.15 Million = **1.2 Million** (4.5% Growth)
- Assuming the Average Lifecycle of a Phone to be 3 years, and ~80% customer retention, the number of Returning Users = (1.2/3)*0.8 ~ **0.30M**
- Number of New Users = 1.2 – 0.3= **0.9 Million** Users; Net Sales = 0.9 Million * 60,000 = **54 Billion**
- Costs Incurred = 0.85 * 54 Billion = **46 Billion** (At 70% COGS and 15% SG&A); Current Margin (Value) = 54B – 46B = **8 Billion**
- Minimum Desired Margin = 0.06 * 54B = **3.3 Billion** (At 6% Min. Operating Margin); Promotional Budget Available = 8B – 3.3B = **4.7B**
- Ticket Size of Cash-back per Device sold to New Buyers = 4.7B/0.9M = **Rs. 5,200**

Guesstimate 15: Window Business

Question: An MBA college in Gurgaon is planning to install new window glasses in the campus. What would be the total expense incurred for this activity?

Assumptions

- 2 years course offered, 400 students in each year
- Campus consists of academic block, faculty block, hostel and 2 mess
- Window of standard size 1.8m x 1.2m each
- 4 windows in one classroom, 2 windows in hostel and 4 windows in a faculty flat
- Cost of glass: ₹250/m^2 and cost of installation: ₹25 per window

Approach

- Consider 4 different buildings - academic block, faculty block, hostel and 2 mess
- Calculate the #windows of the entire hostel considering same rooms as no. of students
- Estimate the classrooms required in the academic block and then calculate #windows
- Estimate the faculty in college and then calculate #windows
- Calculate #windows in mess by estimating the size of mess required to serve the college students

Calculations

- Total windows = Windows calculated * 110% (considering washroom and stairways) = 1,804 * 1.1= **1,984 windows**
- Total area = Area calculated * 110% (considering washroom and stairways) = 3,896.4 * 1.1= **4,286.30 m^2**
- Total cost incurred = Cost of glass + Cost of installation= 4,286.30 * ₹250 + 1,984 * ₹25 = ₹126,500 + ₹18,900 = **₹11,21,176**

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Guesstimate 15: Window Business

Total windows = **1,804**

Area of windows = 1,804 * (1.8 m * 1.2 m) = **3,896.64 m²**

Hostel Block

Hostel Block
1600 windows

2 windows per room
#windows = **1600**

800 students = **800 rooms**

Academic Block

Academic Block
48 windows

4 windows per classroom
4*12 = 48

Sections = **16**
Classroom = **12 (75% occupancy)**

Students per year = **400**
Students per section = **50**

Mess Blocks

Mess Blocks
2*18 = 36 windows

Assuming layout of 5, 5, 4, 4 desks
#Windows in length side of mess = **16** *
#Windows in width side of mess = **2** **

#Seats per table = **8**
Tables required = **18**

#seats required per student = **1/3**
Seats required =133 = **140** (approx.)

Students per year = **400**
Lunch time = **90 mins**
Time spent per student in mess = **30 mins**

Faculty Block

Faculty Block
120 windows

2 bedrooms; 1 hall; 1 kitchen
#Windows = **4**

#Department = **6**
#Teacher per dept. = **5**
#Teacher's flats = **30**

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Guesstimate 15: Window Business

* #Windows in length side = 8*2 = **16**

#Windows on one side of mess = **8**

Total length of mess = 2*5 + 2*6 = **22m**

Length of table = **2m**
Gap between 2 tables = **2m**

Length of window = **1.8m**
Gap btw 2 windows = **0.7m**

** #Windows in width side = **2**
(one side used for kitchen)

#Windows each side of entrance = **1**

Total width of mess = 1*4 + 2*5 = **14m**

Width of table = **1m**
Gap between 2 tables = **2m**

Entrance width = **4m**

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All the very best!

For queries, suggestions, and feedback, write to us at strategist@mdi.ac.in

Connect with us!

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